

RAS Prelims 2026 · Handwritten Class Notes

Economic Concepts and Indian Economy

*Chapter-by-chapter notes in coaching-lecture style —
concept first, then the facts, with flow charts, mind
maps, previous-year callouts and current-affairs links.*

- IE01** Basic Concepts: Growth, Development, Sustainability, National Income*
- IE02** Measurement of Development: HDI, Indices, Poverty and Inequality*
- IE03** Money, Banking, RBI, Monetary Policy and Inflation*
- IE04** Public Finance: Budget, Taxation, GST, Fiscal Policy, FRBM*
- IE05** Fiscal Federalism, Finance Commission and Centre-State Financial Relations*
- IE06** Agriculture: Development, Reforms and Policy*
- IE07** Industry: Growth, LPG Reforms, MSME and Industrial Policy*
- IE08** Services, Infrastructure, External Sector, Employment and Skills*

*RPSC RAS & RTS Preliminary Examination · 6 December 2026 · 150 questions · 200 marks · 1/3
negative marking*

IE01

Basic Concepts: Growth, Development, Sustainability, National Income

About 2-3 questions a paper out of the 8 that Indian Economy gets. The national income aggregates - NNP, GNI, base-year revision - came in 2013, 2021 and 2024. Definitions and formulas, not opinions. Learn the aggregate ladder cold and this chapter is free marks.

This is the grammar of the whole Economy paper. If you cannot instantly say what GVA is and how it differs from GDP, or what exactly 'National Income' means in Indian accounting, every later chapter will feel slippery. RPSC does not ask you to discuss growth theory here - it asks you to pick the right formula, the right committee, the right base year.

Basic Concepts and National Income

Growth vs Development

- Growth = quantitative, real output up
- Development = growth + structure + distribution + welfare
- Amartya Sen - capability approach, Development as Freedom 1999
- Mahbub ul Haq - architect of HDI, first HDR 1990

Who measures it

- Dadabhai Naoroji 1867-68 - first estimate, Rs 20 per capita
- V.K.R.V. Rao 1931-32 - first scientific estimate
- National Income Committee 1949 - P.C. Mahalanobis
- CSO 1951 + NSSO 1950 -> NSO 2019, under MoSPI

The aggregate ladder

- GVA at basic prices -> GDP at market prices
- GDP - depreciation = NDP
- GDP + NFIA = GNP; GNP - depreciation = NNP
- National Income = NNP at factor cost
- Per capita income = NNP at FC / mid-year population

Prices and base years

- Nominal = current prices; Real = constant prices
- GDP deflator = $(\text{Nominal} / \text{Real}) \times 100$
- Series: 1993-94, 1999-2000, 2004-05, 2011-12, 2022-23
- 2022-23 series released 27 February 2026

Sustainability

- Brundtland Commission, Our Common Future, 1987
- SDGs - 17 goals, 169 targets, adopted Sept 2015
- In force 1 January 2016; replaced 8 MDGs (2000-2015)
- SDG India Index - NITI Aayog, first edition Dec 2018
- Green GDP; circular economy

Growth and development - get the difference right in one line

Start here, because every other idea in the paper hangs off this distinction. Economic growth is a number going up. Specifically, a sustained rise in the real national output of a country - real, meaning after stripping out price rise. It says nothing about who got the extra output. Economic development is wider. It is growth PLUS structural change, PLUS qualitative improvement, PLUS a better distribution of what is produced. So growth can happen without development. Development cannot happen without growth.

Economic growth vs economic development

Economic growth	Economic development
Quantitative concept	Qualitative plus quantitative concept
Rise in real national output / income	Growth + structural, welfare and distributional improvement
Narrower - one variable	Broader - a bundle of outcomes
Measured by real GDP or real NNP growth rate	Measured by HDI, MPI, PQLI and similar composite indices
Can occur without any fall in inequality	Implies rising literacy, longevity, standard of living

- Amartya Sen - capability approach; development is the expansion of human freedoms and capabilities.
- His book is 'Development as Freedom' (1999). Remember the year with the name.
- Mahbub ul Haq (Pakistani economist) - architect of the Human Development Index.
- First Human Development Report: UNDP, 1990. Haq conceived it, Sen assisted.
- Growth without development is 'jobless growth' or 'ruthless growth' - output rises, welfare does not.

YAAD RAKHO

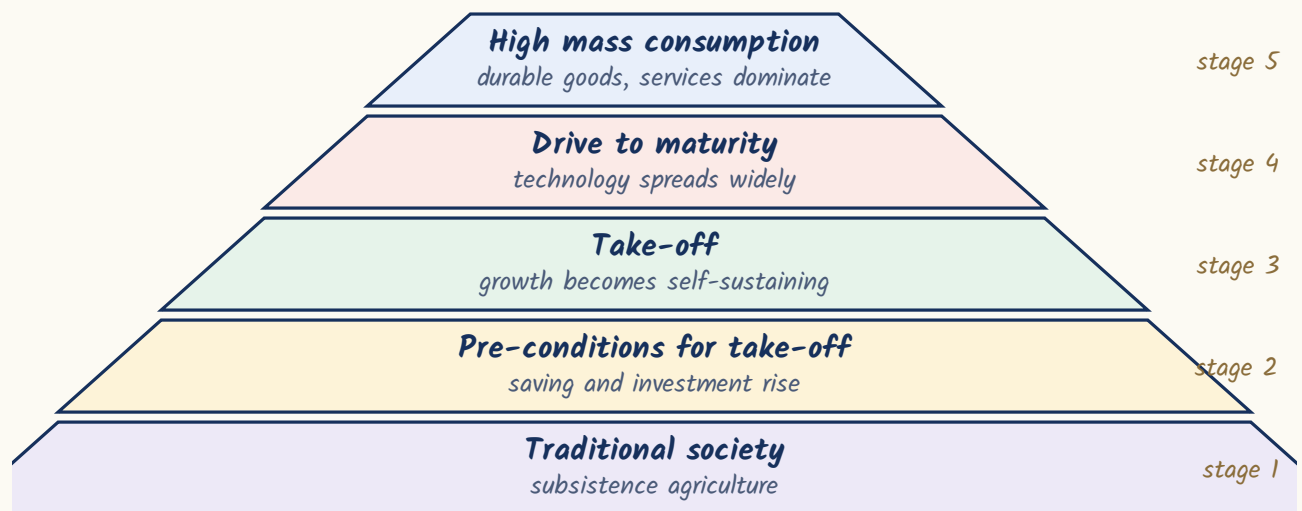
Remember: growth is the *SIZE* of the cake, development is the *RECIPE* plus how the cake is *SHARED*. Any option that mentions literacy, life expectancy or distribution is describing development, not growth.

Growth models - name to core idea (matching material)

Model / economist	Core idea
Harrod-Domar	Growth rate = savings rate divided by the capital-output ratio
Rostow - five stages	Traditional society, pre-conditions for take-off, take-off, drive to maturity, high mass consumption
W.A. Lewis	Dual-sector model - surplus labour moves from subsistence agriculture to modern industry
Rosenstein-Rodan	'Big push' - a large simultaneous investment is needed to break out of stagnation
Ragnar Nurkse	Vicious circle of poverty - low income, low saving, low investment, low income
A.O. Hirschman	Unbalanced growth - deliberately create imbalances so that linkages pull investment

One caution on Rostow before we move on. The stage at which growth becomes a normal, self-sustaining condition is the TAKE-OFF - the third stage. The 'drive to maturity' comes after it and is a standard distractor in the options.

Rostow's five stages of growth



Sectors of the economy and India's sectoral shift

The economy is split into three sectors by the kind of activity, not by the kind of firm. Primary takes things straight from nature. Secondary converts them. Tertiary sells services. India's story is unusual because it jumped from primary to tertiary without a long manufacturing phase - services now dominate output, but agriculture still dominates employment. That gap is the single most examinable fact about India's structure.

The three sectors

Sector	What it covers	India today
Primary	Agriculture, forestry, fishing, mining and quarrying	Employs the largest share of workers - 43.0% (PLFS 2025)
Secondary	Manufacturing, construction, electricity, gas and water supply	The 'missing middle' of India's structural change
Tertiary	Trade, transport, banking, insurance, real estate, public administration	Largest share of GVA - about 55%

TRAP

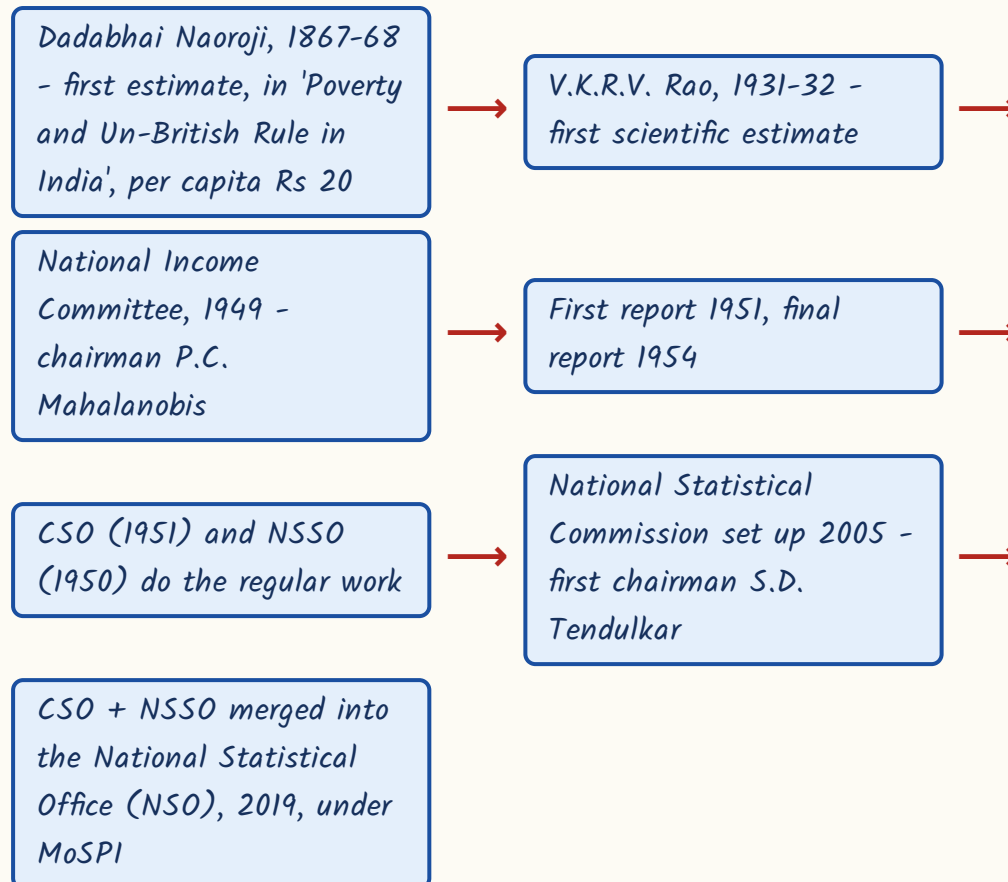
Electricity generation is **SECONDARY** (industry), not tertiary. RPSC has used 'which of the following is **NOT** part of the tertiary sector' with electricity as the answer. Mining is **PRIMARY**, not secondary.

- India is a mixed economy - public and private sectors coexist with state direction.
- The framework came from the Industrial Policy Resolutions of 1948 and 1956.
- The guiding phrase of that era was a 'socialistic pattern of society'.
- Capitalist economy - market decides; socialist economy - state decides; mixed - both.

Who estimates India's national income - the statistical system

This section is pure matching material. RPSC loves person-to-estimate and body-to-function pairs. Learn the sequence as a story: a nationalist first put a number on India's poverty, an academic first did it scientifically, then independent India built a committee and then a permanent office.

How national income estimation developed in India



- Members of the National Income Committee besides Mahalanobis: D.R. Gadgil and V.K.R.V. Rao.
- MoSPI = Ministry of Statistics and Programme Implementation - the parent ministry.
- The Advisory Committee on National Accounts Statistics (ACNAS) guides MoSPI on methodology.
- Economic Survey is prepared by the Economic Division, Department of Economic Affairs, Ministry of Finance.
- It is written under the Chief Economic Adviser and tabled a day BEFORE the Union Budget.
- First Economic Survey: 1950-51. It is a convention, not a constitutional requirement.

Two clarifications students trip on. S.D. Tendulkar is the same economist in both places - first chairman of the National Statistical Commission in 2005, and chairman of the 2009 poverty committee you will meet in the next chapter. And the Economic Survey is a convention of the Finance Ministry, while the Budget is the constitutionally required Annual Financial Statement - the Survey is not a constitutional document.

The aggregate ladder - GDP, GVA, NDP, GNP, NNP, GNI

Now the core. There are only three moves in this whole system, and every aggregate is built from them. Move one: add or subtract taxes and subsidies - that switches you between factor cost / basic prices and market prices. Move two: subtract depreciation - that switches Gross to Net. Move three: add net factor income from abroad - that switches Domestic to National. Learn the three moves and you can derive any aggregate in the exam instead of memorising twelve of them.

The aggregate ladder - one move at each step

GVA at factor cost

output - intermediate consumption

-- + production taxes - subsidies

GVA at basic prices

sectoral GVA is reported here

-- + product taxes - subsidies

GDP at market prices

headline growth, since Jan 2015

less depreciation = NDP

-- + NFIA (domestic to national)

GNP at market prices

national, but still gross

-- - depreciation (gross to net)

NNP at market prices

net national product

-- - net indirect taxes (MP to FC)

NNP at factor cost

this is NATIONAL INCOME

/ mid-year population = PCI

The three moves

Domestic → National: add
NFIA (net factor income
from abroad)



Gross → Net: subtract
depreciation (consumption
of fixed capital)



Factor cost / basic prices -
> Market prices: add
taxes, subtract subsidies

Formula table - learn these by heart

Aggregate	Formula
GVA at basic prices	GVA at factor cost + production taxes - production subsidies
GDP at market prices	GVA at basic prices + product taxes - product subsidies
NDP	GDP - depreciation (consumption of fixed capital)

Aggregate	Formula
GNP	$GDP + NFIA$
NNP	$GNP - depreciation$
NNP at market prices	$NDP \text{ at market prices} + NFIA$
National Income	$NNP \text{ at factor cost}$
Per capita income	$NNP \text{ at factor cost} / \text{mid-year population}$
GNI	The income counterpart of GNP; GNI per capita (PPP \$) is the HDI's living-standard indicator
Value added	$\text{Value of output} - \text{intermediate consumption}$

GDP vs GVA - the pair RPSC keeps testing

GDP (at market prices)	GVA (at basic prices)
Demand side - what is spent on final output	Supply side - what each sector actually produces
Includes product taxes, net of product subsidies	Excludes product taxes and subsidies; includes production taxes net of production subsidies
Headline growth number reported since January 2015	Used to report SECTORAL performance
$GDP \text{ at MP} = GVA \text{ at BP} + \text{product taxes} - \text{product subsidies}$	$GVA \text{ at BP} = GVA \text{ at FC} + \text{production taxes} - \text{production subsidies}$
Rises when indirect tax rates rise, even if output is flat	Not distorted by indirect tax changes - a cleaner production picture

TRAP

Production taxes vs product taxes. Production taxes are paid whatever the level of output - land revenue, stamp duty, registration fee, professional tax. Product taxes vary with the quantity produced - excise, sales tax, GST on the product, export/import duty. Production taxes sit in the FC-to-BP step; product taxes sit in the BP-to-MP step.

ASKED IN RAS

Asked in RAS Pre 2013 and again in 2021 - in national income accounting, 'National Income' refers specifically to which aggregate? Answer: Net National Product at FACTOR COST. Not GDP, not NNP at market prices.

ASKED IN RAS

Asked in RAS Pre 2024 as a statement question - GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies. That statement is CORRECT. Learn the sentence in exactly that word order.

ASKED IN RAS

Asked in RAS Pre 2021 on NFIA - it is the difference between factor income received from abroad and factor income paid abroad; it is added to GDP to get GNP; for India it is usually NEGATIVE. All three are correct.

One line to over-learn: per capita income = NNP at factor cost divided by MID-YEAR population. Two traps sit in that single sentence - the numerator is not GDP, and the denominator is not year-end population.

Nominal vs real, and the GDP deflator

The same basket of goods looks bigger every year simply because prices rise. To see whether the economy actually produced more, you must value output at the prices of one fixed year. That is real GDP. Nominal GDP uses this year's prices. The ratio between the two is itself a price index - and it is the broadest one we have, because it covers everything the economy produced and has no fixed basket.

- Nominal GDP - at CURRENT prices. Also called GDP at current prices.
- Real GDP - at CONSTANT prices, that is, the prices of the base year.
- $\text{GDP deflator} = (\text{Nominal GDP} / \text{Real GDP}) \times 100$.
- The deflator has no fixed basket - its weights change every year with the composition of output.
- That is why it is the broadest measure of inflation, broader than CPI or WPI.
- Since January 2015 India's HEADLINE growth is reported as GDP at constant market prices.

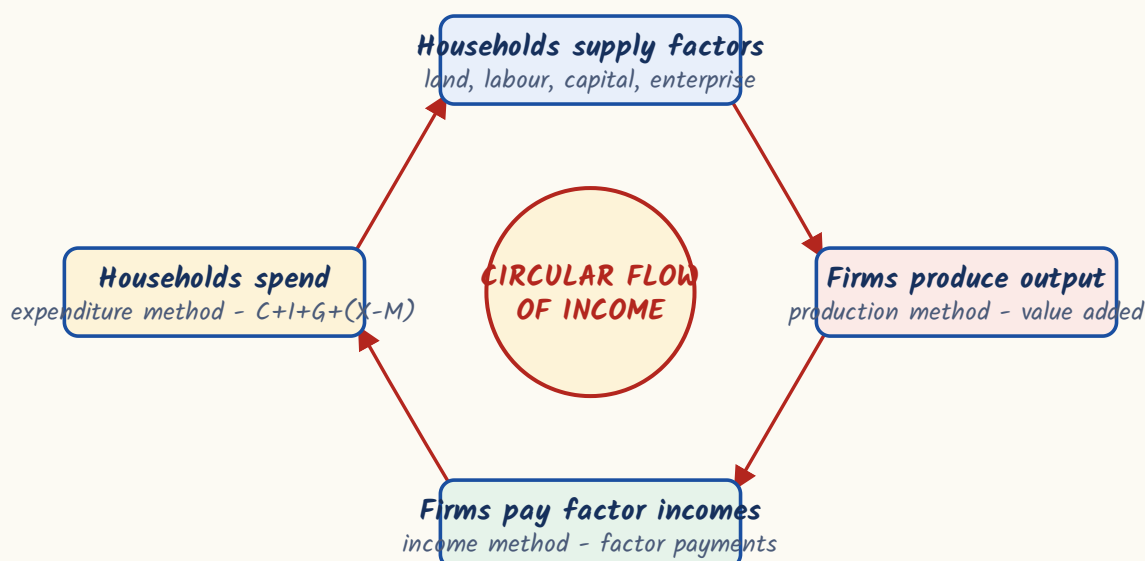
TRAP

The deflator is NOMINAL divided by REAL, times 100. RPSC has printed 'ratio of real GDP to nominal GDP multiplied by 100' as a wrong-pair option. Read the order of the words.

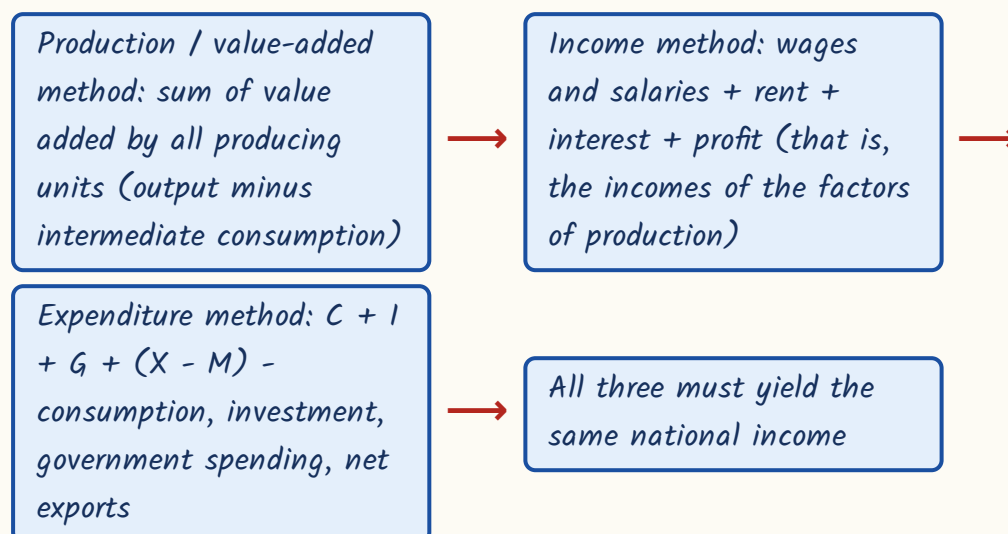
The three methods of estimating national income

One economy, three angles. Whatever is produced is paid out as income to someone, and whatever is paid out is spent on something. So all three methods must give the same total. The exam asks which method uses which ingredients, and which method is NOT a method - so learn the three names and the ingredients of each.

The circular flow - why all three methods agree



Three methods - three angles on the same circular flow



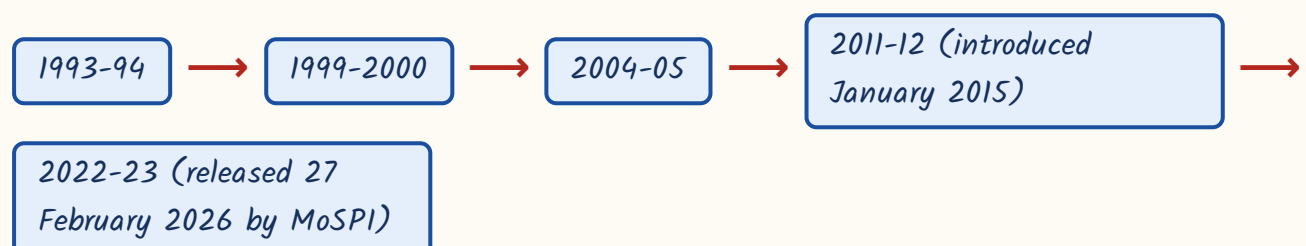
- Double counting is avoided by counting **ONLY** value added, or **ONLY** final goods - never both.
- Value added = value of output - intermediate consumption.
- Excluded: transfer payments - old-age pension, scholarships, unemployment allowance, subsidies to households.
- Excluded: sale of second-hand goods (the output was already counted in its production year).
- Excluded: purely financial transactions - buying shares or bonds is a transfer of ownership, not production.
- Included: the imputed rent of owner-occupied houses and the value of own-account production.

RPSC also asks this negatively - which of the following is **NOT** a method of estimating national income. The manufactured option in that question was the 'input-output substitution method', which does not exist. There are only three: production/value-added, income, expenditure.

Base-year revisions - a favourite RPSC hook

A base year fixes the prices at which real output is valued. Over time the structure of the economy changes so much that old prices and old weights stop making sense, so the series is rebased. India has rebased five times. The exam asks the sequence, the latest base year and what is new in it.

India's National Accounts base years, in order



- The 2011-12 series was the one that shifted headline reporting to GDP at constant MARKET prices and sectoral reporting to GVA at BASIC prices.
- The 2022-23 series uses DOUBLE DEFLATION in manufacturing and agriculture.
- It is built on a Supply-Use Table framework.
- New data sources folded in: GST, PFMS, e-Vahan, ASUSE and PLFS.
- It did NOT replace GDP with GVA as the headline indicator - GDP remains the headline.

ASKED IN RAS

Asked in RAS Pre 2024 - India's new series of National Accounts released by MoSPI in February 2026 uses which base year? Answer: 2022-23. Expect the same question re-framed as 'arrange the base years in chronological order'.

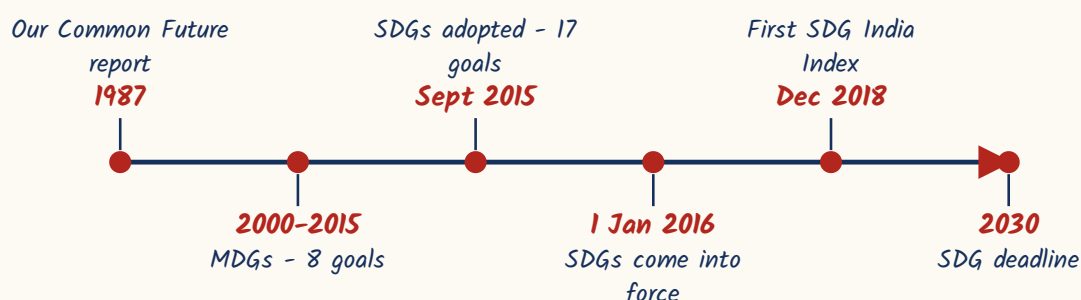
CURRENT LINK

Current link (as of September 2026): under the new 2022-23 series MoSPI puts real GDP growth at 7.2% in 2023-24 and 7.1% in 2024-25. Quote these two numbers with the series and the source - the old-series numbers were different, and an undated figure is a wrong figure.

Sustainable development, the SDGs and the newer 'green' concepts

Sustainability entered development economics through one sentence written in 1987. The Brundtland Commission - formally the World Commission on Environment and Development - defined sustainable development in its report 'Our Common Future' as development that meets the needs of the present without compromising the ability of future generations to meet their own needs. Memorise the report name, the commission name and the year together; RPSC matches all three.

From Brundtland to the SDG deadline



- Brundtland Commission = World Commission on Environment and Development; report 'Our Common Future', 1987.
- SDGs: 17 goals, 169 targets. Document title - 'Transforming our World: the 2030 Agenda for Sustainable Development'.
- Adopted September 2015; came into force 1 January 2016; run to 2030.
- They replaced the Millennium Development Goals - 8 goals, period 2000-2015.
- NITI Aayog publishes the SDG India Index with MoSPI and UN India; first edition December 2018.
- The SDG India Index ranks States and Union Territories, not countries.

- Green GDP = GDP adjusted for depletion of natural resources and the cost of environmental degradation.
- Circular economy = reduce, reuse, recycle, recover - materials are kept in use.
- Its opposite is the linear 'take-make-dispose' model.
- By PPP India is the THIRD largest economy (after the USA and China).
- By nominal GDP in US dollars India is the FOURTH largest (IMF World Economic Outlook).

The SDG number string worth memorising

- 17 goals - 169 targets - adopted September 2015 - in force 1 January 2016 - deadline 2030.
- Before them: 8 Millennium Development Goals, running 2000 to 2015.
- SDG India Index is a NITI Aayog product; the global SDG framework is a UN one - do not swap the two.

TRAP

PPP rank and nominal rank are different questions. THIRD by PPP, FOURTH by nominal dollars. Options are written to make you pick the one you last read.

CURRENT LINK

Current link (as of September 2026): size-of-economy questions are being asked in both forms, so carry both answers with their yardstick - by purchasing power parity India is the THIRD largest economy in the world after the USA and China, while by nominal GDP in US dollars (IMF World Economic Outlook) it is the FOURTH largest. Name the yardstick in your answer; the rank alone is half a fact.

REVISION RECAP

1. Growth = quantitative rise in real output. Development = growth + structure + distribution + welfare.
2. Sen - capability approach, 'Development as Freedom' 1999. Haq - architect of HDI, first HDR 1990.
3. Naoroji 1867-68 first estimate (Rs 20 per capita); V.K.R.V. Rao 1931-32 first scientific estimate.
4. National Income Committee 1949 - Mahalanobis, with Gadgil and V.K.R.V. Rao; reports 1951 and 1954.
5. CSO 1951 + NSSO 1950 merged into NSO in 2019 under MoSPI; NSC 2005, first chairman S.D. Tendulkar.
6. $GVA \text{ at BP} = GVA \text{ at FC} + \text{production taxes} - \text{production subsidies}$.
7. $GDP \text{ at MP} = GVA \text{ at BP} + \text{product taxes} - \text{product subsidies}$.
8. $NDP = GDP - \text{depreciation}$. $GNP = GDP + NFIA$. $NNP = GNP - \text{depreciation}$.
9. National Income = NNP at factor cost; per capita income = NNP at FC / mid-year population.
10. GNI per capita in PPP dollars is the standard-of-living indicator in the HDI.
11. Three methods - production/value added, income (wages+rent+interest+profit), expenditure ($C+I+G+X-M$).
12. Excluded from national income - transfer payments, second-hand sales, purely financial transactions.
13. Nominal = current prices, real = constant prices; GDP deflator = $\text{Nominal/Real} \times 100$, broadest index, no fixed basket.
14. Base years: 1993-94, 1999-2000, 2004-05, 2011-12 (Jan 2015), 2022-23 (27 February 2026).
15. New 2022-23 series - double deflation, Supply-Use Tables, GST/PFMS/e-Vahan/ASUSE/PLFS data; GDP stays the headline.
16. Headline growth since January 2015 = GDP at constant MARKET prices; sectors reported through GVA at basic prices.
17. Brundtland Commission, 'Our Common Future', 1987 - the sustainable development definition.
18. SDGs 17 goals, 169 targets, adopted Sept 2015, in force 1 Jan 2016; replaced 8 MDGs of 2000-2015.
19. SDG India Index - NITI Aayog with MoSPI and UN India, first edition December 2018, ranks States and UTs.
20. Services about 55% of GVA; agriculture 43.0% of workers (PLFS 2025). India - 3rd by PPP, 4th by nominal GDP.

IE02

Measurement of Development: HDI, Indices, Poverty and Inequality

2-3 questions a paper, and the highest repeat density in the entire Economy section. The World Happiness Report came in 2021, 2023 AND 2024 - three consecutive papers. HDI components came in 2024. Ease of Doing Business in 2021 and 2024. Work Participation Ratio in 2021 and 2024. This is a ranking-and-publisher chapter: learn who publishes what, and India's latest rank with its edition year.

Once you accept that development is more than output, you need numbers for it. This chapter is the toolbox - HDI, MPI, PQLI, GII, the global rankings, the poverty lines and the labour force measures. It is the most factual chapter in the Economy paper and the most reliably repeated.

Measuring Development

HDI family (UNDP)

- HDI - 3 dimensions, 4 indicators, geometric mean since 2010
- IHDI - inequality-adjusted (2010)
- GDI - female HDI / male HDI
- GII - lower value is better
- HDR 2025: India 130/193, HDI 0.685, medium; Iceland 1st

Poverty measures

- Global MPI - UNDP + OPHI, 3 dimensions, 10 indicators
- National MPI - NITI Aayog, 3 dimensions, 12 indicators
- Alkire-Foster: $MPI = H \times A$
- Committees: Lakdawala 1993, Tendulkar 2009, Rangarajan 2014

Global rankings

- World Happiness Report - Gallup, Cantril ladder
- Global Hunger Index - Concern Worldwide + Welthungerhilfe
- Global Innovation Index - WIPO
- Doing Business - World Bank, discontinued Sept 2021
- BRAP state rankings - DPIIT

Inequality

- Lorenz curve - Max O. Lorenz, 1905
- Gini coefficient - 0 equality to 1 inequality
- Kuznets curve - inverted U, Simon Kuznets 1955
- Environmental Kuznets Curve

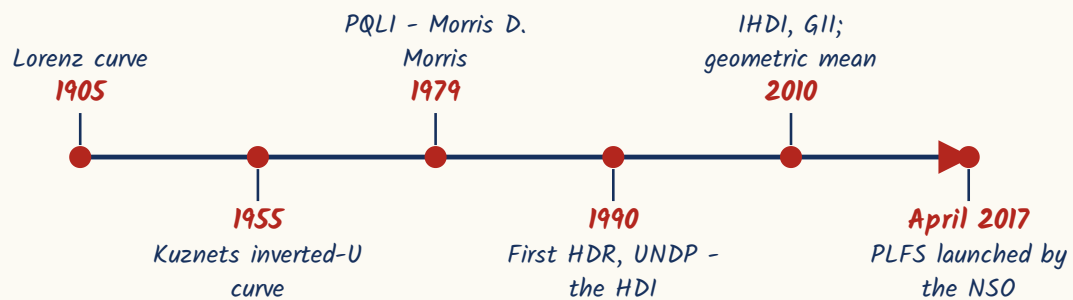
Employment

- PLFS - NSO, launched April 2017
- LFPR, WPR, Unemployment Rate
- Usual Status (ps+ss) and Current Weekly Status
- PLFS 2025: LFPR 59.3, WPR 57.4, UR 3.1

Why composite indices exist

Per capita income tells you the average size of the wallet. It does not tell you whether a child survives infancy, finishes school, or eats twice a day. So from the 1970s economists began building composite indices - one number stitched from several social indicators. The exam does not ask you to evaluate them. It asks four things about each index: who publishes it, what its components are, what its scale means, and India's latest rank. Organise your revision around those four questions and nothing in this chapter can surprise you.

When each measure appeared



- A composite index combines several indicators into one score, usually normalised to 0-1 or 0-100.
- Income-based measures show the average; social indices show the distribution of wellbeing.
- Rankings move every year - always quote the EDITION year with the rank.
- Where a lower value is better (GII, Gini), say so explicitly - RPSC exploits this.

The Human Development Index - the spine of the chapter

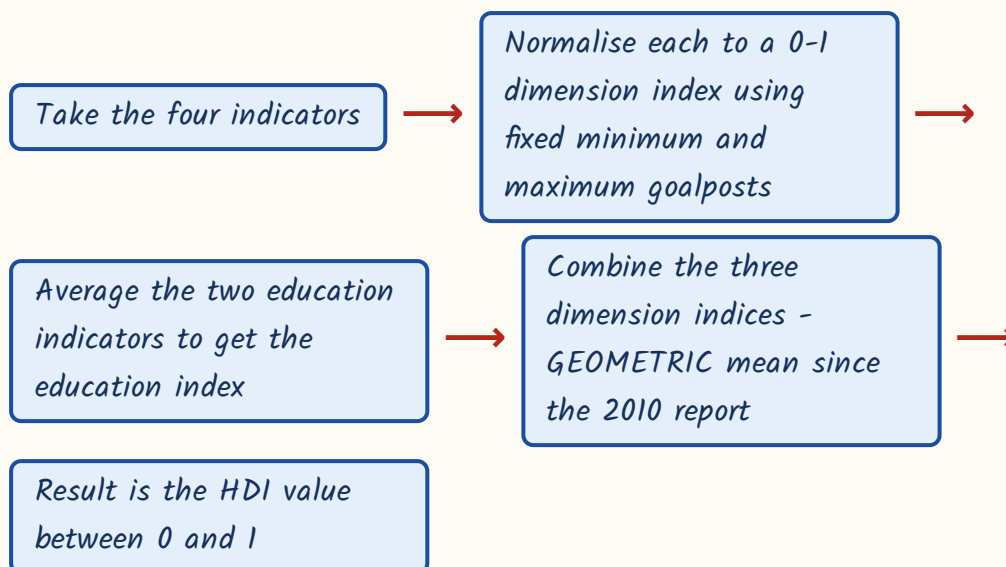
The HDI was conceived by Mahbub ul Haq with Amartya Sen's assistance, and UNDP published the first Human Development Report in 1990. Its logic is simple: a good life needs a long life, knowledge, and enough money. So three dimensions - health, education, standard of living. But note the count carefully. Three DIMENSIONS, four INDICATORS, because education is measured by two separate indicators.

HDI - 3 dimensions, 4 indicators

Dimension	Indicator(s)
Health / long life	Life expectancy at birth

Dimension	Indicator(s)
Knowledge / education	Mean years of schooling (adults 25+) AND expected years of schooling (children)
Standard of living	Gross National Income (GNI) per capita at purchasing power parity

How the HDI is computed



- Before 2010 the HDI used an ARITHMETIC mean; since 2010 it is the GEOMETRIC mean.
- The geometric mean punishes imbalance - a country cannot buy its way past poor health with high income.
- HDI classes: Very high 0.800 and above; High 0.700-0.799; Medium 0.550-0.699; Low below 0.550.
- Human Development Report 2025 (released May 2025), theme - 'A matter of choice: people and possibilities in the age of AI'.
- India: rank 130 out of 193 countries, HDI value 0.685 - the MEDIUM human development category.
- Iceland ranked first in HDR 2025.

ASKED IN RAS

Asked in RAS Pre 2024 - which indicator is used for standard of living in the HDI? Answer: Gross National Income per capita at purchasing power parity. Not GDP per capita, not per capita consumption.

ASKED IN RAS

Asked in RAS Pre 2024 in negative form - which of the following is NOT a component of the Human Development Index? Answer: infant mortality rate. IMR belongs to PQLI, not HDI. This is the most common single confusion in the chapter.

Two counting points before you leave this section. Three dimensions but FOUR indicators - education carries two. And India's HDI value of 0.685 sits in the MEDIUM band even though a rank of 130 out of 193 sounds worse than that; rank and category are separate questions, so answer whichever one the stem asks.

HDI - three dimensions, four indicators**Health**

life expectancy at birth

Education - indicator 2

expected years of schooling

How they combine

geometric mean since 2010

Education - indicator 1

mean years of schooling, 25+

Standard of living

GNI per capita at PPP

Scale

0 to 1; India 0.685 in HDR 2025

HUMAN|DEVELOPMENT|INDEX

The rest of the UNDP family, plus PQLI and GNH

Around the HDI, UNDP built a set of adjusted versions. Each one takes the same idea and asks a further question - what if we account for inequality, what about the gap between men and women, what about deprivation rather than averages. Learn them as one-line definitions; that is exactly how they are matched in the exam.

The UNDP index family - one line each

Index	What it does
HDI	Average achievement in health, education and income
IHDI	Inequality-adjusted HDI, introduced 2010; equals HDI only when there is no inequality
GDI	Gender Development Index - the ratio of female HDI to male HDI
GII	Gender Inequality Index - reproductive health, empowerment, labour market; LOWER value is better
MPI	Multidimensional Poverty Index - counts overlapping deprivations, not income

- PQLI - Physical Quality of Life Index, given by Morris David Morris in 1979.
- PQLI has exactly three indicators: infant mortality rate, life expectancy at AGE ONE, and basic literacy rate.
- PQLI is scaled 0 to 100 and deliberately EXCLUDES income - that exclusion is its signature.
- Gross National Happiness is Bhutan's development philosophy - four pillars and nine domains.
- Chronology of first introduction: PQLI 1979, HDI 1990, then IHDI/GII 2010, then the Global MPI.

TRAP

Life expectancy at BIRTH is HDI. Life expectancy at AGE ONE is PQLI. One word separates the two indices, and RPSC has built a question on exactly that word.

Multidimensional poverty – global MPI and India's national MPI

Income poverty asks one question – is your money below a line.

Multidimensional poverty asks whether you are simultaneously deprived in several basic things at once: no schooling, no toilet, no clean fuel, no assets.

The method is the Alkire-Foster method, and the formula is short enough to memorise: $MPI = H \times A$, where H is the headcount ratio (how many people are poor) and A is the intensity (how many deprivations the average poor person suffers).

Global MPI vs NITI Aayog's National MPI

Global MPI	National MPI (India)
Published jointly by UNDP and OPHI (Oxford Poverty and Human Development Initiative)	Published by NITI Aayog
3 dimensions, 10 indicators	3 dimensions, 12 indicators
Health, education, standard of living	Same three dimensions
-	Adds two indicators: maternal health and bank account
Alkire-Foster method, $MPI = H \times A$	Same Alkire-Foster method

- A person is multidimensionally poor if deprived in at least ONE-THIRD (33.33%) of the weighted indicators.
- NITI Aayog's 'National MPI: A Progress Review 2023' – multidimensional poverty fell from 24.85% (2015-16) to 14.96% (2019-21).
- MPI is NOT published by the IMF or the World Bank – this is a standard wrong-pair option.
- Per capita income is NOT an indicator in the National MPI; the twelve indicators are all deprivation-based.

CURRENT LINK

Current link (as of September 2026): NITI Aayog's 'National MPI: A Progress Review 2023' remains the reference figure for multidimensional poverty in India - it fell from 24.85% in 2015-16 to 14.96% in 2019-21. Quote it with the publisher and both survey rounds; the National MPI has 12 indicators to the Global MPI's 10, and the Global MPI is a UNDP-OPHI product.

The global index scoreboard - publisher and India's rank

This is the table to photograph in your mind. Every year RPSC picks two or three of these and asks either the publishing agency or India's rank. Note the editions - a rank without an edition year is worthless, because they change annually.

Index to publisher to India's latest position

Index	Published by	India (latest, dated)
Human Development Index	UNDP	130 of 193, HDI 0.685 - HDR 2025 (May 2025)
World Happiness Report	Gallup / WHR editorial board (UN SDSN)	116 of 147 - 2026 edition (March 2026)
Global Hunger Index	Concern Worldwide (Ireland) + Welthungerhilfe (Germany)	102nd - GHI 2025
Global Innovation Index	World Intellectual Property Organization (WIPO)	38th - GII 2025
Global MPI	UNDP + OPHI	3 dimensions, 10 indicators
Doing Business (Ease of Doing Business)	World Bank - DISCONTINUED September 2021	63 of 190 - Doing Business 2020 (last ever rank)

- The Doing Business report was discontinued in September 2021 after a data-irregularity review.
- Its replacement is the World Bank's Business Ready (B-READY) report.
- Inside India, DPIIT runs the Business Reform Action Plan (BRAP) and ranks States and UTs on ease of doing business.
- DPIIT = Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry.
- GHI's four indicators: undernourishment, child stunting, child wasting, child mortality.

ASKED IN RAS

Asked in RAS Pre 2021 and again in 2024 - the Ease of Doing Business ranking of countries was published by the World Bank in a report discontinued in 2021. Its title? Answer: Doing Business. Learn the pair 'World Bank - Doing Business - discontinued Sept 2021 - India 63rd in DB 2020'.

YAAD RAKHO

Remember the publishers as a chain: Hunger is a CHARITY pair (Concern Worldwide + Welthungerhilfe), Innovation is a PATENT body (WIPO), Human Development and MPI are UNDP, Doing Business was the WORLD BANK. Once the publisher is fixed, half the questions in this chapter answer themselves.

The World Happiness Report - three consecutive papers, so know it cold

Give this one its own revision slot. RPSC asked it in 2021, in 2023 and again in 2024 - three papers in a row. Nothing else in the Economy paper repeats like that. The report ranks countries on how people rate their own lives, not on any objective statistic. That is the conceptual point examiners test.

- Data source: the Gallup World Poll.
- Method: self-reported life evaluations on the CANTRIL LADDER, a 0 to 10 scale.
- Six explanatory variables: GDP per capita, social support, healthy life expectancy, freedom to make life choices, generosity, perceptions of corruption.
- These six EXPLAIN the score; they do not construct it. The score itself is the survey answer.
- World Happiness Report 2026 (March 2026): Finland first for the NINTH consecutive year; Afghanistan last.
- India: 116 out of 147 countries in the 2026 edition.

India's World Happiness Report rank by edition

Edition	India's rank
2021	139
2023	126
2024	126
2025	118
2026	116 of 147

ASKED IN RAS

Asked in RAS Pre 2021, 2023 AND 2024 - India's rank in the World Happiness Report. For the 2026 edition the answer is 116th. Whichever edition the paper names, read the year in the question stem before choosing.

ASKED IN RAS

Asked in RAS Pre 2023 - which country has been ranked happiest for consecutive years? Answer: Finland, and in the 2026 edition it is the ninth consecutive year. Also asked as a statement set in 2021 and 2024: the report is based on Gallup World Poll data - correct.

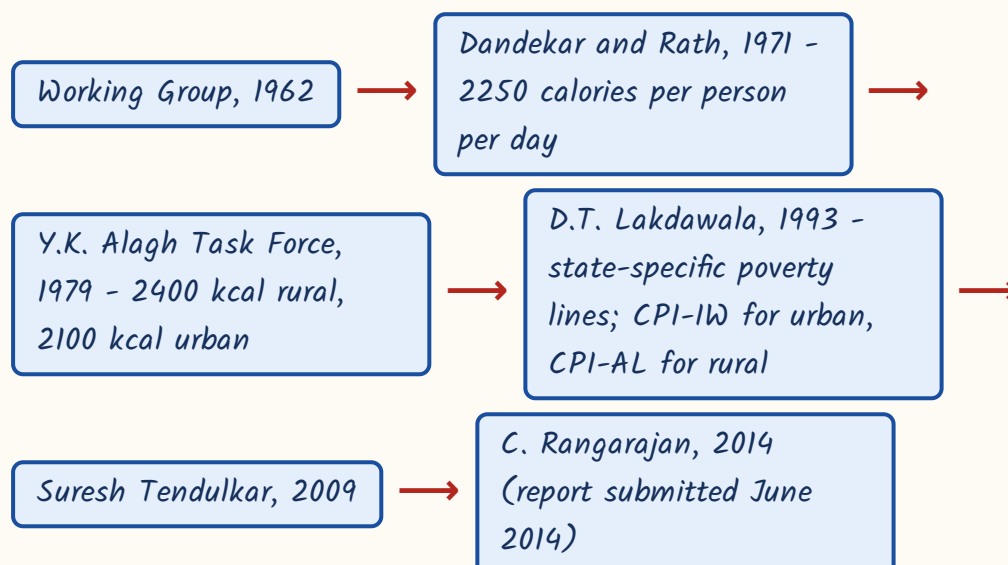
TRAP

Happiness rank is out of 147 countries; HDI rank is out of 193. Different denominators, and options are written using the wrong one. Also, the WHR is not a UNDP product - UNDP does HDI and MPI.

Poverty in India - the committee chain

India's poverty line has been redrawn roughly once a decade, and each redrawing carries a name. Learn them as a chronological chain, because RPSC's favourite format here is 'arrange in chronological order' or a committee-to-year match. Note also what each one changed - calories first, then state-specific lines, then a full basket of goods.

Poverty estimation committees, in order



Tendulkar vs Rangarajan - the two you must be able to quote

Item	Tendulkar (2009)	Rangarajan (2014)
Poverty ratio, 2011-12	21.9%	29.5%
Rural poverty line, per capita per month	Rs 816	Rs 972
Urban poverty line, per capita per month	Rs 1000	Rs 1407
Rural / urban poverty ratio	25.7% rural, 13.7% urban	-

- Alagh 1979 fixed the calorie norms - 2400 rural, 2100 urban. Note the rural norm is HIGHER (harder physical work).
- Lakdawala 1993 is the one that introduced STATE-SPECIFIC poverty lines.
- Rangarajan's higher ratio comes from a broader consumption basket, not from a worsening economy.
- Both Tendulkar and Rangarajan estimates refer to the same year, 2011-12 - that is why they get compared.

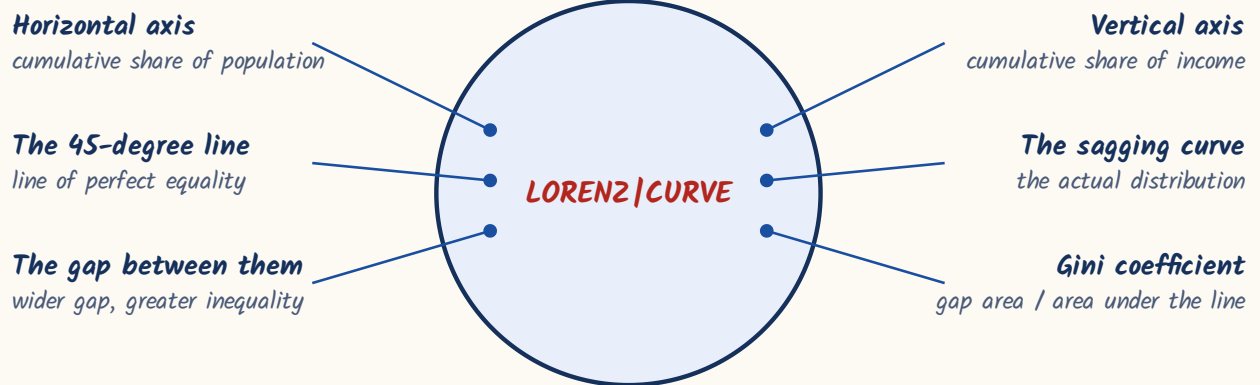
YAAD RAKHO

Order mnemonic for the committees: 'Working Dogs Are Loyal, Try Running'
 - Working Group, Dandekar-Rath, Alagh, Lakdawala, Tendulkar, Rangarajan.
 1962-1971-1979-1993-2009-2014.

Inequality - Lorenz curve, Gini coefficient, Kuznets curve

Inequality is measured by drawing a picture and then measuring the gap inside it. The Lorenz curve plots the cumulative share of income against the cumulative share of population. If income were perfectly equal, the curve would be a 45-degree straight line. The further the actual curve sags away from that line, the more unequal the distribution. The Gini coefficient is simply that sag expressed as a number.

Reading the Lorenz curve



- Lorenz curve - given by Max O. Lorenz in 1905.
- The 45-degree line is the line of perfect equality.
- The further the Lorenz curve lies from the line of equality, the greater the inequality.
- Gini coefficient ranges from 0 (perfect equality) to 1 (perfect inequality).
- Gini is derived from the Lorenz curve - it is the ratio of the gap area to the total area under the equality line.
- Kuznets curve - inverted-U between per capita income and inequality; proposed by Simon Kuznets in 1955.
- Environmental Kuznets Curve applies the same inverted-U shape to income and environmental degradation.

TRAP

Gini measures inequality of DISTRIBUTION, not the level of poverty. A poor country can have a low Gini and a rich one a high Gini. And Gini 0 means perfect equality - a higher Gini is worse, the opposite direction from the HDI.

Unemployment and the PLFS measures

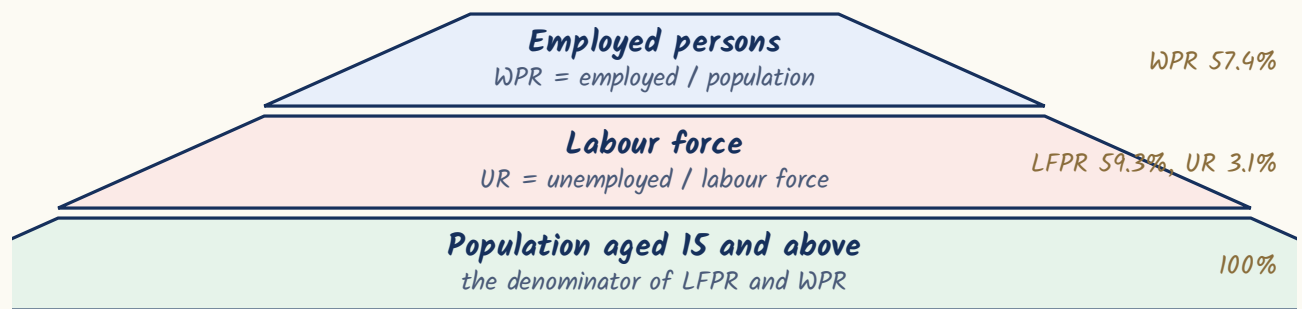
Two things get asked here - the TYPES of unemployment as definitions to match, and the three PLFS ratios as formulas. Take the types first. The one to over-learn is disguised unemployment, because it is the Indian case: more people are working on the farm than the farm needs, so the marginal productivity of the extra worker is near zero. Remove him and output does not fall.

Types of unemployment

Type	Meaning
Structural	Skills or location of workers do not match the jobs the economy now creates - long-term
Frictional	Short transition between jobs; searching, switching
Cyclical	Caused by a downturn in the business cycle; falling aggregate demand
Seasonal	Work available only in part of the year - agriculture, tourism, sugar mills
Disguised	More workers than needed; marginal productivity near zero - typical of Indian agriculture
Educated / open	Qualified people visibly without work

Now the measurement. The Periodic Labour Force Survey replaced the old five-yearly Employment-Unemployment Surveys. It was launched by the NSO in April 2017 and it reports on two reference periods - Usual Status (principal plus subsidiary, a one-year recall) and Current Weekly Status (a seven-day recall). Three ratios come out of it, and the difference between them is entirely about the DENOMINATOR.

The PLFS ratios - watch the denominator



The three PLFS ratios - watch the denominator

Measure	Formula	PLFS 2025 (usual status, 15+)
LFPR	Labour force / population x 100	59.3%
WPR (Worker Population Ratio / Work Participation Rate)	Employed persons / POPULATION x 100	57.4%
Unemployment Rate	Unemployed / LABOUR FORCE x 100	3.1%

- Labour force = employed + unemployed persons actively seeking work.
- WPR is out of the POPULATION; UR is out of the LABOUR FORCE. That is the whole trick.
- PLFS Annual Report 2025 covers January-December 2025 and was released in March 2026.
- Youth (15-29) unemployment rate: 9.9%.
- Male WPR 76.6%, female WPR 38.8% - the gender gap is itself examinable.
- Self-employed 56.2% of workers; regular wage/salaried 23.6%.
- Agriculture's share of employment fell from 44.8% in 2024 to 43.0% in 2025.

ASKED IN RAS

Asked in RAS Pre 2021 and again in 2024 - the Worker Population Ratio is defined as the percentage of EMPLOYED persons in the TOTAL POPULATION. The distractor is 'percentage of the labour force', which is the Unemployment Rate's denominator.

CURRENT LINK

Current link (as of September 2026): the PLFS Annual Report for January-December 2025, released March 2026, is the current employment reference - LFPR 59.3%, WPR 57.4%, unemployment 3.1%. Alongside it, the Human Development Report 2025 (India 130/193), the World Happiness Report 2026 (India 116/147), GHI 2025 (India 102nd) and GII 2025 (India 38th) are the four rankings most likely to appear as current-affairs questions. Carry the edition year with every number.

REVISION RECAP

1. HDI - conceived by Mahbub ul Haq with Amartya Sen; first Human Development Report, UNDP, 1990.
2. HDI = 3 dimensions, 4 indicators; geometric mean since 2010; value 0 to 1.
3. HDI indicators - life expectancy at birth; mean and expected years of schooling; GNI per capita (PPP).
4. HDI bands - Very high 0.800+, High 0.700-0.799, Medium 0.550-0.699, Low below 0.550.
5. HDR 2025 - India 130/193, HDI 0.685, medium category; Iceland first.
6. IHDI inequality-adjusted; GDI = female HDI / male HDI; GII lower is better; MPI counts deprivations.
7. Global MPI - UNDP + OPHI, 3 dimensions 10 indicators; poor if deprived in one-third of weighted indicators.
8. National MPI - NITI Aayog, 3 dimensions 12 indicators (adds maternal health and bank account); $MPI = H \times A$.
9. National MPI Progress Review 2023 - poverty down from 24.85% (2015-16) to 14.96% (2019-21).

10. PQLI - Morris D. Morris 1979; IMR, life expectancy at age one, basic literacy; 0-100; income excluded.
11. World Happiness Report - Gallup World Poll, Cantril ladder 0-10, six explanatory variables.
12. WHR India ranks - 139 (2021), 126 (2023 and 2024), 118 (2025), 116 of 147 (2026). Finland first nine years running.
13. GHI - Concern Worldwide + Welthungerhilfe, four indicators, India 102nd in 2025. GII - WIPO, India 38th in 2025.
14. Doing Business discontinued September 2021; India's last rank 63 of 190 in DB 2020; B-READY replaces it; DPIIT runs BRAP for States.
15. Committee chain - Working Group 1962, Dandekar-Rath 1971, Alagh 1979, Lakdawala 1993, Tendulkar 2009, Rangarajan 2014.
16. Tendulkar - 21.9% in 2011-12, Rs 816 rural / Rs 1000 urban. Rangarajan - 29.5%, Rs 972 rural / Rs 1407 urban.
17. Lorenz curve (Max O. Lorenz, 1905); Gini 0 to 1, derived from it; Kuznets inverted-U, 1955.
18. Disguised unemployment - marginal productivity near zero; the classic Indian agricultural case.
19. PLFS launched by NSO April 2017; Usual Status (ps+ss) and Current Weekly Status.
20. LFPR 59.3, WPR 57.4, UR 3.1 (PLFS 2025). WPR denominator = population; UR denominator = labour force.

IE03

Money, Banking, RBI, Monetary Policy and Inflation

3-4 questions a paper. Inflation alone - headline vs core, the tolerance band, cost-push - came in 2016, 2018, 2023 AND 2024, near-verbatim. The policy rate ladder and the MPC's six members are permanent fixtures. If you learn one chapter in Economy thoroughly, learn this one.

The biggest chapter in the Economy paper and the one with the most predictable questions. Money supply definitions, the RBI's rate toolkit, the MPC's composition and the vocabulary of inflation - these are asked as straight definitions, year after year, in almost the same words.

Money, RBI and Inflation

RBI basics

- Established 1 April 1935, RBI Act 1934
- Hilton Young Commission recommendation
- Nationalised 1 January 1949
- HQ Kolkata, shifted to Mumbai 1937
- Osborne Smith first Governor; C.D. Deshmukh first Indian

MPC and targeting

- Section 452B, Finance Act 2016
- Six members, three external, four-year term
- Governor has the casting vote; quorum four
- Target 4% CPI, band +/- 2 per cent
- Failure = outside 2-6% for three consecutive quarters

Money supply

- M0 = reserve money
- M1 = narrow money
- M3 = broad money = M1 + time deposits
- M4 = M3 + total post office deposits
- Liquidity order $M1 > M2 > M3 > M4$

Inflation

- Headline vs core (core excludes food and fuel)
- Demand-pull vs cost-push
- Deflation, disinflation, reflation, stagflation
- CPI - NSO, base 2024=100; WPI - DPIIT, base 2022-23
- Phillips curve - A.W. Phillips, 1958

Policy toolkit

- Quantitative - CRR, SLR, repo, SDF, MSF, Bank Rate, OMO
- Qualitative - margin requirement, credit rationing, moral suasion
- SDF is the floor, MSF the ceiling of the LAF corridor
- Corridor symmetric at 25 bps around repo

Banking structure

- 14 banks nationalised 1969, 6 more in 1980
- RRBs 1975, Prathama Bank first
- NABARD 1982, SIDBI 1990
- Payments banks and small finance banks - Nachiket Mor
- NPA at 90 days; DICGC cover Rs 5 lakh

Money and the money supply - M0 to M4

Money does four jobs: it is a medium of exchange, a unit of account, a store of value and a standard of deferred payment. Once you accept that, the question becomes - how much money is there in the economy? There is no single answer, because 'money' shades from cash in your hand to a five-year fixed deposit. So the RBI publishes several measures, arranged from the most liquid to the least. Learn the ladder in order and the exam is done.

Measures of money supply

Measure	Composition	Nickname
M0	Currency in circulation + bankers' deposits with RBI + other deposits with RBI	Reserve money / high-powered money
M1	Currency with the public + demand deposits + other deposits with RBI	Narrow money
M2	M1 + post office savings deposits	-
M3	M1 + time deposits with the banking system	Broad money
M4	M3 + total post office deposits (excluding National Savings Certificates)	-

- M0 is the RBI's own liability - it is what the central bank directly controls.
- M1 is narrow money; M3 is broad money and is the aggregate normally quoted for money supply.
- Liquidity falls as you go up the ladder: $M1 > M2 > M3 > M4$.
- M4 excludes National Savings Certificates - that exclusion is examinable.

Two things to fix before moving on. M0 is not M1 - M0 counts bankers' deposits with the RBI, while M1 counts demand deposits held by the public with banks. And notice the direction of liquidity: the higher the number, the LESS liquid the measure, which feels backwards to most students the first time.

The Reserve Bank of India - origin and functions

The RBI's founding facts are pure one-liner material. It was set up on the recommendation of the Hilton Young Commission - formally the Royal Commission on Indian Currency and Finance, 1926 - established on 1 April 1935 under the RBI Act of 1934, and nationalised on 1 January 1949. Note that the Act is 1934 and the bank is 1935; those two years are deliberately mixed in options.

What the Reserve Bank does



- Original headquarters: Kolkata. Shifted permanently to Mumbai in 1937.
- First Governor: Sir Osborne Smith. First Indian Governor: C.D. Deshmukh.
- Sanjay Malhotra took charge as the 26th Governor on 11 December 2024.
- RBI issues all currency notes EXCEPT the one-rupee note.
- The Re 1 note is issued by the Government of India and bears the signature of the FINANCE SECRETARY.
- Coins are also minted by the Government of India, not the RBI.
- Minimum Reserve System, in force since 1957 - assets of at least Rs 200 crore, of which at least Rs 115 crore in GOLD.
- RBI's functions: issue of currency (except Re 1), banker to the government, banker to banks.
- Lender of last resort; custodian of foreign exchange reserves; manager of the exchange rate.
- Regulator and supervisor of the banking system; controller of credit; formulation of monetary policy.
- Developmental and promotional functions - financial inclusion, payment systems.
- It does NOT regulate the insurance sector (IRDAI) or the securities market (SEBI).

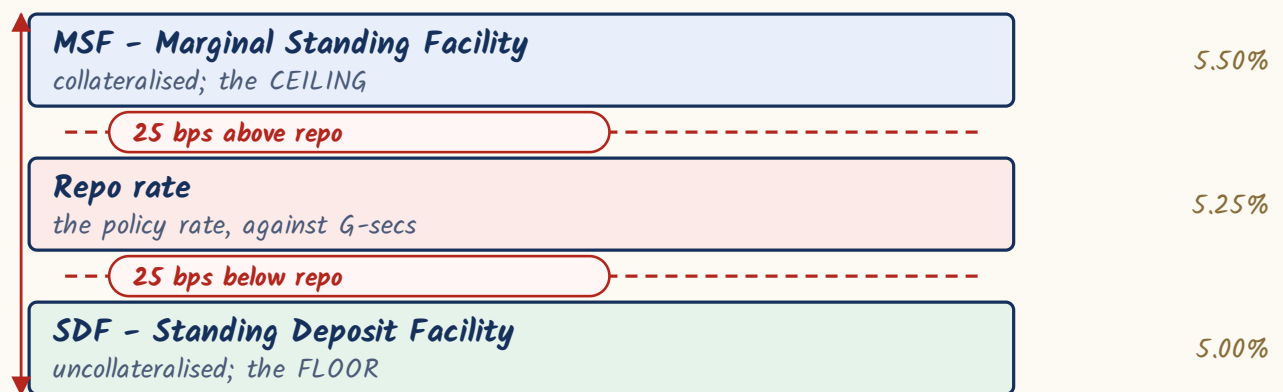
TRAP

Regulation of insurance is IRDAI's job, not the RBI's - this exact option has appeared as the 'NOT a function of the RBI' answer. Also: the RBI prints notes but the Government mints coins and issues the Re 1 note.

The policy rates - the table that carries the chapter

Every rate below is a lever for the same purpose - to control how much liquidity banks have and what it costs them. Two of them, CRR and SLR, work by locking money away. The rest work by pricing overnight money. The exam asks you what each rate DOES, and it asks for the current values as a match-the-following. So learn the function column first and the number column second, and always attach the date to the number.

The LAF corridor - August 2026 MPC review



Policy rates and reserve ratios (values as at the August 2026 MPC review)

Rate / ratio	What it does	Value
Repo rate	Rate at which the RBI lends short-term funds to banks against government securities - the policy rate	5.25%
Standing Deposit Facility (SDF)	Rate at which the RBI absorbs liquidity from banks WITHOUT giving collateral; the FLOOR of the LAF corridor	5.00%
Marginal Standing Facility (MSF)	Emergency overnight borrowing by banks against securities, dipping into SLR; the CEILING of the corridor	5.50%
Bank Rate	Rate at which the RBI rediscounts bills / long-term lending rate; a penal rate, aligned with MSF	5.50%

Rate / ratio	What it does	Value
Reverse repo	The old absorption rate; since April 2022 no longer the operational floor - the SDF replaced it	Not the operating rate
Cash Reserve Ratio (CRR)	Share of net demand and time liabilities kept in CASH with the RBI; earns NO interest	3.00%
Statutory Liquidity Ratio (SLR)	Share of NDTL kept by the bank ITSELF in cash, gold or approved securities	18.00% (statutory maximum 40%)

- CRR is prescribed under Section 42(1) of the RBI Act, 1934.
- SLR is prescribed under Section 24 of the Banking Regulation Act, 1949.
- CRR earns no interest; SLR securities do earn a return, because the bank still owns them.
- The LAF - Liquidity Adjustment Facility - is the corridor within which overnight money moves.
- The corridor is SYMMETRIC at 25 basis points around the repo rate: SDF = repo minus 25 bps, MSF = repo plus 25 bps.
- The SDF was introduced in April 2022 and is UNCOLLATERALISED; the MSF is collateralised.
- Open Market Operations (OMO) - RBI buys or sells government securities to inject or absorb durable liquidity.

TRAP

MSF is the CEILING of the LAF corridor, SDF is the FLOOR. RPSC printed 'Marginal Standing Facility - the floor of the liquidity adjustment facility' as the NOT-correctly-matched option. Also remember which statute: CRR from the RBI Act 1934, SLR from the Banking Regulation Act 1949.

CURRENT LINK

Current link (as of September 2026): the August 2026 MPC review left the repo rate at 5.25% with a NEUTRAL stance - SDF 5.00%, MSF 5.50%, Bank Rate 5.50%, CRR 3.00%, SLR 18.00%. The inflation target itself was renewed in the same year: 4% CPI (Combined) with a band of plus or minus 2 per cent, notified for 1 April 2026 to 31 March 2031. Quote the rate with the review month, because it changes.

Quantitative versus qualitative credit control

Group the tools before you memorise them. Quantitative tools change the total volume of credit in the system - they hit every borrower equally. Qualitative tools steer credit towards or away from particular uses - they are selective. One question a year comes from this split, usually in the negative form: which of the following is NOT a quantitative instrument.

Quantitative (general) vs qualitative (selective) tools

Quantitative / general	Qualitative / selective
Affect the total volume of credit	Affect the direction and use of credit
CRR and SLR	Margin requirements (loan-to-value limits)
Repo, SDF, MSF, Bank Rate	Credit rationing
Open Market Operations	Moral suasion - persuasion, not compulsion
Impersonal, apply to all banks alike	Direct action against a specific bank; regulation of consumer credit

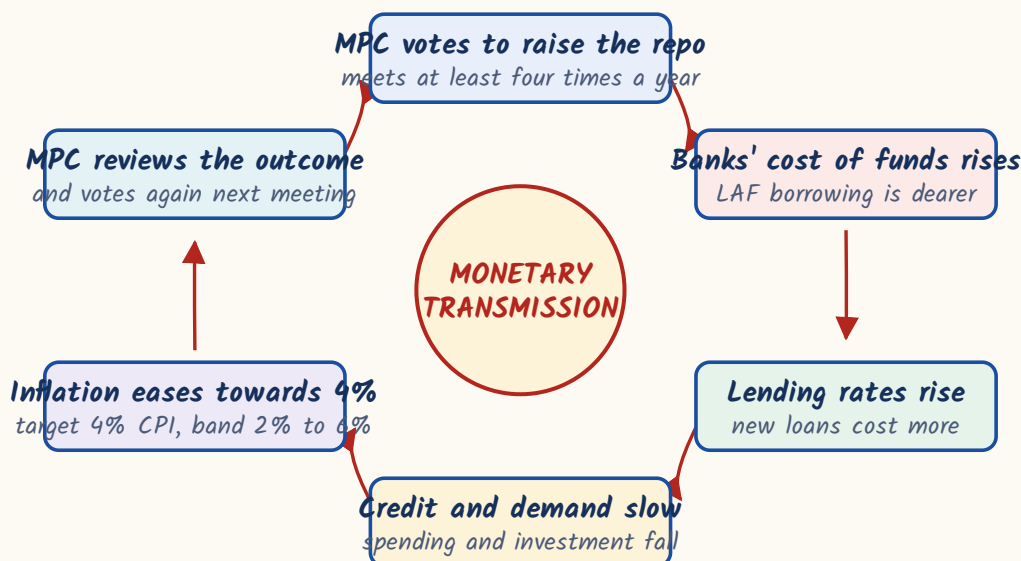
YAAD RAKHO

Remember: if it has a **NUMBER** attached to it, it is **quantitative**. If it involves the **RBI** talking, warning or targeting a specific sector, it is **qualitative**. Moral suasion is the classic answer to 'NOT a quantitative instrument'.

The Monetary Policy Committee and inflation targeting

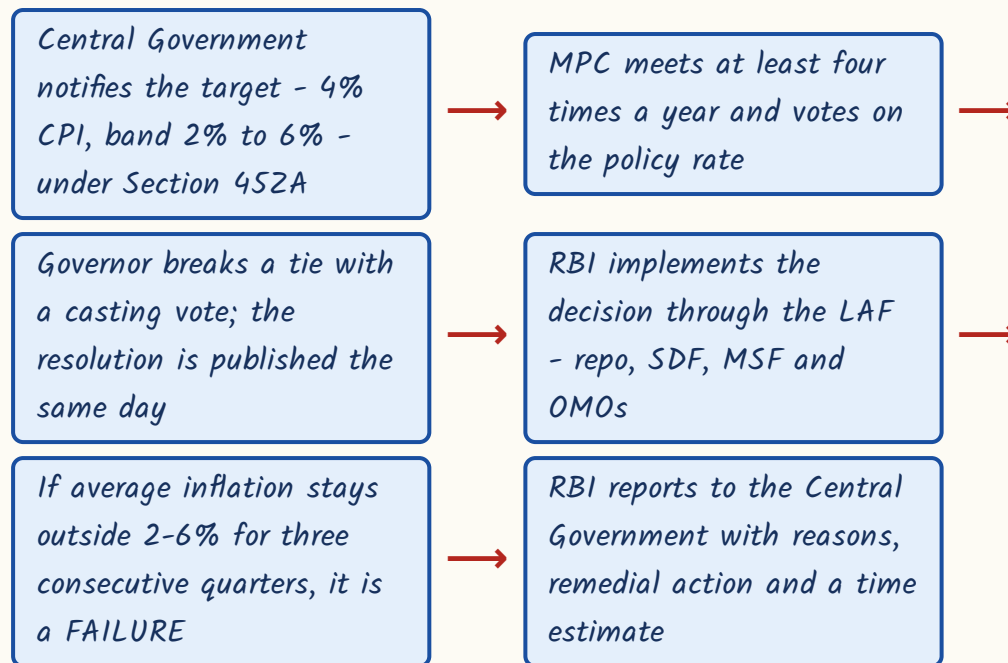
Until 2016 the Governor alone decided the policy rate. The Finance Act, 2016 inserted Section 452B into the RBI Act and handed the decision to a six-member committee, with a numerical inflation target notified by the Government. This is the framework question RPSC keeps returning to. Learn the composition, the term, the tie-breaker and the target as four separate facts.

How a repo-rate rise reaches inflation



- Constituted under Section 452B of the RBI Act, inserted by the Finance Act, 2016.
 - SIX members - three from the RBI and three external.
 - The three from the RBI: the Governor (ex officio Chairperson), the Deputy Governor in charge of monetary policy, and one officer nominated by the Central Board.
 - The three external members are appointed by the CENTRAL GOVERNMENT for FOUR years, and are not eligible for re-appointment.
 - Quorum: four members. The Governor has a CASTING VOTE in case of a tie.
 - The MPC must meet at least FOUR times a year.
-
- The inflation target is 4% CPI (Combined) with a tolerance band of PLUS OR MINUS 2 per cent - that is, 2% to 6%.
 - It is notified by the CENTRAL GOVERNMENT under Section 452A, in consultation with the RBI.
 - First notified for 5 August 2016 to 31 March 2021; renewed for 2021-2026; retained for 1 April 2026 to 31 March 2031.
 - 'Failure' of monetary policy = average inflation outside the 2-6% band for THREE CONSECUTIVE QUARTERS.
 - On failure, the RBI must report to the Central Government explaining the reasons and the remedial action.
 - The target is set on CPI (Combined), not on WPI - a favourite distractor.

How the inflation-targeting framework actually runs



ASKED IN RAS

Asked in RAS Pre 2023 and again in 2024 - the inflation target and tolerance band notified by the Central Government are 4 per cent with a band of plus or minus 2 per cent. Learn the sentence, not just the numbers.

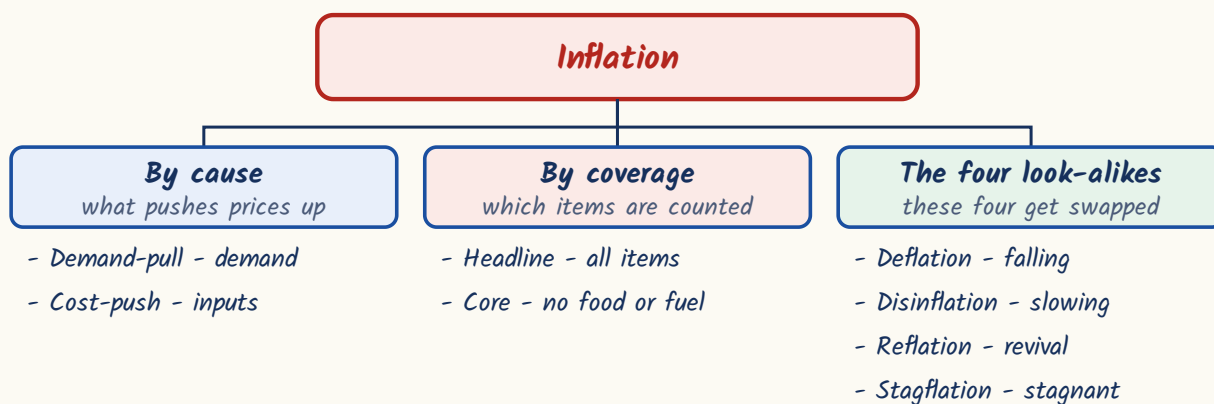
ASKED IN RAS

Asked in RAS Pre 2024 as a statement set on the monetary policy framework - the target is notified by the Central Government in consultation with the RBI; the MPC has six members; failure is defined as three consecutive quarters outside the band. All correct.

Inflation - the vocabulary RPSC tests almost verbatim

This is the single most repeated topic in the Economy paper - 2016, 2018, 2023 and 2024. And it is not asked as analysis. It is asked as definitions. So the drill is simple: be able to say each term in one clean sentence, and be able to spot when an option has swapped two of them.

The vocabulary of inflation



Demand-pull vs cost-push inflation

Demand-pull	Cost-push
Aggregate demand exceeds aggregate supply	Input costs rise - wages, fuel, raw materials
'Too much money chasing too few goods'	Supply-side shock pushes the price level up
Output tends to rise along with prices	Output falls while prices rise
Cured by tightening demand - higher rates, lower spending	Can produce STAGFLATION; demand tightening does not cure it

- *Headline inflation* - covers ALL items in the index, including food and fuel.
- *Core inflation* - headline MINUS food and fuel, the volatile components. Nothing else is removed.
- *Deflation* - a sustained FALL in the general price level (negative inflation).
- *Disinflation* - inflation is FALLING but still positive. Prices still rise, only more slowly.
- *Reflation* - a deliberate, policy-induced rise in prices after a period of deflation.
- *Stagflation* - high inflation together with stagnant output and high unemployment.
- *Indexation* - linking payments such as dearness allowance to a price index, so real value is protected.
- *Phillips curve* - A.W. Phillips, 1958: an inverse SHORT-RUN relationship between inflation and unemployment.

ASKED IN RAS

Asked in RAS Pre 2016 and 2024 - core inflation is headline inflation EXCLUDING food and fuel. Asked in 2018 - inflation caused by aggregate demand exceeding the economy's capacity to produce is DEMAND-PULL.

ASKED IN RAS

Asked in RAS Pre 2023 in negative form - which statement about inflation is NOT correct? The wrong statement was 'deflation and disinflation refer to the same phenomenon'. They do not. Deflation is negative inflation; disinflation is a falling but still positive rate.

ASKED IN RAS

Asked in RAS Pre 2016 and 2018 as an assertion-reason pair - cost-push inflation can be accompanied by rising unemployment, because it arises from a rise in input costs. Both true, and the reason explains the assertion. That is stagflation in one line.

TRAP

Deflation, disinflation, reflation and stagflation are four different things, and RPSC swaps them freely. Deflation = prices FALL. Disinflation = inflation SLOWS. Reflation = deliberate price revival after deflation. Stagflation = inflation UP and growth DOWN together.

The price indices - CPI vs WPI, and who compiles what

India measures prices at two different points in the chain. WPI catches goods as they change hands in bulk, before they reach you. CPI catches them at the retail counter, in the basket a household actually buys. That single difference explains every other difference between them - the coverage, the weights, and which one the RBI targets.

CPI vs WPI - the comparison to write out in the exam hall

CPI (Consumer Price Index)	WPI (Wholesale Price Index)
Retail prices, what the household pays	Wholesale / bulk transaction prices
Compiled by the NSO, MoSPI	Compiled by the Office of the Economic Adviser, DPIIT
INCLUDES services	EXCLUDES services entirely
Base year 2024 = 100 (new series released 12 February 2026)	Base year 2022-23 (new series launched 15 June 2026)
CPI (Combined) is the HEADLINE inflation measure and the RBI's target	Not the target; used for deflators and policy analysis
Food carries a heavy weight, so it is more volatile at the retail end	Manufactured products dominate the basket

- New CPI series: base 2024=100, released 12 February 2026, replacing base 2012=100.
- Its weights come from the Household Consumption Expenditure Survey 2023-24.
- Items rose from 299 to 358; groups from 6 to 12.
- New WPI series: base revised from 2011-12 to 2022-23; basket expanded from 697 to 957 items.
- A Producer Price Index (PPI) was launched alongside it on 15 June 2026 - the PPI DOES cover services, WPI does not.
- CPI-IW is compiled by the LABOUR BUREAU (base 2016=100) and is used for indexing dearness allowance.
- CPI-AL (agricultural labourers) and CPI-RL (rural labourers) are also Labour Bureau products.
- The GDP deflator remains the broadest inflation measure - all goods and services, no fixed basket.

- Rajasthan compiles its own Wholesale Price Index through the Directorate of Economics and Statistics.
- Its base year is 1999-2000 (replacing the earlier 1952-53 base) - asked in RAS Pre 2016 and 2018 in identical words.
- Wholesale prices are collected weekly, on Fridays, from selected centres across the State.

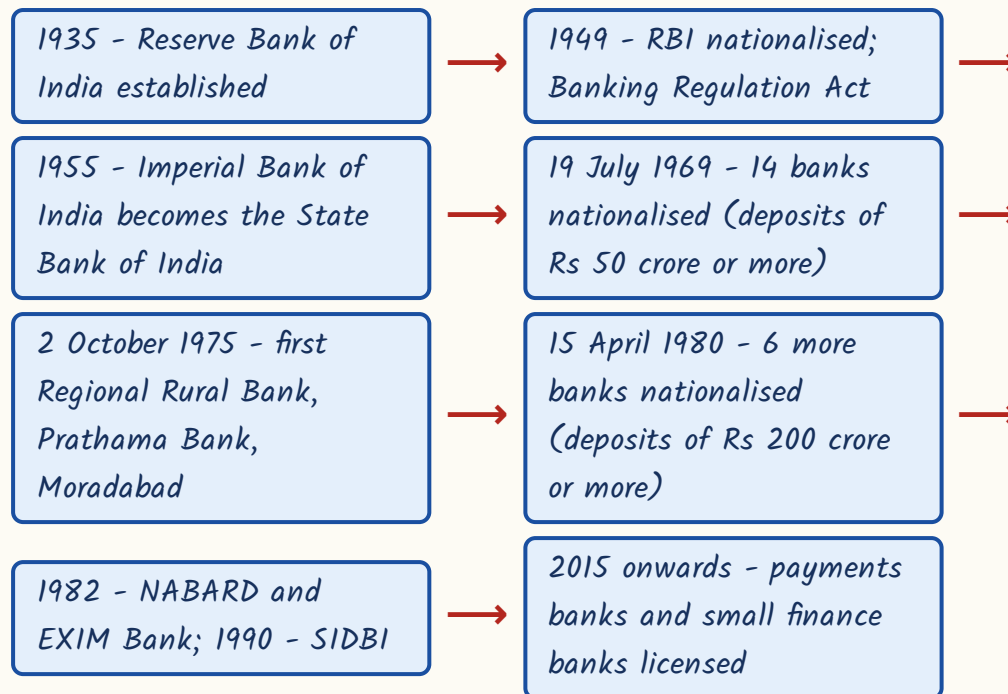
CURRENT LINK

Current link (as of September 2026): both of India's headline price indices were rebased within the last eight months - CPI to base 2024=100 on 12 February 2026, and WPI to base 2022-23 with the new Producer Price Index on 15 June 2026. A rebasing year is exactly when RPSC asks 'the new base year of CPI is', so carry both dates. Alongside them, the August 2026 MPC review left the repo at 5.25% with a neutral stance.

Banking structure - nationalisation, RRBs, and the newer banks

India's banking structure was built in stages, and the exam asks for the stages in order. Learn the chronology as a spine, then hang the details on it. The numbers to fix are the two nationalisation rounds and their deposit thresholds - they are asked as straight one-liners.

Milestones of Indian banking



- RRBs were set up under an Ordinance of 26 September 1975; the RRB Act came in 1976.
- They followed the recommendation of the Narasimham Working Group.
- RRB shareholding: Centre 50%, sponsor bank 35%, State government 15%.
- Under 'One State One RRB', the number of RRBs was reduced to 28 with effect from 1 May 2025.
- NABARD was set up on 12 July 1982 on the recommendation of the B. Sivaraman Committee (CRAFICARD).
- Payments banks and small finance banks were recommended by the Nachiket Mor Committee (2013).

Payments banks vs small finance banks

Payments bank	Small finance bank
May accept deposits up to Rs 2 lakh per individual customer	Full-service deposits, no such cap
CANNOT lend or issue credit cards	Must lend 40% of adjusted net bank credit to priority sectors, raised to 75%
May issue debit cards, offer payments and remittances	At least 50% of its loan book must be loans up to Rs 25 lakh

Payments bank	Small finance bank
Both were recommended by the Nachiket Mor Committee, 2013	Both were recommended by the Nachiket Mor Committee, 2013

- Priority Sector Lending target for domestic scheduled commercial banks: 40% of Adjusted Net Bank Credit.
- Sub-targets: 18% agriculture, 7.5% micro enterprises, 12% weaker sections.
- An asset becomes a Non-Performing Asset when interest or principal is overdue for MORE THAN 90 DAYS.
- Deposit insurance under DICGC: Rs 5 lakh per depositor per bank, raised from Rs 1 lakh in February 2020.
- IBC 2016 - NCLT adjudicates corporate insolvency; DRT handles individuals and partnership firms.
- The Insolvency and Bankruptcy Board of India was set up on 1 October 2016.
- The corporate insolvency resolution process must be completed within 330 days INCLUDING litigation.

Regulators, financial inclusion and digital payments

Last block of the chapter, and the easiest marks in it. Two regulators and three schemes, each with a date. RPSC asks these as one-liners and as institution-to-year matches, so the dates matter more than the descriptions.

- SEBI - set up as a NON-STATUTORY body in 1988; made statutory by the SEBI Act, 1992. Headquarters Mumbai.
- IRDAI - constituted under the IRDA Act, 1999. Headquarters Hyderabad.
- PMJDY launched 28 August 2014 - zero-balance account, RuPay card, overdraft up to Rs 10,000.
- RuPay accident cover under PMJDY is Rs 2 lakh for cards issued after 28 August 2018.
- UPI was launched by the NPCI (National Payments Corporation of India) in April 2016.
- PMMY (MUDRA) launched 8 April 2015 to fund non-corporate, non-farm micro enterprises.

MUDRA loan categories

Category	Loan amount
Shishu	Up to Rs 50,000
Kishore	Rs 50,000 to Rs 5 lakh
Tarun	Rs 5 lakh to Rs 10 lakh
Tarun Plus	Rs 10 lakh to Rs 20 lakh

YAAD RAKHO

MUDRA sizes in age order - Shishu (infant) is smallest, Kishore (adolescent) is middle, Tarun (youth) is largest, and Tarun Plus is the newest top slab. The name tells you the amount.

REVISION RECAP

1. RBI - Hilton Young Commission; established 1 April 1935 under the RBI Act 1934; nationalised 1 January 1949.
2. HQ Kolkata, moved to Mumbai 1937; first Governor Osborne Smith, first Indian C.D. Deshmukh; 26th Governor Sanjay Malhotra (11 Dec 2024). Minimum Reserve System since 1957 - Rs 200 crore of assets, Rs 115 crore of it in gold.

3. RBI issues all notes except Re 1, which the Government issues with the Finance Secretary's signature; Government mints coins.
4. M0 reserve money; M1 narrow money; $M3 = M1 + \text{time deposits} = \text{broad money}$; $M4 = M3 + \text{total post office deposits (excl. NSC)}$; liquidity order $M1 > M2 > M3 > M4$.
5. August 2026 rates - repo 5.25, SDF 5.00, MSF 5.50, Bank Rate 5.50, CRR 3.00, SLR 18.00; stance neutral.
6. SDF is the corridor floor (uncollateralised, April 2022); MSF the ceiling (collateralised); corridor symmetric at 25 bps.
7. CRR - Section 42(1), RBI Act 1934, no interest. SLR - Section 24, Banking Regulation Act 1949, maximum 40%.
8. Quantitative tools - CRR, SLR, repo, SDF, MSF, Bank Rate, OMO. Qualitative - margin, rationing, moral suasion, direct action.
9. MPC - Section 452B (Finance Act 2016); six members, three external for four years, no re-appointment; quorum four; Governor's casting vote; meets at least four times a year.
10. Inflation target 4% CPI (Combined), band ± 2 per cent, notified under Section 452A; retained for 1 April 2026 to 31 March 2031.
11. Failure = average inflation outside 2-6% for three consecutive quarters, then a report to the Central Government.
12. Headline includes food and fuel; core excludes them. Demand-pull = excess demand; cost-push = input costs, can cause stagflation.
13. Deflation falls, disinflation slows, reflation revives, stagflation combines inflation with stagnation. Phillips curve - A.W. Phillips 1958.
14. CPI - NSO/MoSPI, base 2024=100 from 12 February 2026, includes services, is the RBI's target index.
15. WPI - Office of the Economic Adviser, DPIIT, base 2022-23 from 15 June 2026, excludes services; PPI launched alongside covers them.
16. CPI-IW - Labour Bureau, base 2016=100, used for dearness allowance. Rajasthan's own WPI has base year 1999-2000.
17. Nationalisation - 14 banks on 19 July 1969 (Rs 50 crore), 6 banks on 15 April 1980 (Rs 200 crore); Imperial Bank became SBI in 1955.
18. RRBs 1975 (Prathama Bank first, 2 Oct 1975); Centre 50 / sponsor 35 / State 15; 28 RRBs from 1 May 2025 under One State One RRB.
19. PSL 40% of ANBC (agri 18, micro 7.5, weaker sections 12); NPA at over 90 days; DICGC cover Rs 5 lakh; payments banks cap Rs 2 lakh, no lending (Nachiket Mor Committee).
20. SEBI statutory 1992 (Mumbai); IRDAI 1999 (Hyderabad); PMJDY 28 Aug 2014; MUDRA 8 April 2015; UPI by NPCI, April 2016. IBC 2016 - NCLT for companies, DRT

for individuals, 330 days.

IE04

Public Finance: Budget, Taxation, GST, Fiscal Policy,

FRBM

Indian Economy gives about 8 questions a paper, and public finance is the densest block inside it - expect 2-3. The questions are definitional and numerical, not analytical: a formula, an Article number, a rate, a percentage. Learn the tables cold and this chapter is fully bankable.

This chapter is about the government's own money - where it comes from, where it goes, and what it does when it falls short. Two things carry the marks: the four deficits with their formulas, and GST. RPSC asked GST and Input Tax Credit in 2018 and again in 2024, and the FRBM Act in 2023.

Public Finance

The Budget

- Art 112 Annual Financial Statement
- Revenue Budget + Capital Budget
- Receipts and expenditure
- Presented 1 February since 2017-18
- Charged vs voted expenditure

Taxes

- Direct vs indirect
- Progressive / regressive
- Tax buoyancy and elasticity
- Corporation tax 22% and 15%

The four deficits

- Revenue deficit
- Fiscal deficit = total borrowing
- Primary deficit = FD minus interest
- Effective revenue deficit (2011-12)

GST

- 101st Amendment Act, 2016
- Art 246A, 269A, 279A, 366(12A)
- CGST + SGST intra-State; IGST inter-State
- Council: Centre 1/3, States 2/3, decide by 3/4
- Slabs 5% and 18%, plus 40% on sin goods

FRBM

- Act 2003, in force 5 July 2004
- 2018 amendment: FD 3%, debt 40% + 60%
- Escape clause 0.5 percentage point
- N.K. Singh Committee 2017

Other levers

- Public debt and the NMP
- Disinvestment - DIPAM
- Black money - PMLA 2002
- Subsidies and DBT / PAHAL

What public finance is, and where the Constitution puts it

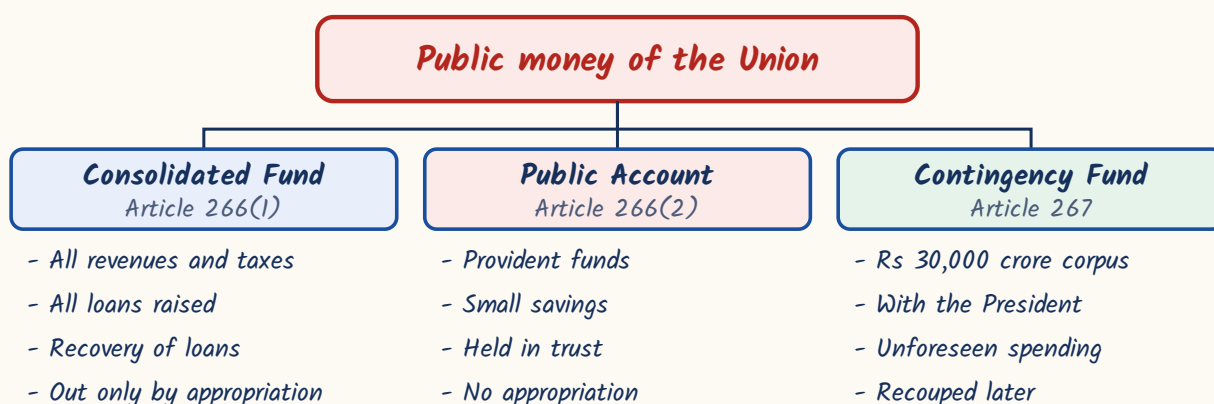
Public finance is the study of government income, government spending and the gap between the two. Private finance asks 'how much can I spend out of my income?' Public finance flips it - the government first decides what it must spend, then finds the money. That single reversal explains deficits, borrowing and tax policy. And nothing here is discretionary: every rupee has an Article behind it. Learn the Articles as pairs, because RPSC asks them as matching questions.

Budget and money Articles - the matching set

Article	What it covers
Article 112	Annual Financial Statement - the constitutional name of the Budget
Article 110	Definition of a Money Bill
Article 113	Demands for Grants - voted by the Lok Sabha
Article 114	Appropriation Bill - authority to withdraw from the Consolidated Fund
Article 116	Vote on Account, votes of credit, exceptional grants
Article 265	No tax shall be levied or collected except by authority of law
Article 266	Consolidated Fund of India and Public Account of India
Article 267	Contingency Fund of India - corpus Rs 30,000 crore, at the disposal of the President

- **Consolidated Fund** - all revenues, loans raised and loan recoveries; nothing leaves it without Parliament's appropriation.
- **Public Account** - money the government merely holds in trust (provident funds, small savings); no appropriation needed.
- **Contingency Fund** - an imprest for unforeseen spending, later recouped from the Consolidated Fund.
- If a question says 'no tax without authority of law', the answer is Article 265, not 266.

The three government funds

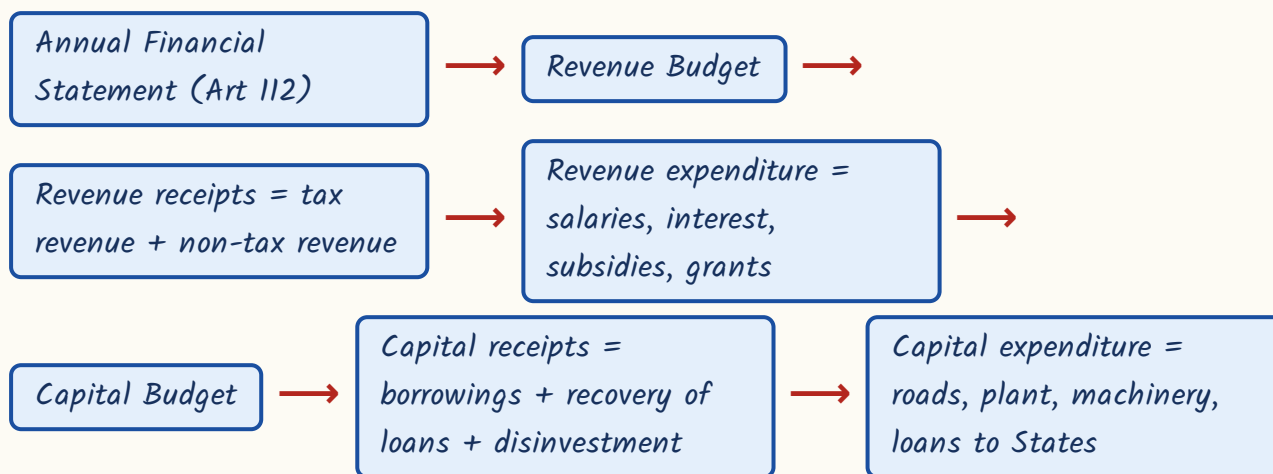


Some spending is deliberately placed beyond the vote of Parliament, so that the office concerned is not held to ransom by a majority. This is expenditure 'charged' on the Consolidated Fund of India: the President's emoluments; salaries of the Speaker, Deputy Speaker, Chairman and Deputy Chairman of Rajya Sabha; salaries and pensions of Supreme Court judges and of the CAG; debt charges of the Government of India; and sums needed to satisfy a court decree. Everything else is 'voted'. Note the exact wording - charged expenditure is not submitted to the vote of Parliament, but it CAN be discussed. An option saying it can neither be discussed nor voted is wrong.

The anatomy of the Budget - revenue side and capital side

Split the Budget twice and you will never be confused again. First split: Revenue Budget and Capital Budget. Second split, inside each: receipts and expenditure. That gives four boxes, and every budget number in the exam sits in one of them. The test is simple. A receipt is a revenue receipt if it neither creates a liability nor reduces an asset. It is a capital receipt if it creates a liability (borrowing) or reduces an asset (disinvestment, recovery of loans). Apply the same logic to expenditure - if it creates an asset or repays a liability, it is capital.

How the Union Budget is built up



The four boxes - learn one example of each

Box	Contains	Example
Revenue receipts	Tax and non-tax revenue	Income tax, GST, dividends from PSUs, interest received
Capital receipts	Debt and non-debt capital receipts	Market borrowing (debt); disinvestment and loan recovery (non-debt)
Revenue expenditure	Spending that creates no asset	Interest payments, salaries, pensions, subsidies
Capital expenditure	Spending that creates an asset or kills a liability	Highways, defence equipment, loans to States, repayment of principal

TRAP

Remember the rule - 'creates a liability or kills an asset = capital'. So disinvestment proceeds and recovery of loans are CAPITAL receipts, not revenue receipts. But they are non-debt capital receipts, so they reduce the fiscal deficit. A dividend from a PSU, on the other hand, is a revenue receipt. RPSC sets exactly this distinction.

- Since 2017-18 the Budget is presented on 1 February, not the last working day of February.
- From the same year the separate Railway Budget was merged into the general Budget.
- The plan / non-plan classification was abolished from 2017-18; the surviving classification is revenue / capital.
- Interest payments are the largest single item of revenue expenditure - about 26 per cent of total expenditure and 40 per cent of revenue receipts in the 2026-27 Budget.

The four deficits - the most confused topic in the chapter

Students lose more marks here than anywhere else in economy. There are four deficits and each answers a different question. Revenue deficit asks - is the government borrowing to meet day-to-day running costs? Fiscal deficit asks - how much must it borrow in total this year? Primary deficit asks - how much of that borrowing comes from this year's decisions, with the past stripped out? Effective revenue deficit asks - how much of the revenue deficit is genuinely unproductive, after removing grants that build assets? Two consequences follow. Fiscal deficit and total borrowing requirement are the same thing. And a zero primary deficit does not mean no borrowing - it means the government is borrowing exactly enough to pay interest on old debt and nothing more.

The four deficits with their formulas - memorise exactly

Deficit	Formula	What it tells you
Revenue deficit	Revenue expenditure - Revenue receipts	Current spending exceeds current income
Fiscal deficit	Total expenditure - (Revenue receipts + Non-debt capital receipts)	The total borrowing requirement of the government
Primary deficit	Fiscal deficit - Interest payments	This year's fiscal stance, past debt removed
Effective revenue deficit	Revenue deficit - Grants for creation of capital assets	Revenue deficit after removing asset-creating grants

The four deficits - how each is built from the one before

Revenue deficit

Revenue expenditure - Revenue receipts

the day-to-day gap

Effective revenue deficit

Revenue deficit - capital-asset grants

Budget 2011-12

Fiscal deficit

Total expenditure - non-debt receipts

= total borrowing

Primary deficit

Fiscal deficit - Interest payments

past debt removed

TRAP

Do not mix them up. Fiscal deficit = total expenditure minus total receipts EXCLUDING borrowings. Revenue deficit uses only the revenue account. Primary deficit is fiscal MINUS interest, never plus. Effective revenue deficit subtracts capital-asset grants from the REVENUE deficit, not from the fiscal deficit.

- Effective revenue deficit was introduced in the Union Budget 2011-12 and given statutory form by the FRBM (Amendment) Act, 2012.
- Monetised deficit = net RBI credit to the Centre - the part financed by printing money.
- Ad-hoc treasury bills, the old automatic monetisation route, were discontinued from 1 April 1997; Ways and Means Advances replaced them.
- Fiscal deficit is financed by market borrowing, small savings, external loans and drawdown of cash balances.

YAAD RAKHO

Numerical drill, because RPSC sets this sum. Revenue receipts 20, revenue expenditure 25, non-debt capital receipts 1, total expenditure 30. Revenue deficit = $25 - 20 = 5$. Fiscal deficit = $30 - (20 + 1) = 9$. If interest payments are 6, primary deficit = $9 - 6 = 3$.

FRBM Act and the N.K. Singh Committee

By 2000 the Centre's borrowing had become a habit rather than a policy. The FRBM Act was the attempt to bind the government's own hands by statute. It was enacted in 2003 and came into force on 5 July 2004. The Act is not a suicide pact, though - an escape clause allows a deviation of up to 0.5 percentage point from the fiscal deficit target on defined grounds: national security, act of war, national calamity, collapse of agriculture, structural reforms with unanticipated fiscal implications, or a sharp decline in real output growth. It was invoked during the COVID-19 years.

ASKED IN RAS

Asked in RAS Pre 2023 - in which year was the Fiscal Responsibility and Budget Management Act enacted? Answer: 2003. It came into force on 5 July 2004; do not let the 2004 option pull you.

- FRBM (Amendment) Act, 2018: fiscal deficit 3 per cent of GDP by 31 March 2021.
- Central Government debt not more than 40 per cent of GDP by 2024-25.
- General government debt - Centre plus States - not more than 60 per cent of GDP.
- Escape clause ceiling: 0.5 percentage point of GDP.
- Statements laid with the Budget under FRBM: the Medium Term Fiscal Policy cum Fiscal Policy Strategy Statement and the Macro-Economic Framework Statement.

FRBM Review Committee (N.K. Singh) - May 2016, reported January 2017

Item	Recommendation
Primary fiscal anchor	Debt-to-GDP ratio, replacing the fiscal deficit
General government debt	60 per cent of GDP = 40 per cent Centre + 20 per cent States
Fiscal deficit	2.5 per cent of GDP by 2022-23 - the Committee's number, NOT the Act's
New institution	A Fiscal Council for independent forecasts and assessment
Deviation	Escape clause of 0.5 percentage point with defined triggers

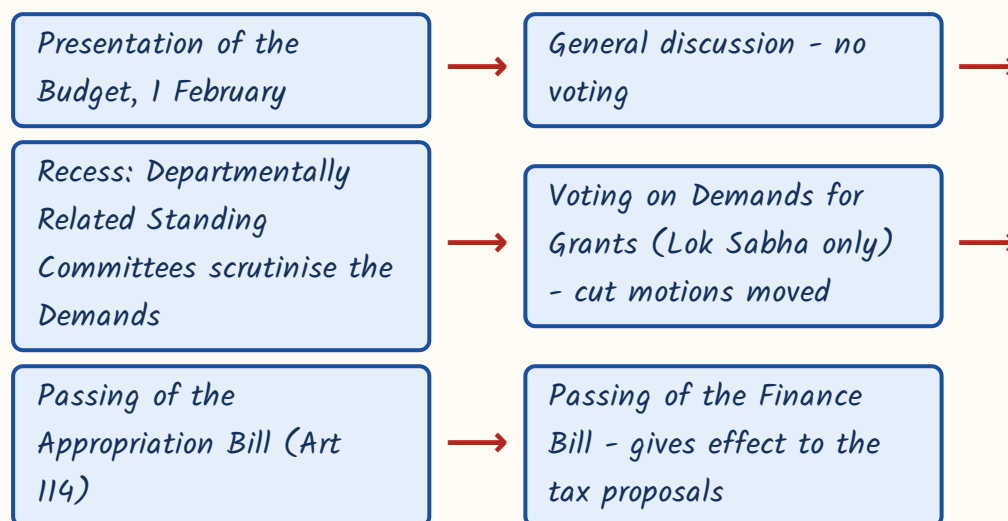
CURRENT LINK

Current link, as of September 2026: the Union Budget 2026-27, presented on 1 February 2026, put the fiscal deficit at 4.3 per cent of GDP (revised estimate for 2025-26 was 4.4 per cent). Total expenditure Rs 53,47,315 crore, capital expenditure Rs 12,21,821 crore, gross tax revenue Rs 44,04,086 crore. The Centre's new medium-term anchor is debt at 50 plus or minus 1 per cent of GDP by 2030-31 - the fiscal deficit is no longer the headline target.

How the Budget passes through Parliament

The Budget is not passed in one motion. It moves through six stages, and each stage has a name RPSC can ask. Learn the sequence, and learn the three cut motions by the amount each proposes.

Budget stages in Parliament



The three cut motions

Cut motion	What it says	Amount
Policy Cut	Total disapproval of the policy behind the demand	Reduce the demand to Re 1

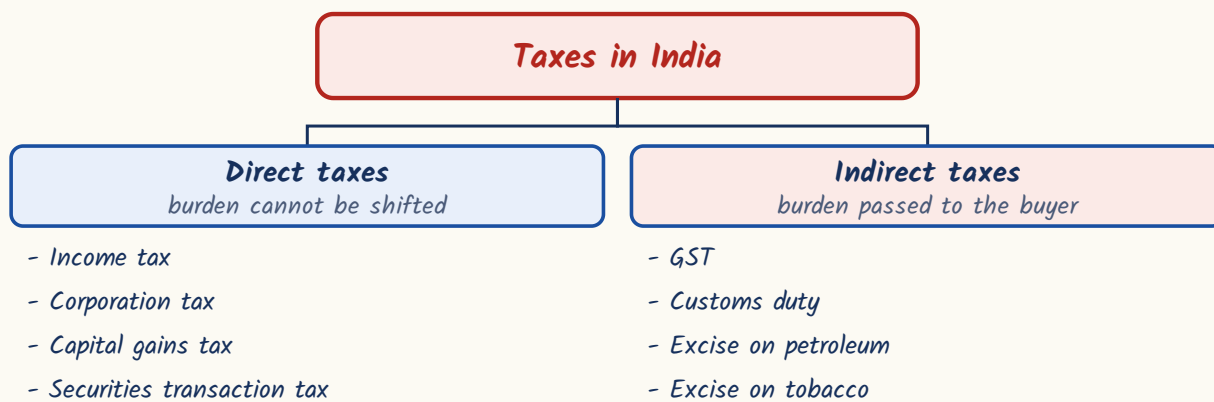
Cut motion	What it says	Amount
Economy Cut	Demand for economy in expenditure	Reduce by a specified amount
Token Cut	A specific grievance within the Centre's responsibility	Reduce by Rs 100

- Guillotine - the Speaker puts all outstanding Demands for Grants to vote together when time runs out.
- Vote on Account (Art 116) authorises WITHDRAWAL of money until the Appropriation Act is passed; it does not levy taxes.
- An interim budget is the whole document; the vote on account is only the spending authority inside it. They are not the same thing.
- Demands for Grants are voted only by the Lok Sabha; the Rajya Sabha may discuss but not vote.
- A cut motion passing amounts to a vote of no confidence, which is why they almost never pass.
- Supplementary, additional, excess and exceptional grants and votes of credit come under Articles 115 and 116.

Taxation - direct, indirect and the vocabulary that gets asked

A direct tax is one where the person who pays it also bears it - the burden cannot be passed on. An indirect tax is collected from one person but borne by another, usually the final consumer. Economists put it as impact versus incidence: for a direct tax both fall on the same person, for an indirect tax they fall on different people. That single sentence answers most classification questions in this chapter.

Classification of taxes



Direct tax vs indirect tax

Direct tax	Indirect tax
Impact and incidence on the same person	Impact on the seller, incidence on the consumer
Burden cannot be shifted	Burden is shifted forward in the price
Income tax, corporation tax, capital gains tax, securities transaction tax	GST, customs duty, central excise on petroleum and tobacco
Generally progressive - rate rises with the base	Regressive in effect - the poor pay a larger share of income
Collection cost high, evasion easier	Collection cost low, evasion harder, but inflationary
Reduces inequality	Does not by itself reduce inequality

- Progressive - rate rises as the base rises. Regressive - rate falls as the base rises. Proportional - rate stays flat.
 - Indirect taxes on mass-consumption goods work out regressive even at a flat rate, because the poor spend a larger share of income.
 - Tax buoyancy = percentage change in tax revenue / percentage change in GDP; it includes the effect of rate and base changes.
 - Tax elasticity nets out discretionary rate and base changes, so it measures the pure responsiveness of the system.
 - The Laffer curve says revenue first rises and then falls as the rate rises - beyond a point higher rates yield less.
-
- Corporation tax: 22 per cent concessional rate for existing domestic companies under Section 115BAA.
 - 15 per cent for new domestic manufacturing companies under Section 115BAB - both introduced in September 2019.
 - The Income-tax Act, 2025 replaces the Income-tax Act, 1961 with effect from 1 April 2026.
 - The Centre's gross tax-to-GDP ratio has stayed in the 11-12 per cent range in recent years.
 - The Kelkar Task Forces on direct and indirect taxes (2002) first proposed a national GST for India.

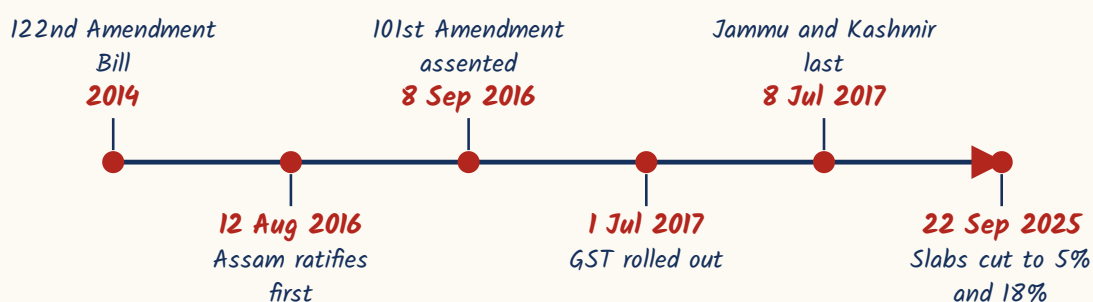
TRAP

Corporation tax, income tax, capital gains tax and securities transaction tax are DIRECT. Customs, excise and GST are INDIRECT. Every year some option smuggles securities transaction tax or capital gains tax into an 'indirect tax' list - it does not belong there.

GST - the constitutional architecture

GST is a destination-based, multi-stage, value-added tax on the supply of goods and services, with credit for tax paid at earlier stages. Before it, the Centre could not tax sales and the States could not tax services. To let both tax the same event, the Constitution itself had to be amended. Remember the surrounding dates too: assent on 8 September 2016, rollout on 1 July 2017, Assam the first State to ratify on 12 August 2016, and Jammu and Kashmir the last to adopt on 8 July 2017 - a week after the national rollout.

GST - from Bill to the two-slab structure



ASKED IN RAS

Asked in RAS Pre 2018 - GST was introduced by which Constitutional Amendment Act? Answer: the Constitution (101st Amendment) Act, 2016. It was introduced in Parliament as the 122nd Amendment BILL, 2014 - the bill number and the act number differ, and RPSC uses that gap as a distractor.

GST Articles - the matching set

Article	Subject
Article 246A	Concurrent power of the Union and the States to legislate on GST
Article 269A	IGST on inter-State supply - levied and collected by the Centre, apportioned between Centre and States
Article 279A	Goods and Services Tax Council - a constitutional body, not a statutory one

Article	Subject
Article 366(12A)	Definition of goods and services tax

GST Council under Article 279A

Element	Detail
Chairperson	Union Finance Minister
Members	Union Minister of State for Finance or Revenue; one Minister in charge of finance or taxation from each State
Vice-Chairperson	Chosen from among the State Ministers, by themselves
Quorum	One-half of the total number of members
Decision	Three-fourths of the weighted votes of members present and voting
Centre's weight	One-third of the total votes cast
States' weight	Two-thirds of the total votes cast, taken together

YAAD RAKHO

Remember the Council numbers as 1-2-3-4: Centre ONE-third, States TWO-thirds, THREE-fourths of weighted votes to decide, and quorum a HALF. Neither side can act alone. And note the exact wording - three-fourths of members PRESENT AND VOTING, weights on votes CAST. An option saying 'three-fourths of the total members' is wrong.

GST in operation - slabs, credit, exemptions and compensation

One supply, but who levies the tax depends on where it goes. Within a State, the Centre levies CGST and the State levies SGST, each at half the applicable rate. Across States, the Centre levies a single IGST equal to CGST plus SGST, and then apportions it. In Union Territories without a legislature, SGST is replaced by UTGST.

Nature of supply to tax levied

Nature of supply	Tax levied
Supply within a State	CGST + SGST
Supply within a UT without legislature	CGST + UTGST
Supply from one State to another	IGST
Import of goods	IGST plus basic customs duty

ASKED IN RAS

Asked in RAS Pre 2018 and again in RAS Pre 2024 - Input Tax Credit. ITC lets a dealer set off tax paid on inputs against tax due on output, which is what stops GST from cascading. Learn the order: IGST credit is used first against IGST, then against CGST, then against SGST. And CGST credit can never be set off against SGST, nor SGST against CGST. A two-paper repeat - expect a third.

Inside, outside and exempt - keep the three apart

Category	Items
Outside GST permanently, by Art 366(12A)	Alcoholic liquor for human consumption
Outside GST till the Council notifies a date	Petroleum crude, petrol, high speed diesel, natural gas, aviation turbine fuel
Never in GST at all	Electricity duty and stamp duty - State levies
Inside GST but excise also applies	Tobacco and tobacco products

Category	Items
Exempt or nil-rated inside GST	Fresh fruits and vegetables, unbranded foodgrains, salt, healthcare and education services

ASKED IN RAS

Asked in RAS Pre 2018 and RAS Pre 2024 - which item is NOT kept outside GST? In such a set the answer is tobacco, which is inside GST and carries central excise as well. Alcoholic liquor for human consumption and the five petroleum products are the ones outside.

- Composition scheme turnover limit: Rs 1.5 crore (Rs 75 lakh in special category States).
- Composition rates: 1 per cent for traders and manufacturers, 5 per cent for restaurants, 6 per cent for service providers up to Rs 50 lakh.
- Composition dealers get no Input Tax Credit and cannot make inter-State outward supplies.
- E-way bill is required for a consignment above Rs 50,000 in value.
- GSTN is now wholly government-owned - Centre 50 per cent, States and UTs 50 per cent, after the 2018 restructuring.
- Compensation: 14 per cent assumed annual revenue growth over base year 2015-16, guaranteed for five years to 30 June 2022.
- The compensation cess was extended to 31 March 2026 to service the back-to-back loans raised for States.
- The Empowered Committee of State Finance Ministers on GST was first chaired by Asim Dasgupta.

CURRENT LINK

Current link, as of September 2026: the 56th GST Council meeting on 3 September 2025 rationalised the rate structure. From 22 September 2025 the 12 per cent and 28 per cent slabs were abolished. The principal slabs are now 5 per cent and 18 per cent, with a 40 per cent rate on demerit and sin goods such as pan masala, tobacco and aerated drinks. Special rates survive - 0.25 per cent on rough diamonds, 1.5 per cent on cut and polished diamonds, 3 per cent on gold and silver. Individual life and health insurance premiums were exempted by the same decision. This is the single most likely GST question for 2026.

Public debt, disinvestment, black money and subsidies

The tail of this chapter is a set of scattered facts, and they are easy marks because each is a single date, name or number. Do not skip them - RPSC likes exactly this kind of one-liner.

- Disinvestment is handled by DIPAM - Department of Investment and Public Asset Management, renamed from the Department of Disinvestment in 2016.
- National Monetisation Pipeline - August 2021, NITI Aayog, about Rs 6 lakh crore of brownfield assets over FY2022 to FY2025.
- Under the NMP, ownership stays with the government; only the right to operate and earn is transferred for a period.
- Strategic disinvestment means transfer of management control; a minority stake sale does not.

Black money - the legal machinery

Law or body	Year
Prevention of Money Laundering Act	Enacted 2002, in force 1 July 2005

Law or body	Year
SIT on black money, headed by Justice M.B. Shah	2014
Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act	2015
Benami Transactions (Prohibition) Amendment Act	2016

- Direct Benefit Transfer was launched on 1 January 2013.
- PAHAL (DBTL) for the LPG subsidy was re-launched nationwide on 1 January 2015 and is in the Guinness World Records as the world's largest cash transfer programme.
- The three major subsidies of the Union Government are food, fertiliser and petroleum.
- DBT reduces the subsidy bill by cutting leakage and duplicate beneficiaries, not by cutting the entitlement.
- Chronology ladder, part 1: FRBM 2003, PMLA in force 2005, DBT 2013, Black Money Act 2015.
- Chronology ladder, part 2: 101st Amendment 2016, GST rollout 1 July 2017, NMP August 2021, GST rate rationalisation 22 September 2025.

REVISION RECAP

1. Article 112 Annual Financial Statement, 110 Money Bill, 113 Demands for Grants, 114 Appropriation Bill, 116 Vote on Account.
2. Article 265 no tax without law; 266 Consolidated Fund and Public Account; 267 Contingency Fund, Rs 30,000 crore, with the President.
3. Charged expenditure - President, Speaker, SC judges, CAG, debt charges - discussed but not voted.
4. Capital receipt = creates a liability or reduces an asset. Disinvestment and loan recovery are non-debt capital receipts.
5. Revenue deficit = revenue expenditure minus revenue receipts.
6. Fiscal deficit = total expenditure minus (revenue receipts + non-debt capital receipts) = total borrowing requirement.

7. Primary deficit = fiscal deficit minus interest payments. Effective revenue deficit = revenue deficit minus capital-asset grants (Budget 2011-12, FRBM Amendment 2012).
8. Ad-hoc treasury bills ended 1 April 1997; WMA replaced automatic monetisation.
9. FRBM enacted 2003, in force 5 July 2004. 2018 amendment: FD 3% by March 2021, Centre's debt 40%, general government 60%; escape clause 0.5 percentage point.
10. N.K. Singh Committee - May 2016, report January 2017; debt-to-GDP anchor, 60% = 40% + 20%, FD 2.5% by 2022-23, Fiscal Council.
11. Budget 2026-27 (1 February 2026): fiscal deficit 4.3% of GDP; new debt anchor 50 plus or minus 1 per cent of GDP by 2030-31.
12. Cut motions - Policy (Re 1), Economy (specified amount), Token (Rs 100). Guillotine closes the debate.
13. Direct tax burden cannot be shifted; indirect can. Buoyancy includes rate changes, elasticity does not.
14. Corporation tax 22% under IISBAA, 15% for new manufacturing under IISBAB, both from September 2019.
15. GST - Constitution (101st Amendment) Act 2016, introduced as the 122nd Amendment Bill 2014, rolled out 1 July 2017; Assam ratified first, J&K adopted last.
16. Art 246A concurrent GST power, 269A IGST, 279A Council, 366(12A) definition.
17. GST Council - Union FM chairs; Centre one-third, States two-thirds, three-fourths of weighted votes to decide, quorum one-half.
18. ITC order - IGST against IGST, then CGST, then SGST; CGST and SGST credits never cross.
19. Outside GST - alcohol permanently, five petroleum products till notified; tobacco is inside GST plus excise.
20. From 22 September 2025 - slabs 5% and 18%, 40% on sin goods; compensation was 14% growth over base 2015-16, guaranteed to 30 June 2022, cess extended to 31 March 2026.

IEOS

Fiscal Federalism, Finance Commission and Centre-State Financial Relations

1-2 questions a paper, and rising - the Finance Commission came up three separate times in RAS Pre 2024. The 16th Finance Commission's award period begins on 1 April 2026, which makes it a near-certain current-affairs hook for the December 2026 paper. Learn Articles 268 to 281 as a table and the two devolution formulas as numbers.

Who collects the money, who spends it, and how the gap between the two is bridged. Fiscal federalism is named in the RAS syllabus in so many words, and most candidates under-prepare it. RPSC asked the Finance Commission's composition, its functions and the 15th FC's 41 per cent devolution in the 2024 paper alone.

Fiscal Federalism

The problem

- Centre collects the elastic taxes
- States carry the spending burden
- Vertical imbalance and horizontal imbalance

15th FC (2021-26)

- N.K. Singh, devolution 41%
- Income distance 45%
- Revenue deficit grants, 17 States
- State fiscal deficit glide path

Articles 268-282

- 268 levied by Union, collected by States
- 269 assigned taxes, 269A IGST
- 270 divisible pool, 271 surcharge
- 275 statutory grants, 282 discretionary grants

16th FC (2026-31)

- Arvind Panagariya
- Share retained at 41%
- New criterion - contribution to GDP
- Revenue deficit grants discontinued

Finance Commission

- Art 280 - every fifth year
- Chairman + four other members
- Advisory; laid before Parliament (Art 281)
- Qualifications under the 1951 Act

Other channels

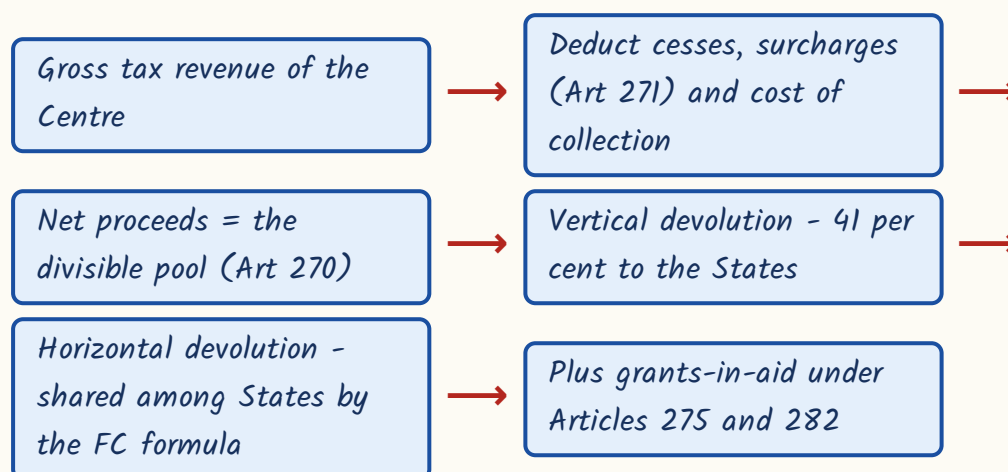
- Grants-in-aid, Art 275 and 282
- Centrally sponsored vs central sector
- GST Council and compensation
- State borrowing under Art 293

What fiscal federalism actually means

India's Constitution hands the elastic, high-yield taxes to the Centre and hands the heavy day-to-day spending responsibilities to the States. Health, agriculture, police, school education, irrigation - all overwhelmingly State subjects. Income tax, corporation tax, customs - all Union. So the Centre collects more than it needs to spend, and the States spend more than they collect. Fiscal federalism is the set of arrangements that moves money from the first to the second.

- Vertical imbalance - the mismatch between the Centre and the States as a whole; corrected by tax devolution.
- Horizontal imbalance - the mismatch among States; corrected by the horizontal formula and by grants.
- States account for roughly 60 per cent of general government expenditure but a much smaller share of collection - that is the whole reason the Finance Commission exists.
- Three channels of transfer: share in central taxes, grants-in-aid, and loans.

How a rupee of central tax reaches a State



ASKED IN RAS

Asked in RAS Pre 2024 - which of these are excluded from the divisible pool? Answer: surcharges, cesses AND the cost of collection - all three. This is exactly why States complain when the Centre raises revenue through a cess rather than through basic duty. A repeat-risk question; do not tick only two.

Articles 268 to 282 - the constitutional plumbing

This is a pure memory block and it is worth the memory, because RPSC's favourite format here is Article-to-subject matching. Learn it in two halves - the tax-sharing Articles first, then the grants and machinery Articles. One Article needs a second look: Article 272 no longer exists. The 80th Amendment of 2000, acting on the Tenth Finance Commission's alternative devolution scheme, repealed it and pooled all central taxes into a single divisible pool. Before that, income tax and Union excise were shared under separate Articles.

Part I - who levies, who collects, who keeps

Article	Subject
268	Duties levied by the Union but collected and appropriated by the States (stamp duties in the Union List)
269	Taxes on inter-State sale and consignment - levied and collected by the Union, assigned to the States
269A	IGST on inter-State supply - levied and collected by the Government of India, apportioned between Union and States
270	Taxes levied and distributed between the Union and the States - the divisible pool
271	Surcharge on taxes and duties for Union purposes - NOT shared with the States
272	Repealed by the 80th Amendment, 2000, which created the single divisible pool
273	Grants in lieu of export duty on jute and jute products - Assam, Bihar, Odisha, West Bengal

Article	Subject
274	Prior recommendation of the President for Bills affecting State taxation interests

Part 2 – grants, ceilings and machinery

Article	Subject
275	Statutory grants-in-aid to needy States, charged on the Consolidated Fund of India; includes grants for Scheduled Tribes and Scheduled Areas
276	Taxes on professions, trades, callings and employments - ceiling Rs 2,500 per person per year
277	Savings for pre-Constitution taxes being levied by States
279	'Net proceeds' ascertained and certified by the CAG - the certificate is final
279A	Goods and Services Tax Council
280	Finance Commission
281	Recommendations of the Finance Commission laid before each House of Parliament
282	Discretionary grants by the Union or a State for any public purpose

- Article 275 grants are STATUTORY and charged on the Consolidated Fund - a right, not a favour.
- Article 282 grants are DISCRETIONARY - the constitutional peg on which centrally sponsored schemes on State List subjects hang.
- Article 292 - borrowing by the Union. Article 293 - borrowing by the States. Article 360 - Financial Emergency.
- Remember the pair: 275 = Statutory, 282 = scheme grants at the Union's discretion.
- The professional tax ceiling of Rs 2,500 a year under Article 276 has been asked as a straight one-liner.

The Finance Commission - Article 280

The Finance Commission is a constitutional body, appointed by the President, whose job is to decide how the money is split. It is quasi-judicial in character and its recommendations are advisory - the government is not bound by them. In practice the tax devolution recommendation has always been accepted; grants sometimes are not.

ASKED IN RAS

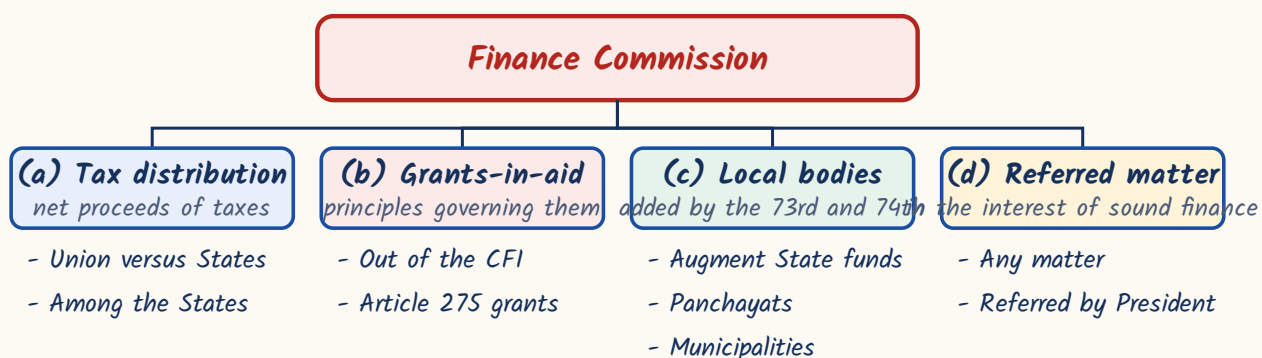
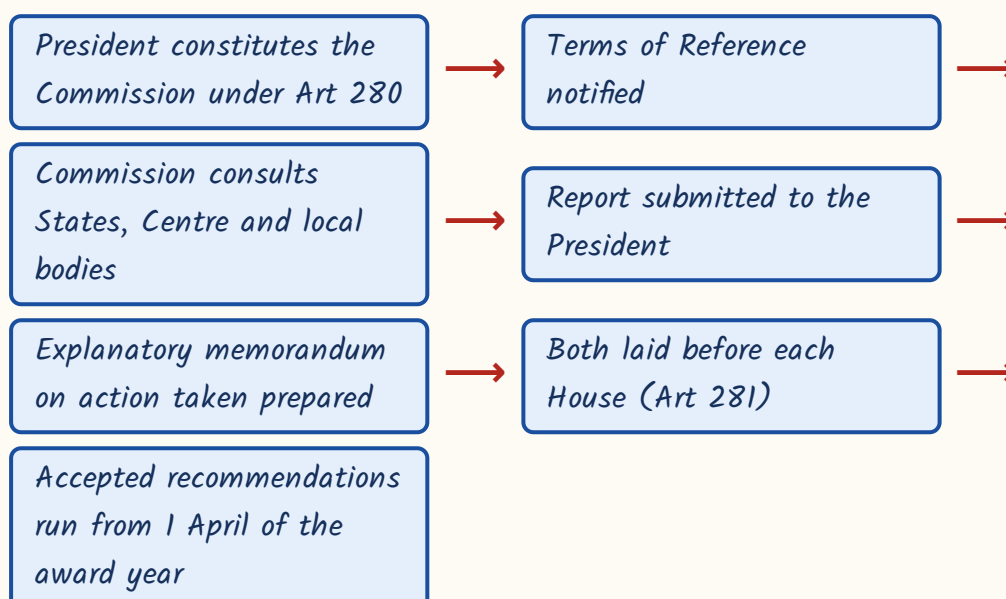
Asked in RAS Pre 2024 - the Finance Commission consists of? Answer: a Chairman and four other members. Not five members, not a Chairman and five members. Learn the exact phrasing.

Finance Commission - the essentials

Element	Detail
Article	280
Appointed by	The President
When	Every fifth year, or earlier if the President considers it necessary
Composition	A Chairman and four other members
Qualifications	Determined by Parliament - Finance Commission (Miscellaneous Provisions) Act, 1951
Status	Advisory; report plus an explanatory memorandum on action taken is laid before each House (Art 281)

ASKED IN RAS

Asked in RAS Pre 2024 - which of the following are functions of the Finance Commission? The four duties under Article 280(3) are: (a) distribution of the net proceeds of taxes between Union and States and among the States; (b) the principles governing grants-in-aid out of the Consolidated Fund of India; (c) measures to augment a State's Consolidated Fund to supplement the resources of Panchayats and Municipalities; (d) any other matter referred by the President. The paper tests whether you know the local-body clause belongs to the FC too.

The four duties under Article 280(3)**Life-cycle of a Finance Commission report**

TRAP

Article 279 is 'net proceeds certified by the CAG'. Article 280 is the Finance Commission. Article 281 is the laying before Parliament. Candidates routinely mark 279 for the Finance Commission - do not. Clause (c) of 280(3) came in with the 73rd and 74th Amendments.

The Finance Commissions in sequence - names and shares

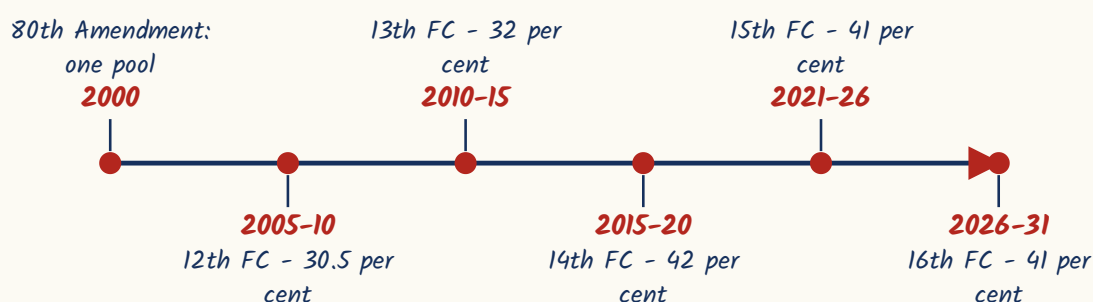
Two things get asked from this history: the chairman-to-commission matching, and the devolution percentage each one recommended. Learn the recent ones first - Twelfth onwards - because that is where the questions cluster.

Finance Commissions - chairman and devolution share

Commission	Chairman	Share of States in the divisible pool
First (1952-57)	K.C. Neogy	-
Second	K. Santhanam	-
Third	A.K. Chanda	-
Twelfth (2005-10)	C. Rangarajan	30.5 per cent
Thirteenth (2010-15)	Vijay Kelkar	32 per cent
Fourteenth (2015-20)	Y.V. Reddy	42 per cent
Fifteenth (2021-26)	N.K. Singh	41 per cent
Sixteenth (2026-31)	Arvind Panagariya	41 per cent

The Fourteenth Finance Commission is the turning point. Y.V. Reddy raised devolution in one jump from 32 to 42 per cent - the largest increase ever - and ended the distinction between special and general category States for the purpose of devolution. The catch is that the jump came with a matching cut in centrally sponsored scheme funding, so the net gain to States was smaller than the headline suggested.

The States' share of the divisible pool



- The 15th FC brought the share down by exactly one percentage point, to 41 per cent.
- That one point was set aside for the newly created Union Territories of Jammu and Kashmir and Ladakh.
- The 16th FC has retained 41 per cent, so the States' share has been stable around 41-42 for a decade.
- The First Finance Commission was constituted in 1951 under K.C. Neogy; its award period was 1952-57.

YAAD RAKHO

Remember the recent ladder: 12th Rangarajan 30.5, 13th Kelkar 32, 14th Reddy 42, 15th N.K. Singh 41, 16th Panagariya 41. And note that N.K. Singh chaired BOTH the FRBM Review Committee and the 15th Finance Commission - that overlap is a favourite matching distractor.

The Fifteenth Finance Commission, 2021-26

This is the commission whose award was running until 31 March 2026. It was constituted on 27 November 2017, chaired by N.K. Singh, and it gave two reports - an interim one for 2020-21 and a final one for 2021-26.

ASKED IN RAS

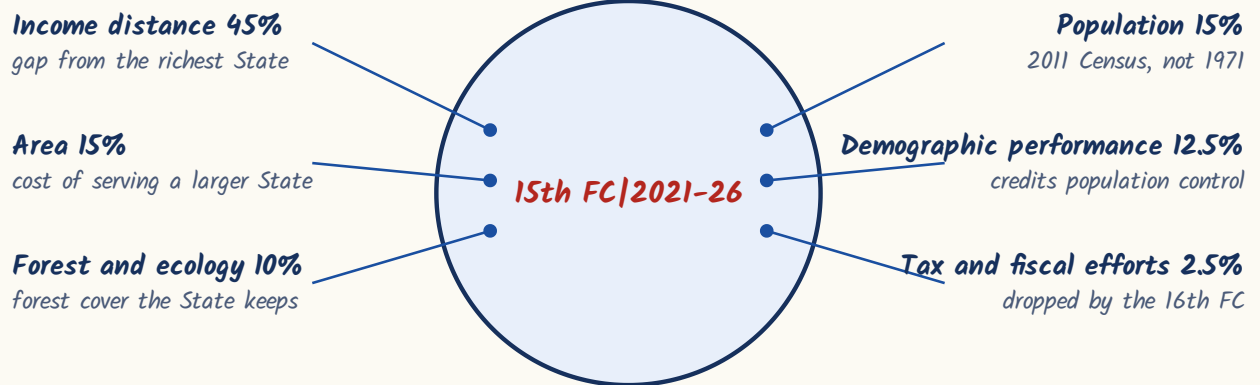
Asked in RAS Pre 2024 - the vertical devolution recommended by the Fifteenth Finance Commission for 2021-26? Answer: 41 per cent of the divisible pool. Remember why it is 41 and not 42 - one percentage point was carved out for the new UTs of J&K and Ladakh.

15th FC horizontal devolution - criteria and weights

Criterion	Weight
Income distance	45 per cent
Population (2011 Census)	15 per cent
Area	15 per cent
Demographic performance	12.5 per cent
Forest and ecology	10 per cent
Tax and fiscal efforts	2.5 per cent

Income distance carries the highest weight and it is the equalising criterion - the further a State's per capita income falls below the richest State's, the more it gets. Demographic performance was added to reassure the southern States that they were not being punished for having controlled population growth, since the Commission had been told to use the 2011 Census rather than 1971.

15th FC horizontal formula - the six criteria



- Revenue deficit grants of Rs 2,94,514 crore, for 17 States.
- Local government grants of Rs 4,36,361 crore - the Panchayat and Municipality channel under Article 280(3)(c).
- Disaster risk management grants of Rs 1,60,153 crore.
- A Modernisation Fund for Defence and Internal Security was also recommended.

15th FC fiscal deficit glide path for the States

Year	Ceiling as a percentage of GSDP
2021-22	4.0 per cent
2022-23	3.5 per cent
2023-24 to 2025-26	3.0 per cent
Extra allowance	0.5 per cent, linked to power sector reform performance

The Sixteenth Finance Commission - the live current affair

This is the highest-probability current-affairs item in the whole of Indian Economy for the December 2026 paper. The 16th FC's award period started on 1 April 2026, so the exam falls inside its first year. Learn the chairman, the members, the dates and the changed formula.

Sixteenth Finance Commission - the basics

Element	Detail
Constituted	31 December 2023
Chairman	Dr. Arvind Panagariya
Full-time members	Ajay Narayan Jha, Annie George Mathew, Niranjan Rajadhyaksha
Part-time member	Soumya Kanti Ghosh
Award period	2026-27 to 2030-31
Report submitted	17 November 2025, to the President
Tabled in Parliament	Along with the Union Budget 2026-27

15th FC vs 16th FC - horizontal criteria and weights

15th FC (2021-26)	16th FC (2026-31)
Income distance 45%	Income distance 42.5%
Population, 2011 Census, 15%	Population, 2011 Census, 17.5%
Area 15%	Area 10%
Demographic performance 12.5%	Demographic performance 10%
Forest and ecology 10%	Forest and ecology 10%
Tax and fiscal efforts 2.5%	Contribution to GDP 10% - new; tax and fiscal efforts dropped

- Vertical devolution is unchanged at 41 per cent - an option saying the 16th FC raised or cut the share is wrong.
- Revenue deficit grants have been discontinued - a clean break from every recent commission.
- The fiscal deficit ceiling for States is retained at 3 per cent of GSDP.
- The Commission asked for an end to off-budget borrowings by States, which had kept debt off the books.

CURRENT LINK

Current link, as of September 2026: the 16th Finance Commission's award has been in force since 1 April 2026, with States' share held at 41 per cent. The headline change is the entry of 'contribution to GDP' at 10 per cent as a new horizontal criterion and the dropping of tax and fiscal efforts. Expect a direct question on either the chairman or the new criterion.

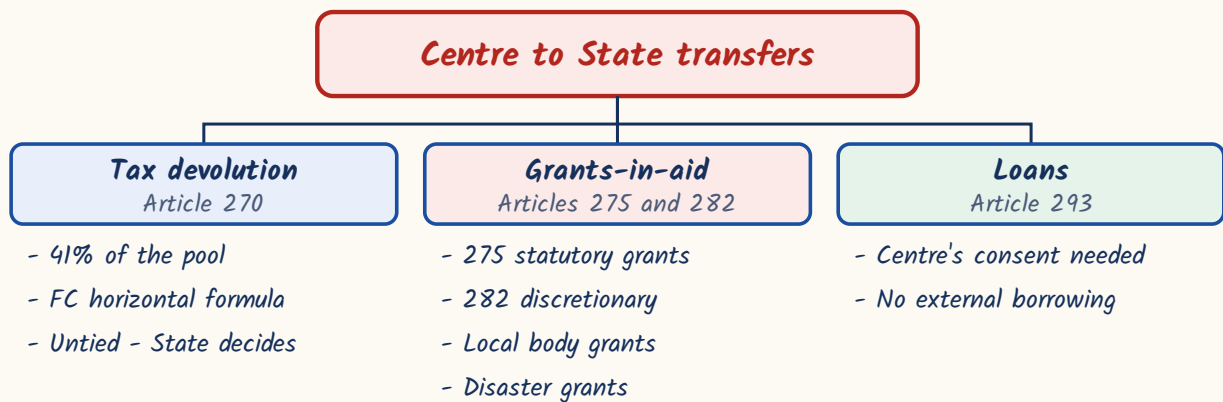
YAAD RAKHO

Remember the 16th FC formula as $42.5 - 17.5 - 10 - 10 - 10 - 10$: one big criterion, one medium, four tens. Set it against the 15th FC's $45 - 15 - 15 - 12.5 - 10 - 2.5$. Under the 15th, Population and Area were equal at 15; under the 16th they are not.

Grants, and borrowing by the States

Devolution is only one pipe. Money also reaches States as grants-in-aid, and States raise their own money by borrowing. Both are constitutionally fenced.

Three channels by which money reaches a State



Types of grants to States

Type	Basis	Nature
Statutory grants	Article 275, on FC recommendation	Charged on the Consolidated Fund of India
Discretionary grants	Article 282	At the Union's discretion, for any public purpose
Grants in lieu of jute export duty	Article 273	Assam, Bihar, Odisha, West Bengal
Revenue deficit grants	FC recommendation under Art 275	Fill the post-devolution revenue gap
Local body grants	Article 280(3)(c), through the FC	To Panchayats and Municipalities via the State
Disaster grants	FC recommendation	Contributions to SDRF and NDRF

Article 293 governs State borrowing. A State may borrow within India on the security of its Consolidated Fund. But the moment any loan from the Centre is still outstanding, or the Centre has guaranteed a State loan, the State cannot raise a fresh loan without the Centre's consent. Since almost every State has central loans outstanding, in practice the Centre controls State borrowing.

- States cannot borrow from abroad at all - external borrowing is a Union monopoly.
- Article 292 covers Union borrowing on the security of the Consolidated Fund of India, within limits fixed by Parliament.
- Article 360 provides for a Financial Emergency - never yet invoked in India.
- Off-budget borrowing by State entities has been the main way round the Article 293 limits; the 16th FC wants it stopped.

Schemes, the GST Council and cooperative federalism

After the Planning Commission went, the scheme architecture was rebuilt around two categories. Get the distinction right - it is a clean idea and RPSC has asked the sharing ratio directly.

Centrally Sponsored Schemes vs Central Sector Schemes

Centrally Sponsored Scheme	Central Sector Scheme
On State List or Concurrent List subjects	On Union List subjects
Cost shared between Centre and States	Fully funded by the Centre
Usual ratio 60:40 for general States	100 per cent central funding
90:10 for North-Eastern and Himalayan States; 100% for UTs without legislature	No State share at all
Implemented through State machinery	Implemented by central agencies
MGNREGA, PMAY, Samagra Shiksha	PM-KISAN, national highways, defence

- Centrally sponsored schemes were restructured after the 2015 report of the Chief Ministers' sub-group chaired by Shivraj Singh Chouhan.
- The three buckets are Core of the Core, Core, and Optional.
- Core of the Core includes MGNREGA, the National Social Assistance Programme, and the umbrella programmes for Scheduled Castes, Scheduled Tribes, minorities and other vulnerable groups.
- Article 282 is the constitutional basis that lets the Union fund schemes on State subjects at all.

The GST Council is the clearest case of shared sovereignty in Indian fiscal federalism. The States gave up their independent power to tax sales and the Centre gave up excise on most goods; what replaced both is a joint body in which the Centre holds one-third of the vote, the States two-thirds, and three-fourths is needed to decide. Neither side can act alone. The Supreme Court has held that the Council's recommendations are persuasive, not binding on either the Union or the States.

- Compensation was guaranteed for five years to 30 June 2022, at an assumed 14 per cent revenue growth over base year 2015-16.
- The compensation cess was extended to 31 March 2026 to service the back-to-back loans taken for the States.
- IGST is apportioned under Article 269A, so inter-State GST revenue never sits wholly with the Centre.
- NITI Aayog replaced the Planning Commission on 1 January 2015; the Prime Minister is its Chairperson.
- Its Governing Council has all Chief Ministers and the Lieutenant Governors of Union Territories.
- NITI Aayog is a think tank - it has NO power to allocate funds, unlike the Planning Commission.

CURRENT LINK

Current link, as of September 2026: the GST compensation window itself ended on 30 June 2022, and the compensation cess was levied only up to 31 March 2026 to service the back-to-back loans raised for the States - so 2026-27 is the first year of GST with neither compensation nor cess behind it. The rate structure States now share is the two-slab one that took effect on 22 September 2025: 5 per cent and 18 per cent, with 40 per cent on demerit and sin goods. Pair the two dates - 30 June 2022 for the guarantee, 31 March 2026 for the cess - because RPSC sets them as a matching pair.

- *Special Category Status finds no mention in the Constitution.*
- *It was introduced in 1969 on the Fifth Finance Commission's advice, under the Gadgil formula.*
- *It was granted by the National Development Council, not by the Finance Commission.*
- *Criteria: hilly and difficult terrain; low population density or sizeable tribal population; strategic international border location.*
- *Further criteria: economic and infrastructural backwardness, and non-viable State finances.*

TRAP

Special Category Status was granted by the National Development Council. Per capita income is NOT one of its criteria - options routinely slip it in. And remember that the 14th FC ended the special-versus-general distinction for devolution, without abolishing the status itself.

REVISION RECAP

1. Vertical imbalance is Centre versus all States; horizontal imbalance is among States.
2. Divisible pool excludes cesses, surcharges (Art 271) and the cost of collection.

3. 268 Union levies and States collect and keep; 269 assigned taxes; 269A IGST; 270 divisible pool; 271 surcharge, unshared.
4. 272 repealed by the 80th Amendment, 2000, on the 10th FC's recommendation - single divisible pool since.
5. 273 jute grants to Assam, Bihar, Odisha, West Bengal; 275 statutory grants; 276 professional tax ceiling Rs 2,500; 279 CAG certifies net proceeds; 282 discretionary grants.
6. Article 280 - Finance Commission, appointed by the President every fifth year, a Chairman plus four members; qualifications under the 1951 Act.
7. Art 280(3) duties: tax distribution, grants-in-aid principles, augmenting State funds for Panchayats and Municipalities, any matter referred by the President.
8. Art 281 - report plus action-taken memorandum laid before both Houses; the recommendations are advisory.
9. 1st FC K.C. Neogy 1952-57; 12th Rangarajan 30.5%; 13th Kelkar 32%; 14th Y.V. Reddy 42%.
10. The 14th FC also ended the special / general category distinction for devolution.
11. 15th FC - N.K. Singh, constituted 27 November 2017, interim report 2020-21, final 2021-26, devolution 41%.
12. 15th FC weights: income distance 45, population 15, area 15, demographic performance 12.5, forest and ecology 10, tax and fiscal effort 2.5.
13. 15th FC grants: revenue deficit Rs 2,94,514 crore for 17 States; local bodies Rs 4,36,361 crore; disaster Rs 1,60,153 crore.
14. State fiscal deficit glide path: 4% in 2021-22, 3.5% in 2022-23, 3% thereafter, plus 0.5% for power sector reform.
15. 16th FC - constituted 31 December 2023, Chairman Arvind Panagariya, award 2026-27 to 2030-31, report submitted 17 November 2025.
16. 16th FC weights: income distance 42.5, population 17.5, area 10, forest and ecology 10, demographic performance 10, contribution to GDP 10 (new).
17. 16th FC keeps 41%, drops tax and fiscal effort, discontinues revenue deficit grants, keeps the 3% GSDP ceiling.
18. Art 293 - a State needs the Centre's consent to borrow while any central loan is outstanding; States cannot borrow abroad.
19. CSS shared 60:40, and 90:10 for NE and Himalayan States; Central Sector Schemes are 100 per cent central, e.g. PM-KISAN.
20. Special Category Status - not in the Constitution, 1969, Fifth FC advice, Gadgil formula, granted by the NDC.

IE06

Agriculture: Development, Reforms and Policy

2-3 questions a paper across Indian and Rajasthan economy, and the scheme block overlaps heavily with current affairs. Atal Bhujal Yojana was asked in 2021 AND 2023, MSP crops in 2023, NFSA in 2018, PM-KISAN in 2021. Schemes with a Rajasthan link - Soil Health Card launched at Suratgarh, Atal Bhujal covering Rajasthan - are doubly likely.

The sector that supports close to half the workforce but contributes about a sixth of value added. RPSC does not ask you to debate farm policy - it asks which State was declared fully organic, how many crops get MSP, how many States run Atal Bhujal Yojana, and who chaired the Doubling Farmers' Income Committee. Scheme names, years and numbers carry the marks.

Indian Agriculture

Land reforms

- Abolition of intermediaries
- Tenancy reform - Operation Barga
- Ceiling on holdings
- Consolidation - Punjab and Haryana
- Bhoodan 1951, Pochampally

Food security

- NFSA 2013 - 75% rural, 50% urban
- 5 kg per person; AAY 35 kg per family
- Eldest woman is head of household
- PDS through Fair Price Shops

Allied

- White Revolution - Operation Flood 1970
- Blue Revolution - PMMSY 2020
- Rashtriya Gokul Mission 2014
- Largest producer of milk and pulses

Green Revolution

- IADP 1960-61, Thanjavur
- HYVP 1966-67
- Wheat Lerma Rojo 64A, Sonora 64; rice IR-8
- M.S. Swaminathan; Borlaug, Nobel 1970

Marketing

- APMC; Model Acts 2003, 2017, 2018
- eNAM 14 April 2016, run by SFAC
- Farm laws 2020, repealed 2021

Prices and procurement

- CACP 1965, advisory only
- MSP for 22 crops, FRP for sugarcane
- A2, A2+FL, C2 cost concepts
- FCI 1965; DCP since 1997-98

Schemes

- PM-KISAN Rs 6,000 in 3 instalments
- PMFBY 2016 - 2 / 1.5 / 5 per cent premium
- Soil Health Card 2015, Suratgarh
- PMKSY, Atal Bhujal, PKVY, 10,000 FPOs

Where agriculture sits in the economy

Start with the imbalance that defines the sector. Agriculture and allied activities contribute roughly a sixth of gross value added but support close to half of all workers. That gap - small share of output, large share of employment - is why farm incomes lag, and it is why almost every policy in this chapter exists. Learn the two area terms too: gross cropped area counts a field twice if it is sown twice, net sown area counts it once, and cropping intensity is the ratio of the two.

- Average operational holding, Agriculture Census 2015-16: 1.08 hectares.
- Small and marginal holdings - below 2 hectares - are 86.2 per cent of all holdings and operate about 47 per cent of the area.
- Cropping intensity = $(\text{Gross cropped area} / \text{Net sown area}) \times 100$. Above 100 means more than one crop a year on the same land.
- Do not confuse cropping intensity, which is a ratio of areas, with cropping pattern, which is the mix of crops grown.
- ICAR, the apex research body, was set up on 16 July 1929 on the recommendation of the Royal Commission on Agriculture.

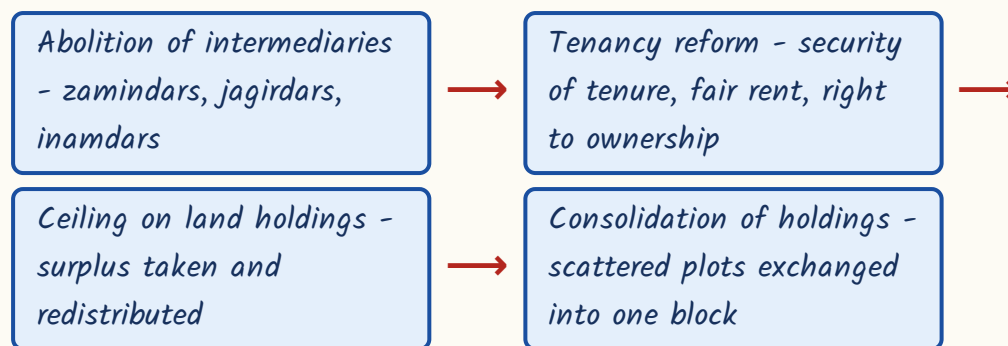
CURRENT LINK

Current link, as of September 2026: the Economic Survey 2025-26 put foodgrain production at 3,577.3 lakh metric tonnes in agriculture year 2024-25, up 254.3 LMT over the previous year, and horticulture production at 362.08 million tonnes - horticulture output now exceeds foodgrain output in tonnage, and horticulture is about 33 per cent of agricultural GVA. Agriculture GVA is estimated to grow 3.1 per cent in FY26, with livestock and fisheries at 5-6 per cent. More than Rs 4.09 lakh crore has been released under PM-KISAN since inception.

Land reforms - the four pillars

At independence the man who tilled the land usually did not own it. Land reform was the attempt to change that, and it had four components pursued roughly in this order. Learn the order - it is a classic sequencing question - and learn which pillar succeeded and which failed.

The four pillars of land reform, in the order attempted



- Abolition of intermediaries was the most successful pillar - it brought cultivators into direct contact with the State.
- Bihar was the first State to enact a zamindari abolition law, in 1950.
- The challenge to it, the Kameshwar Singh case, led to the First Constitutional Amendment, 1951 and the creation of the Ninth Schedule.
- Tenancy reform had three legs - security of tenure, regulation of rent, and conferment of ownership on the tenant.
- Operation Barga in West Bengal, from 1978, registered sharecroppers (bargadars) and is the most successful tenancy reform in India.
- Consolidation of holdings succeeded mainly in Punjab and Haryana; it barely moved in eastern India.
- Ceiling laws were widely evaded through benami transfers and family partitions, so this pillar redistributed the least land.
- Bhoodan was started by Vinoba Bhave on 18 April 1951 at Pochampally, then in Andhra Pradesh, now in Telangana; Gramdan began at Mangroth, Uttar Pradesh, in 1952.

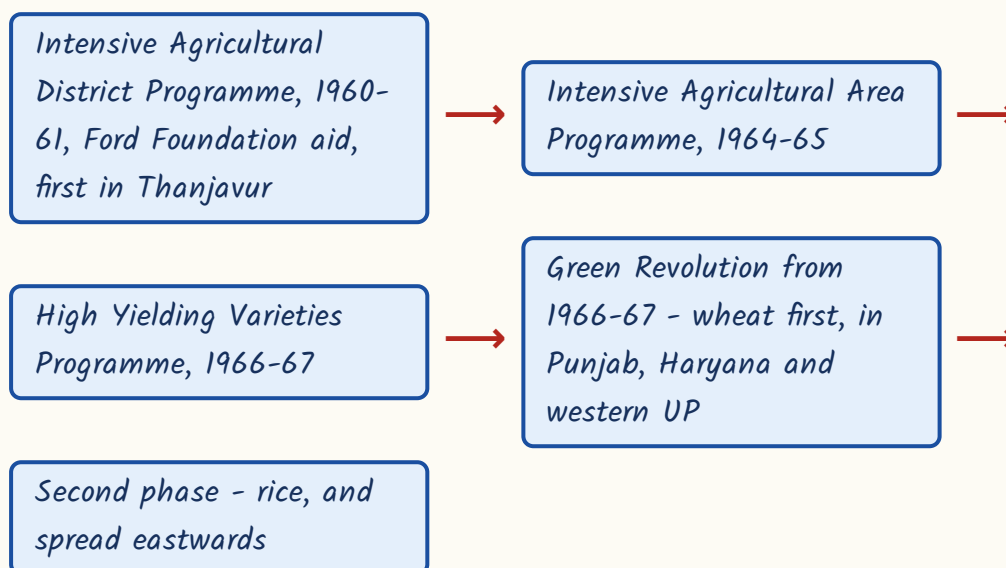
YAAD RAKHO

Remember the pillar order as A-T-C-C: Abolition, Tenancy, Ceiling, Consolidation. And fix the two proper nouns that go with the first two - Bihar 1950 for abolition, Operation Barga 1978 for tenancy.

The Green Revolution and its critique

By the mid-1960s India was importing wheat under PL-480 and living, as the phrase went, ship to mouth. The Green Revolution was the technology package that ended that dependence - high yielding variety seeds, assured irrigation, chemical fertiliser, pesticides and a guaranteed price, all applied together on the best-endowed land. Note that MSP, the CACP and the FCI all date from 1965, just before it: the price guarantee was built in deliberately, because farmers would not adopt a costly package without an assured buyer.

The build-up to the Green Revolution



Green Revolution - the names and seeds that get asked

Item	Detail
Wheat varieties	Lerma Rojo 64A and Sonora 64, from CIMMYT, Mexico

Item	Detail
Rice variety	IR-8, from IRRI, the Philippines
Father of India's Green Revolution	M.S. Swaminathan
Global figure	Norman Borlaug - Nobel Peace Prize, 1970
First programme	IADP 1960-61, launched in Thanjavur district
Mnemonic	Wheat from Mexico (CIMMYT), rice from the Philippines (IRRI)

- Regionally lopsided - Punjab, Haryana and western Uttar Pradesh gained; eastern and rain-fed India was left out.
- Crop-lopsided - wheat gained most, then rice; pulses and coarse cereals stagnated, and India still imports pulses and edible oil.
- Class-lopsided - it favoured larger farmers who could afford tube wells, fertiliser and machinery.
- Ecological cost - falling water tables, soil salinity, loss of soil organic carbon, nitrogen run-off, stubble burning.
- Loss of agro-biodiversity, as thousands of local varieties were displaced by a handful of HYVs.
- The policy answer today is diversification, natural farming, micro-irrigation and soil testing - which is why those schemes exist.

Revolutions by colour - a guaranteed matching question

Revolution	Sector	Key link
Green	Foodgrains	M.S. Swaminathan, 1966-67
White	Milk	Operation Flood 1970, NDDB, Verghese Kurien
Yellow	Oilseeds	Technology Mission on Oilseeds, 1986
Blue	Fisheries	PMMSY, September 2020
Golden	Horticulture and honey	-
Silver	Eggs and poultry	-
Grey	Fertilisers	-

Revolution	Sector	Key link
Golden Fibre	Jute	-

Agricultural credit

Credit is the quiet half of agricultural policy. A farmer needs money before the crop and receives money after it, and the gap between the two is where the moneylender used to sit. Institutional credit was built to close that gap.

- NABARD was established on 12 July 1982 on the recommendation of the CRAFTCARD Committee under B. Sivaraman. Headquarters: Mumbai.
- NABARD is the apex refinancing institution for agriculture and rural development - it lends to banks, not usually to farmers directly.
- The Kisan Credit Card was introduced in 1998-99 on the recommendation of the R.V. Gupta Committee.
- KCC now covers crop loans, allied activities including dairy and fisheries, and consumption needs.
- Priority sector lending: overall target 40 per cent of Adjusted Net Bank Credit.
- Within that, agriculture gets 18 per cent, and 10 percentage points of it are earmarked for small and marginal farmers.
- Short-term crop loans carry an effective 4 per cent interest on prompt repayment - 7 per cent nominal minus a 3 per cent incentive.
- Do not attach R.V. Gupta to NABARD - Gupta belongs to the Kisan Credit Card, and Sivaraman to NABARD.

MSP, the CACP and the cost concepts

MSP is a floor price announced before the sowing season. It is a promise that if the market price collapses, government agencies will buy at the announced rate. Two things must be clear - who recommends it and who decides it. The Commission for Agricultural Costs and Prices recommends; the Cabinet Committee on Economic Affairs approves. CACP was set up in January 1965 as the Agricultural Prices Commission and renamed in 1985, and it is an advisory attached office of the Ministry of Agriculture and Farmers' Welfare.

- MSP is NOT legally enforceable - no farmer can sue for it. That was the core demand in the farmers' protests.
- Sugarcane is the exception: it gets a Fair and Remunerative Price under the Sugarcane (Control) Order, 1966, and the FRP IS legally binding on mills.
- A_2 = all paid-out costs in cash and kind - seed, fertiliser, hired labour, fuel, leased-in land rent.
- $A_2 + FL$ = A_2 plus the imputed value of unpaid family labour.
- C_2 = $A_2 + FL$ plus rent on owned land and imputed interest on owned fixed capital.
- So C_2 is always the largest of the three; an option saying A_2 exceeds C_2 is wrong on its face.

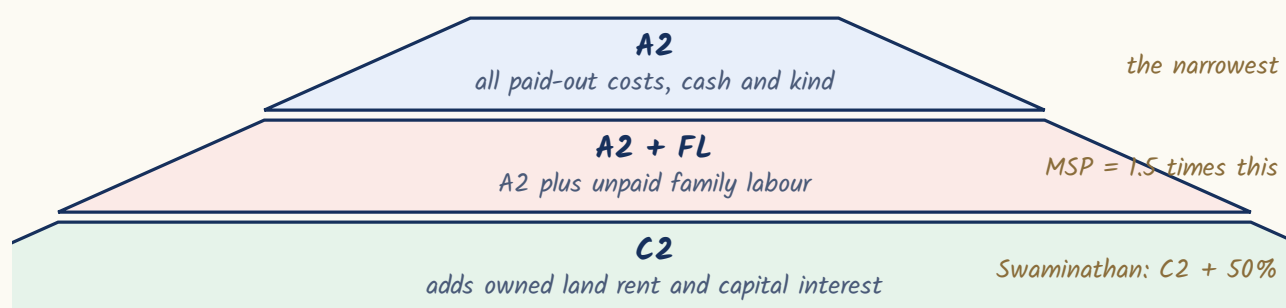
ASKED IN RAS

Asked in RAS Pre 2023, and a repeat topic - for how many crops is MSP announced? Answer: 22 mandated crops, made up of 14 kharif, 6 rabi and 2 commercial (copra and jute), with FRP for sugarcane counted separately. Learn the 14-6-2 split; that is the level of detail RPSC uses.

A₂+FL vs C₂ - the cost concept fight

A2+FL	C2
Paid-out costs plus imputed family labour	A2+FL plus rent on owned land and interest on owned capital
The narrower, lower cost measure	The comprehensive, higher cost measure
Budget 2018-19 fixed MSP at least 1.5 times A2+FL	The Swaminathan Commission recommended 50 per cent above C2
The basis the government uses in practice	The basis demanded by farmer organisations

The three cost concepts - each contains the one above



CURRENT LINK

Current link, as of September 2026: for Kharif Marketing Season 2026-27 the CCEA approved MSP for 14 kharif crops in May 2026, raising paddy (common) by Rs 72 to Rs 2,441 per quintal. Note the exam pattern - the paddy common-grade figure is the one quoted in the news, so it is the one that gets asked.

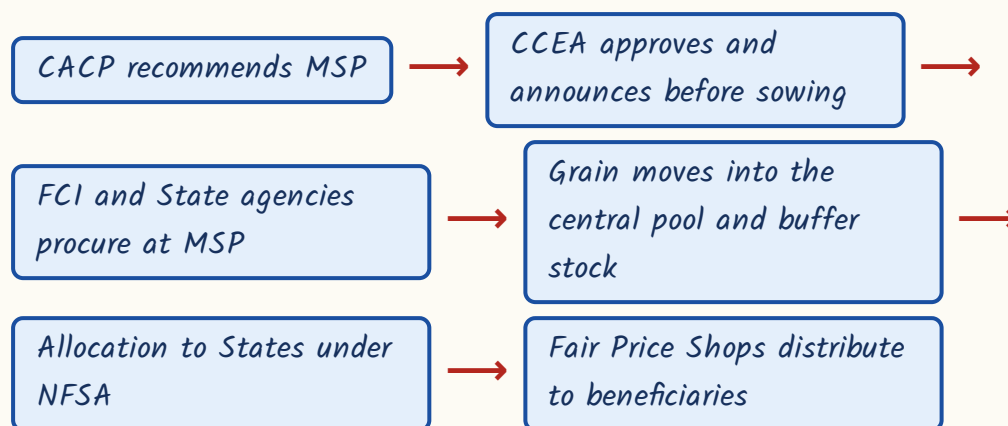
TRAP

CACP recommends, CCEA approves. If an option says the CACP 'fixes' or 'announces' MSP, it is wrong. And keep the asymmetry straight - MSP is not statutory, while sugarcane FRP is.

Procurement, PDS and the National Food Security Act

An announced price means nothing without a buyer. That buyer is the Food Corporation of India, set up in 1965 under the Food Corporations Act, 1964, together with the State agencies. FCI does three things - price support procurement, buffer stocking, and supply to the public distribution system. Since 1997-98 the Decentralised Procurement Scheme lets States procure, store and distribute on the Centre's behalf, which cuts transport cost. What is procured goes into the central pool, and out of the central pool comes the PDS.

From the field to the ration card



ASKED IN RAS

Asked in RAS Pre 2018 - statements about the National Food Security Act, 2013. Learn the coverage exactly: up to 75 per cent of the rural population and up to 50 per cent of the urban population, which works out to about two-thirds of the country.

NFSA 2013 - the numbers that get asked

Item	Provision
Coverage	Up to 75 per cent rural, up to 50 per cent urban population
Priority households	5 kg of foodgrain per person per month

Item	Provision
Antyodaya Anna Yojana households	35 kg per household per month
Head of household for the ration card	The eldest woman aged 18 years or above
Maternity benefit	Rs 6,000 for pregnant women and lactating mothers
Grievance redress	District Grievance Redressal Officer and State Food Commission

TRAP

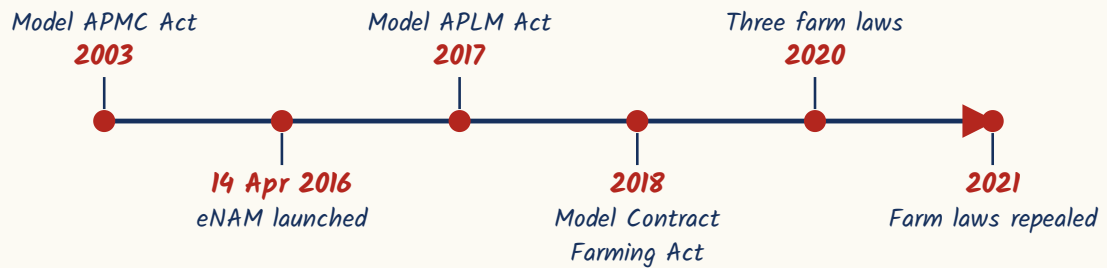
The 5 kg entitlement is PER PERSON per month for priority households; the 35 kg is PER HOUSEHOLD per month for Antyodaya households. Swapping the two is the standard distractor. And the woman-as-head rule needs her to be 18 or above, not 21.

Agricultural marketing - APMC, eNAM and the repealed farm laws

Agricultural marketing is a State subject. Each State passed an APMC Act requiring the farmer to sell in a notified market yard through licensed traders. The intention was to protect the farmer from the moneylender-trader; the result, over decades, was a closed market with few buyers and layers of commission. Every reform since has tried to open it up.

- Model APMC Act, 2003 - allowed private markets, direct purchase from farmers and contract farming; States adopted it patchily.
 - Model Agricultural Produce and Livestock Marketing (APLM) Act, 2017 - a fuller rewrite with a single State-wide licence and a unified market fee.
 - Model Contract Farming Act, 2018 - a separate law so that contract farming sits outside the APMC yard altogether.
 - eNAM was launched on 14 April 2016 and is implemented by the Small Farmers' Agribusiness Consortium.
 - eNAM is not a separate mandi - it is an electronic portal networking existing APMC mandis into one pan-India trading platform.
 - Gramin Agricultural Markets were meant to link village haats into the eNAM network.
-
- Farm law 1 - Farmers' Produce Trade and Commerce (Promotion and Facilitation) Act, 2020: trade outside APMC yards, in notified 'trade areas'.
 - Farm law 2 - Farmers (Empowerment and Protection) Agreement on Price Assurance and Farm Services Act, 2020: a national framework for contract farming.
 - Farm law 3 - Essential Commodities (Amendment) Act, 2020: removed cereals, pulses, oilseeds, onion and potato from routine stock limits.
 - All three were repealed by the Farm Laws Repeal Act, 2021, after a year-long agitation.
 - The core objection was that trade outside the mandi would erode APMC revenue and, with it, the MSP-procurement system.

Marketing reform - the model-law ladder



YAAD RAKHO

Remember the model-law ladder: APMC 2003, APLM 2017, Contract Farming 2018, three farm laws 2020, repeal 2021. A clean chronological set - and RPSC likes chronology questions.

The scheme block - learn the year, the number and the launch place

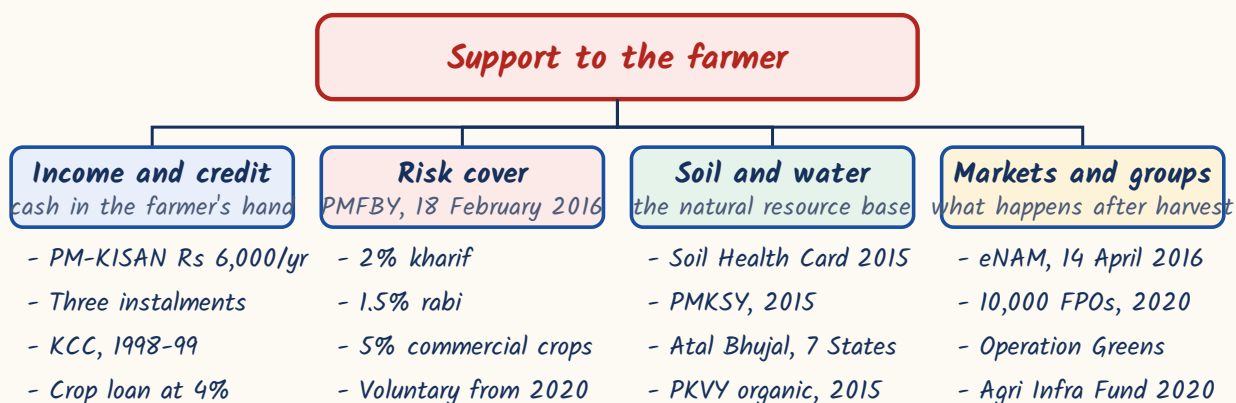
This is where most of the marks in this chapter actually sit. Each scheme carries one date, one number and sometimes one place. Learn those three; the descriptions look after themselves.

Farmer support schemes - the core table

Scheme	Launched	Key number or fact
PM-KISAN	Announced 1 Feb 2019, launched 24 Feb 2019, effective 1 Dec 2018	Rs 6,000 a year in three instalments of Rs 2,000; a Central Sector Scheme
PMFBY	18 February 2016	Farmer premium 2% kharif, 1.5% rabi, 5% commercial and horticultural

Scheme	Launched	Key number or fact
Soil Health Card	19 February 2015, at Suratgarh, Sri Ganganagar, Rajasthan	Reports 12 parameters including N, P, K, S, pH, EC and organic carbon
PMKSY	2015, extended for 2021-26	'Har Khet Ko Pani' and 'Per Drop More Crop'
Atal Bhujal Yojana	25 December 2019, Ministry of Jal Shakti	Rs 6,000 crore, half from the World Bank, 7 States
PKVY	2015	Cluster-based organic farming
10,000 FPOs scheme	29 February 2020, at Chitrakoot	SFAC, NCDC and NABARD are the implementing agencies

Farmer schemes grouped by what they deliver



ASKED IN RAS

Asked in RAS Pre 2021 AND RAS Pre 2023 - Atal Bhujal Yojana. Learn it cold: launched 25 December 2019 by the Ministry of Jal Shakti, outlay Rs 6,000 crore shared equally between the Centre and the World Bank, community-led groundwater management in 7 States - Gujarat, Haryana, Karnataka, Madhya Pradesh, Maharashtra, Rajasthan and Uttar Pradesh - covering about 8,350 water-stressed gram panchayats. Rajasthan is one of the seven, which is why RPSC keeps coming back to it.

ASKED IN RAS

Asked in RAS Pre 2021 - under PM-KISAN, Rs 6,000 a year is paid in how many instalments? Answer: three equal instalments of Rs 2,000. It is a Central Sector Scheme, fully funded by the Centre, and income tax payers and institutional landholders are excluded.

- PMFBY replaced the National Agricultural Insurance Scheme and the Modified NAIS, and became voluntary for all farmers from kharif 2020.
- PMKSY's four components: AIBP, Har Khet Ko Pani, Per Drop More Crop, and Watershed Development.
- Paramparagat Krishi Vikas Yojana (2015) is the cluster-based organic farming scheme.
- Sikkim was declared India's first fully organic State in 2016 and won the FAO Future Policy Gold Award in 2018.
- The National Mission on Natural Farming (2024) builds on Subhash Palekar's zero budget natural farming.
- Organic certification: NPOP under APEDA for exports, and PGS-India for the domestic market.
- FPOs register either as Producer Companies under the Companies Act or as cooperative societies.

Food processing and post-harvest infrastructure

Programme	What it does
PM Kisan SAMPADA Yojana	Umbrella food processing scheme, Ministry of Food Processing Industries
PMFME	Micro food processing enterprises, on the One District One Product approach
Operation Greens	Price stabilisation for tomato, onion and potato
Agriculture Infrastructure Fund, 2020	Rs 1 lakh crore financing facility for post-harvest infrastructure

TRAP

Soil Health Card was launched at Suratgarh in Sri Ganganagar district of Rajasthan on 19 February 2015; PMFBY was launched on 18 February 2016. Two schemes, mid-February, consecutive years, one day apart. RPSC has every reason to swap them in a matching question.

Allied sectors, farm income and the newest scheme

Allied sectors - dairy, poultry, fisheries - now grow faster than crop agriculture and are the main route to higher incomes on small holdings. The Economic Survey has been saying so for several years. Learn India's world-ranking list, because it is asked as a statement-based question.

- India is the world's **LARGEST** producer of milk and of pulses.
- India is the **SECOND** largest producer of rice, wheat, sugarcane, fruits, vegetables, cotton and fish.
- Operation Flood, launched in 1970 under the NDDB, was led by Verghese Kurien - the White Revolution.
- Pradhan Mantri Matsya Sampada Yojana was launched in September 2020 with an outlay of about Rs 20,050 crore - the Blue Revolution's current vehicle.
- Rashtriya Gokul Mission, 2014, is for indigenous cattle breed development.

- The Committee on Doubling Farmers' Income was constituted in 2016 and chaired by Ashok Dalwai.
- It submitted a 14-volume report in September 2018.
- Base year 2015-16, target year 2022-23.
- Its sources of income growth: productivity gains, resource use efficiency, higher cropping intensity.
- Also diversification to high-value crops, better prices, cost reduction, and moving workers out of farming.
- Launch-year ladder for chronology questions: Soil Health Card and PKVY 2015, PMFBY and eNAM 2016, PM-KISAN 2019, Atal Bhujal December 2019, FPO scheme and PMMSY 2020, PM Dhan-Dhaanya 2025.

CURRENT LINK

Current link, as of September 2026: PM Dhan-Dhaanya Krishi Yojana was approved by the Cabinet in July 2025 and announced in the Budget 2025-26. It targets 100 low-productivity districts, with an annual outlay of Rs 24,000 crore for six years, converging 36 existing schemes of 11 Ministries. It is modelled on the Aspirational Districts Programme and is the most likely new-scheme question for 2026.

REVISION RECAP

1. Four pillars of land reform: abolition of intermediaries, tenancy reform, ceiling, consolidation - in that order.
2. Bihar passed the first zamindari abolition law in 1950; the Kameshwar Singh case led to the First Amendment 1951 and the Ninth Schedule.
3. Operation Barga, West Bengal 1978, registered bargadars - the best tenancy reform. Consolidation succeeded in Punjab and Haryana.
4. Bhoodan - Vinoba Bhave, 18 April 1951, Pochampally. Gramdan - Mangroth, UP, 1952.
5. Agriculture Census 2015-16: average holding 1.08 ha; small and marginal 86.2 per cent of holdings, about 47 per cent of area.
6. Cropping intensity = $\frac{\text{gross cropped area}}{\text{net sown area}} \times 100$.

7. Green Revolution from 1966-67: wheat Lerma Rojo 64A and Sonora 64 (CIMMYT, Mexico), rice IR-8 (IRRI, Philippines).
8. IADP 1960-61 at Thanjavur with Ford Foundation aid; IAAP 1964-65; HYVP 1966-67. Swaminathan, and Borlaug's Nobel in 1970.
9. Colour codes: White milk (Operation Flood 1970, Kurien), Yellow oilseeds 1986, Blue fisheries, Golden horticulture, Grey fertilisers, Golden Fibre jute.
10. NABARD 12 July 1982, CRAFICARD under B. Sivaraman, HQ Mumbai. KCC 1998-99, R.V. Gupta Committee.
11. PSL: 40 per cent of ANBC overall, agriculture 18 per cent, 10 per cent for small and marginal farmers; crop loan effective 4 per cent on prompt repayment.
12. CACP set up January 1965 as the APC, renamed 1985, advisory only. CCEA approves MSP, and MSP is not legally enforceable.
13. MSP covers 22 crops - 14 kharif, 6 rabi, 2 commercial; sugarcane gets FRP under the Sugarcane (Control) Order 1966.
14. A2 is paid-out cost; A2+FL adds family labour; C2 adds rent on owned land and interest on owned capital. Budget 2018-19 promised 1.5 times A2+FL; Swaminathan wanted C2 plus 50 per cent.
15. FCI 1965 under the Food Corporations Act 1964; Decentralised Procurement since 1997-98.
16. NFSA 2013: 75 per cent rural, 50 per cent urban; priority 5 kg per person, AAY 35 kg per household; eldest woman 18+ is head; maternity benefit Rs 6,000.
17. eNAM 14 April 2016, run by SFAC, networks APMC mandis. Model Acts 2003, 2017, 2018. Three farm laws 2020, repealed 2021.
18. PM-KISAN Rs 6,000 in three instalments, a Central Sector Scheme, effective 1 December 2018.
19. PMFBY 18 February 2016 - premium 2 per cent kharif, 1.5 per cent rabi, 5 per cent commercial; voluntary from kharif 2020.
20. Soil Health Card 19 February 2015 at Suratgarh, Rajasthan, 12 parameters; Atal Bhujal 25 December 2019, Rs 6,000 crore, 7 States including Rajasthan, about 8,350 gram panchayats.

IE07

Industry: Growth, LPG Reforms, MSME and Industrial Policy

About 2-3 questions a paper out of the 8 Indian Economy questions. Documented repeats: Ease of Doing Business and DPIIT (2021 and 2024), MSME definition and MSME promotion policy (2023, 2024). Learn the MSME table in both its versions and the eight-core-industry weights and you have banked these marks.

This chapter is dates, numbers and names - and that is good news, because nothing here needs thinking on exam day. Four industrial policy resolutions, one big reform year, one MSME table and one set of PSU criteria. RPSC asks it exactly that way: which year, which policy, which weight, which limit.

Indian Industry: Policy, Reform, MSME

The four resolutions

- IPR 1948 - first, mixed economy
- IPR 1956 - 'Economic Constitution', Schedules A/B/C
- IPS 1977 - Janata, tiny sector, DICs
- IPS 1980 - nucleus plants, economic federalism

1991 LPG

- 24 July 1991 - Narasimha Rao, Manmohan Singh
- Licensing kept for only 18 industries
- Public sector reserved list 17 to 8
- MRTP asset limit of Rs 100 crore scrapped
- FDI 51% automatic in 34 industries
- Rupee devalued 1 and 3 July 1991

Measuring industry

- IIP base 2011-12, NSO/MoSPI
- Manufacturing 77.63, Mining 14.37, Electricity 7.99
- Eight Core Industries = 40.27% of IIP
- Refinery products highest 28.04, fertilizers lowest 2.63

MSME

- MSMED Act 2006, in force 2 October 2006
- 2020 revision - composite investment + turnover
- 1 April 2025 revision - investment x2.5, turnover x2
- Udyam Registration, 1 July 2020
- PMEGP, CGTMSE, Samadhaan, ZED, RAMP
- PM Vishwakarma, 17 September 2023

Promotion drives

- Make in India - 25 September 2014
- PLI - 14 sectors, Rs 1.97 lakh crore
- Startup India - 16 January 2016
- Atmanirbhar Bharat - 12 May 2020, Rs 20 lakh crore
- National Manufacturing Policy 2011, NIMZ

Space and assets

- DMIC, CBIC, AKIC, BMEC - agency NICDC
- SEZ Act 2005; Kandla 1965 first EPZ in Asia
- National Monetisation Pipeline, 23 August 2021
- Ease of Doing Business - DPIIT runs BRAP

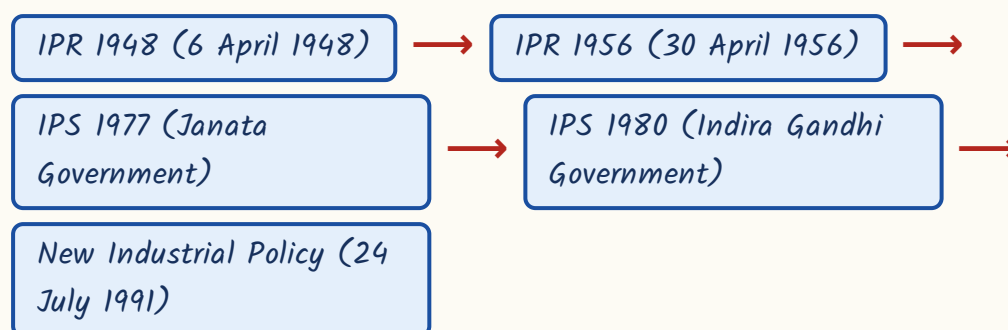
PSUs and labour

- Maharatna, Navratna, Miniratna I and II
- DIPAM under the Ministry of Finance
- Four labour codes, effective 21 November 2025

The four industrial policy resolutions – learn them as a sequence

Before 1991 India had four major industrial policy statements. Each one is remembered for exactly one thing. 1948 for being the first. 1956 for the three schedules. 1977 for the small sector and the District Industries Centres. 1980 for nucleus plants. Attach one signature idea to each year and you will get every question in this section right. RPSC also likes to ask these as a chronological ordering question, so learn the order, not just the facts.

The policy chronology – asked as an ordering question



The four resolutions and their signature idea

Policy	Date / Government	Remembered for
Industrial Policy Resolution 1948	6 April 1948	First industrial policy of independent India; accepted a mixed economy; four-fold classification of industries
Industrial Policy Resolution 1956	30 April 1956	The 'Economic Constitution of India'; framework for the Second Five Year Plan (Mahalanobis model); aim of a 'socialistic pattern of society'
Industrial Policy Statement 1977	Janata Government	Top priority to the tiny and small sector; created District Industries Centres (DICs); expanded SSI reservation
Industrial Policy Statement 1980	Indira Gandhi Government	'Economic federalism' through nucleus plants in industrially backward districts; regularisation of excess capacity

IPR 1956 – the three schedules, the single most asked detail

Schedule	How many industries	Who runs them
Schedule A	17	Exclusively the State
Schedule B	12	Progressively state-owned; private sector may supplement
Schedule C	All the rest	Left to the private sector

TRAP

Do not swap 1977 and 1980. District Industries Centres = 1977, Janata Government. Nucleus plants and 'economic federalism' = 1980, Indira Gandhi. This exact pair is standard match-the-following material. And remember 1956 = 17 and 12, in that order.

1991 – what liberalisation, privatisation and globalisation actually meant

The New Industrial Policy was announced on 24 July 1991. Prime Minister P. V. Narasimha Rao, Finance Minister Manmohan Singh. It came out of a balance of payments crisis – gold was pledged with the Bank of England and the Bank of Japan in mid-1991, and the rupee was devalued in two steps on 1 and 3 July 1991, about 18 to 19 per cent in all. Students learn the letters L-P-G and stop there. Do not. Each letter meant a specific set of administrative changes, and it is those changes that get asked, not the slogan.

L – Liberalisation: the State stops asking permission

- Industrial licensing abolished for all industries except 18.
- The list of industries reserved for the public sector cut from 17 to 8.
- The MRTP asset limit of Rs 100 crore scrapped - big firms no longer needed prior approval to expand.
- Compulsory licensing survives today for only four groups of items.
- Those four: alcohol distilling and brewing, cigars and cigarettes, aerospace and defence electronics, industrial explosives.

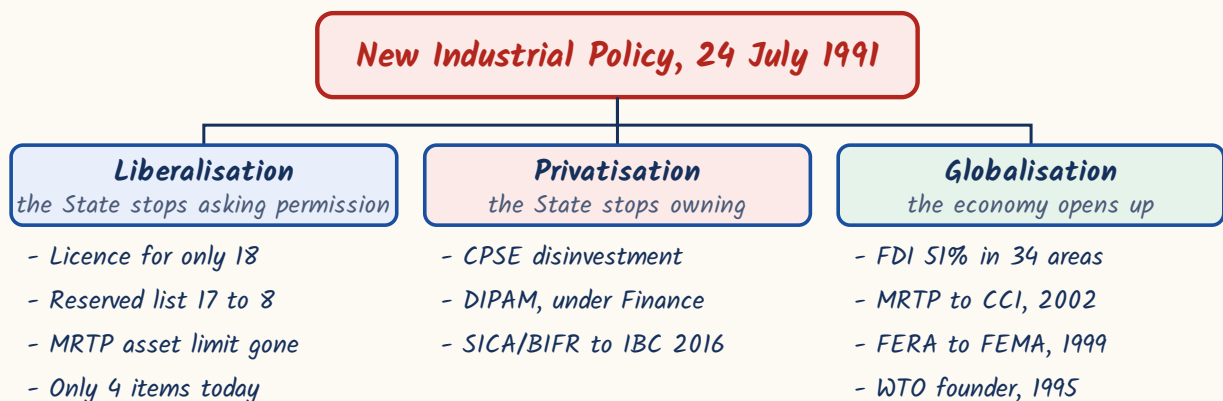
P - Privatisation: the State stops owning

- Disinvestment of government equity in central public sector enterprises began.
- Disinvestment today sits with DIPAM - the Department of Disinvestment was renamed the Department of Investment and Public Asset Management in April 2016.
- DIPAM is under the Ministry of Finance. Not Commerce, not Heavy Industries.
- Sick-industry law changed too - SICA and the BIFR were eventually replaced by the Insolvency and Bankruptcy Code, 2016.

G - Globalisation: the economy opens to the world

- FDI up to 51 per cent allowed on the automatic route in 34 high-priority industries.
- The rupee was devalued and moved towards a market-determined rate.
- MRTP Act, 1969 was replaced by the Competition Act, 2002, with the Competition Commission of India as regulator.
- FERA, 1973 was replaced by FEMA, 1999, which came into force on 1 June 2000.
- Import licensing and tariffs were progressively lowered; India became a founder member of the WTO in 1995.

What L, P and G actually changed in 1991



IPR 1956 versus NIP 1991 – the whole shift in one box

IPR 1956	New Industrial Policy 1991
<i>The State is the engine of industrialisation</i>	<i>Private enterprise is the engine; the State becomes a regulator</i>
<i>17 industries reserved exclusively for the State</i>	<i>Reserved list cut to 8</i>
<i>Licence needed for practically all industry</i>	<i>Licence needed for only 18 industries</i>
<i>Foreign investment tightly screened</i>	<i>FDI up to 51 per cent automatic in 34 priority industries</i>
<i>M RTP restrains large houses by asset size</i>	<i>M RTP asset limit abolished; focus shifts to anti-competitive conduct</i>
<i>Second Five Year Plan, heavy industry, Mahalanobis</i>	<i>Stabilisation plus structural adjustment, IMF-supported</i>

ASKED IN RAS

RPSC has repeatedly tested the 1991 package in statement form. Learn as fact: licensing abolished except for 18 industries, reserved list cut 17 to 8, M RTP asset limit scrapped. The reservation of 807 items exclusively for the small-scale sector was NOT a feature of the 1991 policy - that belonged to the older SSI reservation regime, and it is the standard wrong option.

Measuring industry - IIP and the Index of Eight Core Industries

Two indices measure industrial output, and students mix them up constantly. The IIP measures the whole of industry and is compiled by the National Statistical Office under MoSPI. The Index of Eight Core Industries measures only eight basic industries and is released by the Office of the Economic Adviser in the Ministry of Commerce and Industry. The eight core industries are a subset of the IIP, with a combined weight of 40.27 per cent. Both use base year 2011-12. Learn the base year, the compiler and the top weight - that is all RPSC has ever asked.

IIP - Index of Industrial Production (base 2011-12, NSO/MoSPI)

Component	Weight	Note
Manufacturing	77.63	Highest weight by a wide margin
Mining	14.37	Second
Electricity	7.99	Third and smallest

Index of Eight Core Industries (base 2011-12) - weights in descending order

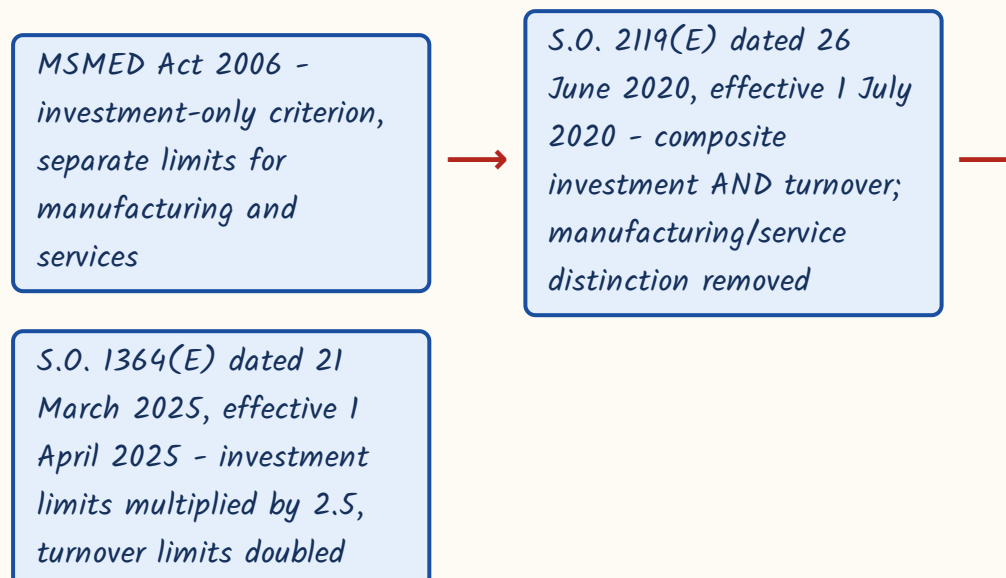
Core industry	Weight	Rank
Refinery products	28.04	1
Electricity	19.85	2
Steel	17.92	3
Coal	10.33	4
Crude oil	8.98	5
Natural gas	6.88	6
Cement	5.37	7
Fertilizers	2.63	8

YAAD RAKHO

Remember the core order - Refinery, Electricity, Steel, Coal, Crude oil, Natural gas, Cement, Fertilizers. Refinery products always first, fertilizers always last. RPSC asks only for the highest or the lowest, so those two ends are the whole question.

MSME - the definition question, in both its versions

This is the highest-value section in the chapter, and the most dangerous, because the definition has been revised twice. A 2026 paper could quote either version. So carry both tables. The parent law is the Micro, Small and Medium Enterprises Development Act, 2006, which came into force on 2 October 2006. It created the National Board for MSME and the delayed-payment remedy - Section 15 requires a buyer to pay an MSME supplier within 45 days.

How the MSME definition evolved**VERSION 1 - classification effective 1 July 2020 (S.O. 2119(E) of 26 June 2020)**

Category	Investment in plant, machinery or equipment	Annual turnover
Micro	Not more than Rs 1 crore	Not more than Rs 5 crore

Category	Investment in plant, machinery or equipment	Annual turnover
Small	Not more than Rs 10 crore	Not more than Rs 50 crore
Medium	Not more than Rs 50 crore	Not more than Rs 250 crore

VERSION 2 - classification effective 1 April 2025 (S.O. 1364(E) of 21 March 2025, announced in Budget 2025-26)

Category	Investment in plant, machinery or equipment	Annual turnover
Micro	Not more than Rs 2.5 crore	Not more than Rs 10 crore
Small	Not more than Rs 25 crore	Not more than Rs 100 crore
Medium	Not more than Rs 125 crore	Not more than Rs 500 crore

- Read the two tables together and the rule jumps out - investment limits x2.5, turnover limits x2.
- Both versions use a COMPOSITE criterion: investment AND turnover. A unit must satisfy both to stay in a category.
- The manufacturing versus service distinction was removed in the 2020 revision - one set of limits for all.
- Exports are excluded while computing turnover, so export growth does not push a unit out of MSME status.
- Cross either limit and the unit moves up to the next category.

MSME limits in force from 1 April 2025 - both criteria must be met

Medium

Investment up to Rs 125 crore

Turnover Rs 500 cr

Small

Investment up to Rs 25 crore

Turnover Rs 100 cr

Micro

Investment up to Rs 2.5 crore

Turnover Rs 10 cr

ASKED IN RAS

Asked in RAS Pre 2023 - statements on the June 2020 MSME revision. The two correct statements were that the manufacturing/service distinction was removed and that exports are excluded from turnover. RPSC also touched MSME promotion policy in 2023 and 2024. Expect MSME again in 2026, and expect the newer 1 April 2025 limits.

TRAP

Two dates per revision - do not mix them. 2020: notified 26 June 2020, effective 1 July 2020. 2025: notified 21 March 2025, effective 1 April 2025. If a question says 'effective from', the answer is the July or April date.

CURRENT LINK

Current link, as of September 2026: the classification actually in force is the one notified by S.O. 1364(E) of 21 March 2025 and effective from 1 April 2025 - Micro Rs 2.5 crore and Rs 10 crore, Small Rs 25 crore and Rs 100 crore, Medium Rs 125 crore and Rs 500 crore. So if a 2026 paper asks for 'the present limits', the July 2020 set (Rs 1 crore / Rs 5 crore and so on) is now the distractor, not the answer. Carry both, answer with the date the question gives you.

Udyam registration and the MSME schemes

Udyam is simply the registration system that gives an enterprise its MSME identity. It replaced the old Udyog Aadhaar Memorandum. The schemes that follow are asked as match-the-following - scheme to nodal agency, scheme to year, scheme to purpose. So learn them in exactly that shape and nothing more.

- Udyam Registration portal launched on 1 July 2020 - the same day the new classification took effect.
- It is free, paperless and based on self-declaration, using PAN and Aadhaar.
- Udyam Assist Platform, added in 2023, brings informal micro enterprises into the formal fold.
- PMEGP's national nodal implementing agency is KVIC. Do not answer SIDBI.
- CGTMSE has two parents - the Government of India and SIDBI, both together.
- PM Vishwakarma is under the Ministry of MSME, not the Ministry of Skill Development. That swap is a standard wrong option.

MSME schemes worth memorising

Scheme	Year	Key fact
PMEGP - Prime Minister's Employment Generation Programme	2008	National nodal implementing agency is the Khadi and Village Industries Commission
CGTMSE - Credit Guarantee Fund Trust for Micro and Small Enterprises	2000	Government of India plus SIDBI; collateral-free credit guarantee
MSME Samadhaan	-	Portal for the delayed-payment remedy under Section 15 of the MSMED Act
MSME Sambandh	-	Monitors public procurement from micro and small enterprises by CPSEs and ministries
ZED certification	-	Zero Defect Zero Effect - quality and environment certification for MSMEs
RAMP - Raising and Accelerating MSME Performance	-	World Bank-assisted, outlay about Rs 6,062 crore
Self-Reliant India Fund	2020	Rs 50,000 crore equity infusion into MSMEs
PM Vishwakarma	17 September 2023	Ministry of MSME; 18 traditional trades; collateral-free credit of Rs 1 lakh then Rs 2 lakh at 5 per cent concessional interest

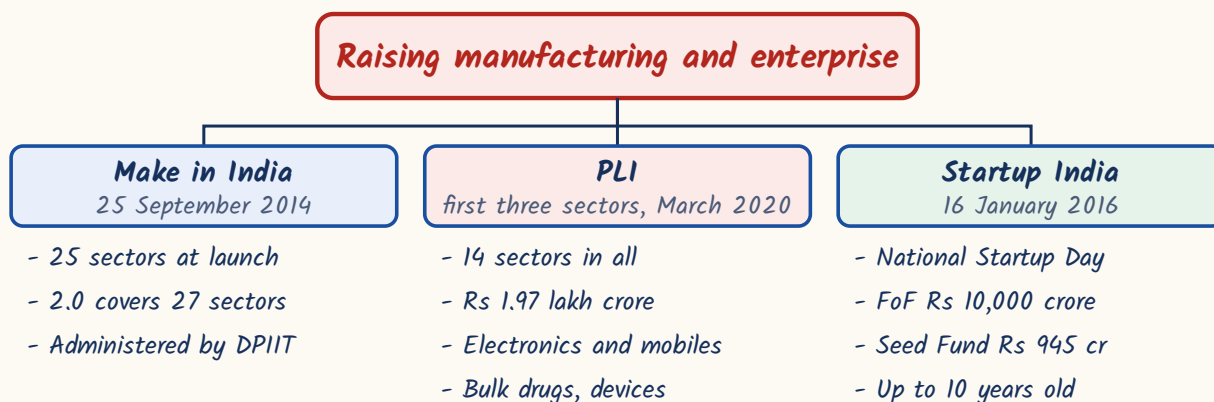
Make in India, PLI, Startup India, Atmanirbhar Bharat

These four are the manufacturing-promotion cluster of the post-2014 era. Each has a launch date and one headline number, and those two things are the entire exam content. Note also the predecessor: the National Manufacturing Policy of 2011, which set the target of raising manufacturing to 25 per cent of GDP and creating 100 million jobs, and which introduced National Investment and Manufacturing Zones.

The promotion drives - date and headline number

Initiative	Launched	Headline facts
Make in India	25 September 2014	Started with 25 sectors; Make in India 2.0 covers 27 sectors; administered by DPIIT
PLI - Production Linked Incentive	First three sectors approved March 2020	14 sectors; total outlay about Rs 1.97 lakh crore; the first three were large-scale electronics and mobiles, bulk drugs (KSM/API) and medical devices
Startup India	16 January 2016	16 January is now National Startup Day; Fund of Funds for Startups Rs 10,000 crore, operated by SIDBI; Startup India Seed Fund Scheme Rs 945 crore
Atmanirbhar Bharat Abhiyan	12 May 2020	Package of Rs 20 lakh crore, about 10 per cent of GDP; five pillars - Economy, Infrastructure, System, Vibrant Demography, Demand

The post-2014 manufacturing and startup push



- The entity must be up to 10 years old from the date of incorporation.
- Turnover must not have exceeded Rs 100 crore in any financial year.
- It must be working towards innovation, development or improvement of products, processes or services.
- The Fund of Funds does not invest in startups directly - it invests through SEBI-registered venture capital funds, and SIDBI operates it.

Industrial corridors, SEZs and asset monetisation

An industrial corridor is a long strip of planned industrial development laid along a transport spine. The oldest and biggest is the Delhi-Mumbai Industrial Corridor, planned from 2006 in collaboration with Japan and aligned with the Western Dedicated Freight Corridor. That link - DMIC along the Western DFC - is the connection RPSC likes, because it joins two chapters together.

The industrial corridors

Corridor	Short form	Note
Delhi-Mumbai Industrial Corridor	DMIC	2006, Japanese collaboration, aligned with the Western DFC

Corridor	Short form	Note
Chennai-Bengaluru Industrial Corridor	CBIC	Southern manufacturing spine
Amritsar-Kolkata Industrial Corridor	AKIC	Along the Eastern DFC
Bengaluru-Mumbai Economic Corridor	BMEC	Links the western and southern industrial belts

- The implementing agency for corridors is NICDC - National Industrial Corridor Development Corporation, formerly DMICDC.
- SEZ Act, 2005; the SEZ Rules took effect on 10 February 2006.
- The SEZ scheme was first introduced by the EXIM Policy of 2000, before the Act was passed.
- Kandla, set up in 1965, was India's and Asia's first Export Processing Zone.

National Monetisation Pipeline - monetisation is not sale

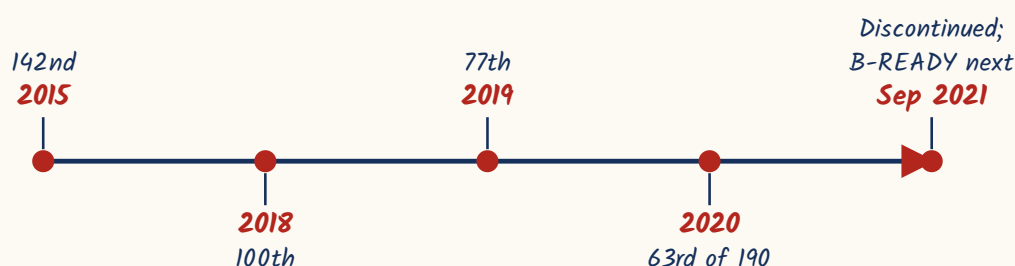
- Prepared by NITI Aayog, announced on 23 August 2021.
- Rs 6 lakh crore of core assets over FY2022 to FY2025.
- Ownership stays with the government - only the earning stream is leased out for a period.
- Only brownfield assets, that is assets already built and operating, qualify.
- Budget 2025-26 announced a second Asset Monetisation Plan of Rs 10 lakh crore for 2025-30.

Ease of doing business and the four labour codes

Two different things share this heading and RPSC exploits that. One is a World Bank ranking of countries. The other is an Indian ranking of states run by DPIIT. Keep them apart.

- India ranked 63rd of 190 economies in the World Bank's Doing Business 2020 - the last edition of that report.
- The rank ladder before that: 142nd in 2015, 100th in 2018, 77th in 2019, 63rd in 2020.
- Doing Business was discontinued in September 2021 and is being replaced by B-READY (Business Ready).
- Inside India, DPIIT - Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry - runs the Business Reform Action Plan ranking of states.
- DPIIT was renamed from DIPP in 2019; it also administers Make in India and Startup India recognition.

India in the World Bank's Doing Business ranking



ASKED IN RAS

Asked in RAS Pre 2021 and again in RAS Pre 2024 - India's rank in Doing Business 2020 (63rd of 190) and the department that prepares the Business Reform Action Plan ranking of states (DPIIT). Two appearances of the same cluster in consecutive relevant papers. Learn the ladder 142-100-77-63 and the five letters D-P-I-I-T. This is close to a guaranteed mark.

The four labour codes - 29 central Acts folded into four

Code	Year	Central Acts subsumed
Code on Wages	2019	4
Industrial Relations Code	2020	3
Code on Social Security	2020	9
Occupational Safety, Health and Working Conditions Code	2020	13

CURRENT LINK

Current link, as of September 2026: the four labour codes were brought into effect from 21 November 2025 after sitting on the statute book for years. A fresh effective date like this is exactly what RPSC converts into a one-liner. Also fresh - the second Asset Monetisation Plan of Rs 10 lakh crore for 2025-30, announced in Budget 2025-26.

TRAP

Doing Business is a World Bank report on countries. The Business Reform Action Plan is a DPIIT exercise ranking Indian states. And DPIIT sits in Commerce and Industry, not Finance and not MSME. Three separate confusions, all in one question.

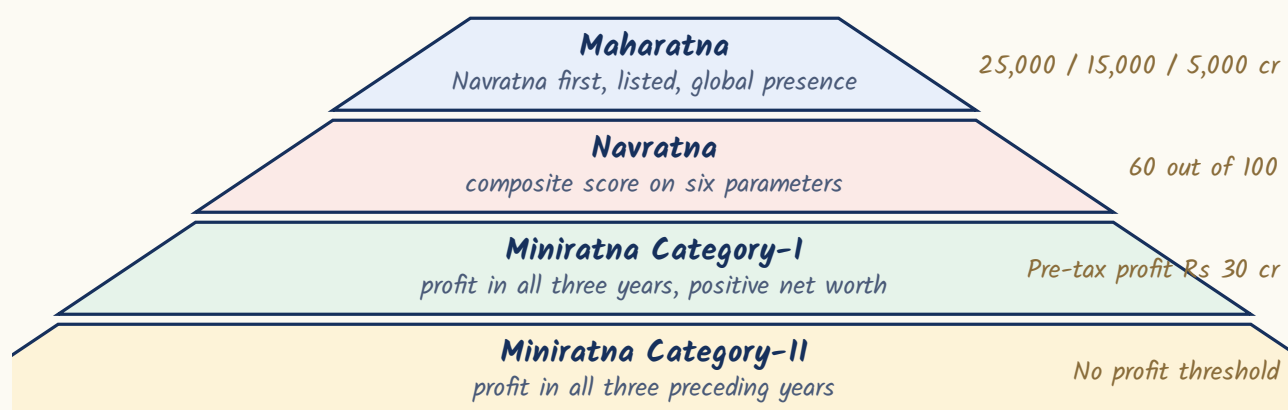
Public sector enterprises – the ratna grades

Central public sector enterprises are graded Maharatna, Navratna, Miniratna-I and Miniratna-II. The grade decides how much a board can invest without going back to the government for approval. The criteria are pure numbers, and that is exactly how they are asked.

CPSE categories and their entry criteria

Category	Criteria	The number to remember
Maharatna	Must already be a Navratna; listed on a stock exchange; three-year average turnover above Rs 25,000 crore; average net worth above Rs 15,000 crore; average net profit above Rs 5,000 crore; significant global presence	25,000 / 15,000 / 5,000 crore
Navratna	A composite score of 60 out of 100 on six performance parameters	60 out of 100
Miniratna Category-I	Pre-tax profit of Rs 30 crore or more in at least one of the last three years, profit in all three years, positive net worth	Rs 30 crore
Miniratna Category-II	Profit in all three preceding years and a positive net worth	No profit threshold

CPSE grades – the higher the grade, the wider the board's powers



- Navratna status is a pre-condition for Maharatna - a company cannot jump straight to the top grade.
- NHPC Limited is a Navratna, not a Maharatna; RPSC has used it as the odd-one-out.
- Disinvestment and asset management for CPSEs is handled by DIPAM under the Ministry of Finance.
- A Maharatna board has the widest investment powers - that is the practical point of the whole grading system.

REVISION RECAP

1. IPR 1948 - 6 April 1948, first industrial policy, mixed economy, four-fold classification.
2. IPR 1956 - 30 April 1956, 'Economic Constitution of India', basis of the Second Five Year Plan.
3. IPR 1956 schedules: A = 17 State-only, B = 12 progressively state-owned, C = the rest.
4. IPS 1977 = Janata, tiny sector, District Industries Centres. IPS 1980 = nucleus plants, economic federalism.
5. NIP 24 July 1991 - Rao and Manmohan Singh; licence only for 18 industries; reserved list 17 to 8; MRTP asset limit gone; FDI 51 per cent automatic in 34 industries.
6. Rupee devalued 1 and 3 July 1991 by about 18-19 per cent; gold pledged with the Bank of England and the Bank of Japan.
7. MRTP 1969 to Competition Act 2002; FERA 1973 to FEMA 1999 (in force 1 June 2000); SICA/BIFR to IBC 2016.
8. IIP base 2011-12, NSO/MoSPI - manufacturing 77.63, mining 14.37, electricity 7.99.
9. Eight Core Industries, base 2011-12, Office of the Economic Adviser, 40.27 per cent of IIP; refinery 28.04 highest, fertilizers 2.63 lowest.
10. MSMED Act 2006 in force 2 October 2006; Section 15 gives the 45-day payment remedy.
11. MSME effective 1 July 2020: Micro 1/5, Small 10/50, Medium 50/250 crore (investment/turnover).
12. MSME effective 1 April 2025: Micro 2.5/10, Small 25/100, Medium 125/500 crore - investment x2.5, turnover x2.
13. PMEGP nodal agency KVIC; CGTMSE is Gol plus SIDBI; PM Vishwakarma 17 September 2023, 18 trades, Ministry of MSME.

14. Make in India 25 September 2014 (DPIIT, 25 sectors, 2.0 has 27); PLI 14 sectors, Rs 1.97 lakh crore; Startup India 16 January 2016, FFS Rs 10,000 crore via SIDBI.
15. Startup recognition: up to 10 years old, turnover never above Rs 100 crore in any financial year.
16. DMIC 2006 with Japan along the Western DFC, agency NICDC; SEZ Act 2005, rules 10 February 2006; Kandla 1965, Asia's first EPZ.
17. NMP - NITI Aayog, 23 August 2021, Rs 6 lakh crore, brownfield only, ownership retained; second plan Rs 10 lakh crore for 2025-30.
18. Doing Business 2020 rank 63 of 190, report discontinued September 2021, B-READY replaces it; BRAP state ranking is DPIIT's.
19. Maharatna needs Navratna status plus Rs 25,000 crore turnover, Rs 15,000 crore net worth, Rs 5,000 crore profit; Navratna 60 out of 100; Miniratna-I Rs 30 crore pre-tax profit.
20. Four labour codes subsume 29 Acts, effective 21 November 2025 - Wages 2019, IR 2020, Social Security 2020, OSH 2020.

IE08

Services, Infrastructure, External Sector, Employment and Skills

About 3-4 questions a paper out of the 8 Indian Economy questions, plus overlap with Indian Geography. Documented repeats: the Golden Quadrilateral and the corridor crossing at Jhansi (2013, 2016, 2021, 2023, 2024 - the most repeated infrastructure fact in the exam) and the Work Participation Rate (2021, 2024). Skill development architecture was asked in 2018 and 2021.

This is the widest chapter in Indian Economy - services, roads, railways, ports, airports, trade, jobs. Do not try to understand it as economics. Treat it as four card decks: programme-to-ministry, programme-to-launch-year, account-to-item, and survey-to-number. That is the shape in which RPSC asks all of it.

Services, Infrastructure, External Sector, Jobs

Services

- Largest share of GVA, roughly 55 per cent
- India among the largest exporters of commercial services
- Services exports FY 2024-25: US\$ 383.51 billion

Power

- Electricity Act 2003 - unbundling
- UDAY, November 2015 - DISCOM finances
- RDSS, 2021
- Panchamrit at COP26 - 500 GW non-fossil by 2030, net zero 2070
- PM Surya Ghar, 13 February 2024 - 300 free units

Roads and rail

- Golden Quadrilateral 5,846 km
- NS and EW corridors cross at Jhansi
- Bharatmala Phase-I, 2017 - about 34,800 km
- Eastern DFC Ludhiana-Sonnagar, Western DFC JNPT-Dadri, DFCCIL 2006
- Vande Bharat 15 February 2019; Kavach

Ports, air, telecom

- Sagarmala 2015 - Ports, Shipping and Waterways
- Major Port Authorities Act 2021 replaced the 1963 Act
- UDAN 21 October 2016, first flight Shimla-Delhi April 2017
- Telecommunications Act 2023 replaced the 1885 Act
- BharatNet; 5G launched 1 October 2022

Planning and PPP

- PM Gati Shakti 13 October 2021, nodal DPIIT
- Seven engines; National Logistics Policy 17 September 2022
- NIP - Atanu Chakraborty task force, Rs 111 lakh crore
- BOT Toll, BOT Annuity, HAM (40 per cent), TOT
- VGF by DEA; Kelkar Committee 2015

External sector

- BoP = current account + capital account
- FDI 10 per cent threshold; FPI is hot money
- Reserves = FCA + gold + SDR + reserve tranche
- LERMS 1992, unified March 1993, Article VIII August 1994
- WTO 1 January 1995, Geneva, 166 members

Employment and skills

- About 90 per cent of workers are unorganised
- e-Shram, 26 August 2021, Labour Ministry
- PLFS from April 2017; WPR = employed / population
- MSDE created 9 November 2014; NSDC 2008, 49:51
- NSQF December 2013, 10 levels; PMKVY 15 July 2015
- Gig worker first defined in the Code on Social Security

2020

Services – the sector that carries the economy

Services are the largest part of India's economy by output but not by employment. That gap is the whole point of the sector and it is where the exam question usually sits. Services contribute the largest share of India's gross value added, roughly 55 per cent, while agriculture still employs far more people than it produces. Within services, the export story is what makes India distinctive – India is among the world's largest exporters of commercial services, and software and business services do most of that work.

- Services contribute the largest share of India's gross value added – roughly 55 per cent.
- India's services exports in FY 2024-25 were US\$ 383.51 billion.
- The big services sub-sectors: IT-BPM, financial services, trade and transport, tourism, healthcare and education.
- Services exports need no shipping and no port – which is why India's services surplus offsets its merchandise deficit.
- The paradox to remember: highest share of output, not the highest share of employment.

Inside the services sector - largest in output, not in jobs

IT-BPM

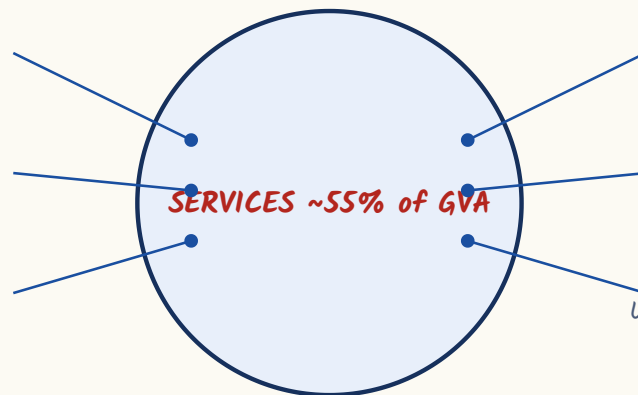
software and services

Trade and transport

hotels, retail, logistics

Health and education

social services



Financial services

banking and insurance

Tourism

travel and hospitality

Services exports

US\$ 383.51 bn in FY 2024-25

TRAP

Share of gross value added is not the same as share of employment. If an option says services employ the largest number of Indians, it is wrong - agriculture still does. Output share and employment share are two different questions.

Power - reforms, UDAY and the renewable targets

India's power problem was never generation. It was distribution - state DISCOMs selling below cost and running up losses. So every power reform since 2003 has been aimed at the distribution company. Learn the reform ladder in order: unbundling first, then a bailout, then a conditional scheme.

- Electricity Act, 2003 unbundled generation, transmission and distribution into separate entities.
- UDAY - Ujwal DISCOM Assurance Yojana - was launched in November 2015 to restore DISCOM finances, with states taking over DISCOM debt.
- The Revamped Distribution Sector Scheme (RDSS) followed in 2021, tying central funds to loss-reduction milestones.
- UDAY is about power DISTRIBUTION companies, not generation companies. That is the trick in the question.

Renewables and the Panchamrit commitments

- At COP26 in Glasgow in 2021, India announced the 'Panchamrit' - five commitments.
- The two that get asked: 500 GW of non-fossil energy capacity by 2030, and net zero by 2070.
- PM Surya Ghar Muft Bijli Yojana was launched on 13 February 2024.
- It targets rooftop solar for one crore households with up to 300 units of free electricity a month.
- Remember the number pair - 500 GW and 2070 for Panchamrit; one crore households and 300 units for PM Surya Ghar.

Roads - the most repeated infrastructure topic in the exam

If you learn only one thing from this chapter, learn the highway corridors. The Golden Quadrilateral joins the four metros. Two long corridors cross the country north-south and east-west, and they intersect at Jhansi. RPSC has asked this cluster in 2013, 2016, 2021, 2023 and 2024. It is the single most repeated geography-economy fact in the paper.

The National Highways Development Project corridors

Corridor	Route	Length
Golden Quadrilateral	Delhi - Mumbai - Chennai - Kolkata - Delhi	5,846 km
North-South corridor	Srinagar to Kanyakumari	About 4,076 km
East-West corridor	Silchar to Porbandar	About 3,640 km
Crossing point	North-South meets East-West	Jhansi, Uttar Pradesh

- Bharatmala Pariyojana Phase-I was approved in 2017 for about 34,800 km.
- It covers economic corridors, inter-corridor routes, border and international connectivity roads, coastal roads and expressways.
- Bharatmala is implemented mainly through the National Highways Authority of India.
- Bharatmala came after the NHDP - do not treat them as the same programme.

ASKED IN RAS

Asked in RAS Pre 2021 and again in 2024 - the total length of the Golden Quadrilateral is about 5,846 km. Learn the exact figure, because the wrong options are all near it.

ASKED IN RAS

Asked in RAS Pre 2016 and again in 2023 - the North-South and East-West corridors of the NHDP intersect at Jhansi. One word, one mark, asked twice.

TRAP

Srinagar-Kanyakumari is North-South. Silchar-Porbandar is East-West. Students reverse them under pressure. Silchar is in Assam, in the east - so Silchar starts the East-West corridor.

Railways, ports, airports and telecom

Four transport and communication systems, four sets of programme facts. What RPSC asks is always the same three things - which ministry, which year, and which older law was replaced. Learn them in that shape.

- Dedicated Freight Corridors - Eastern DFC runs Ludhiana to Sonnagar, Western DFC runs Jawaharlal Nehru Port to Dadri.
- DFCs are implemented by DFCCIL, incorporated in 2006.
- The Western DFC is the spine along which the Delhi-Mumbai Industrial Corridor is planned.
- The first Vande Bharat Express, originally Train 18, was flagged off on 15 February 2019 on the New Delhi-Varanasi route.
- Kavach is the indigenous train collision avoidance system.

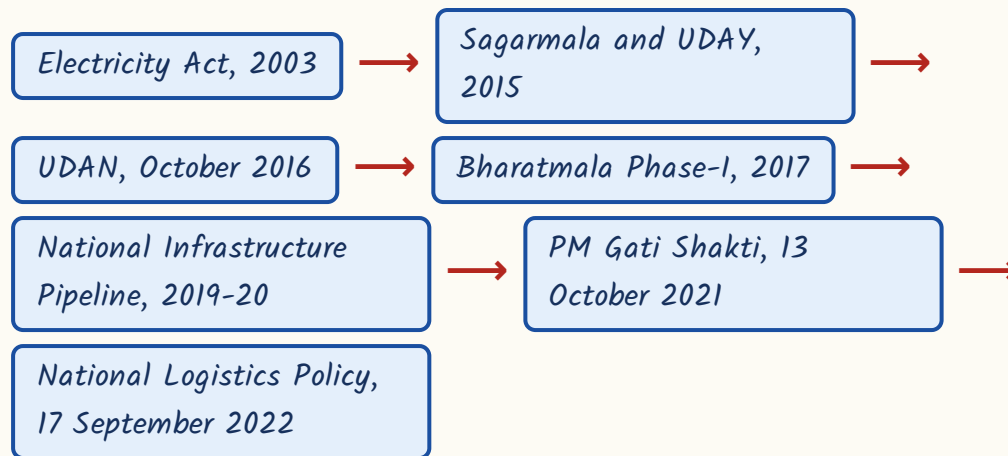
Ports, airports, telecom and digital infrastructure

- Sagarmala, launched in 2015, is the port-led development programme of the Ministry of Ports, Shipping and Waterways.
- The Major Port Authorities Act, 2021 replaced the Major Port Trusts Act, 1963 and gave major ports greater autonomy.
- UDAN - Ude Desh ka Aam Naagrik - the Regional Connectivity Scheme, was launched on 21 October 2016.
- The first UDAN flight was Shimla to Delhi in April 2017.
- Under UDAN, fares on RCS seats are capped and airlines receive viability gap funding.
- The Telecommunications Act, 2023 replaced the Indian Telegraph Act, 1885 and the Indian Wireless Telegraphy Act, 1933.
- TRAI was set up under the TRAI Act, 1997.
- BharatNet, originally the National Optical Fibre Network of 2011, aims to take broadband to every gram panchayat.
- 5G services in India were launched on 1 October 2022.

PM Gati Shakti and the National Infrastructure Pipeline

These two are often confused. The National Infrastructure Pipeline is a money list - a pipeline of projects worth a stated sum. PM Gati Shakti is a map - a GIS platform on which ministries plan their projects together so that a road is not dug up a month after it is laid. One is finance, one is coordination. Fix that difference and the statement questions become easy.

The infrastructure programme chronology - a favourite ordering question



- PM Gati Shakti National Master Plan was launched on 13 October 2021.
 - It is a GIS-based digital platform built with BiSAG-N, integrating 16 ministries.
 - The nodal department is DPIIT - the same department that runs Make in India and the state business-reform ranking.
 - Its institutional structure is a Network Planning Group under an Empowered Group of Secretaries.
 - Budget 2022-23 named seven engines of Gati Shakti - roads, railways, airports, ports, mass transport, waterways and logistics infrastructure.
 - Power transmission is NOT one of the seven engines. That is the standard wrong option.
 - The National Logistics Policy was released on 17 September 2022.
-
- The National Infrastructure Pipeline task force was chaired by Atanu Chakraborty.
 - It listed projects worth about Rs 111 lakh crore for FY2020 to FY2025.
 - NIP projects are showcased for investors on the India Investment Grid.
 - NIP is a pipeline of projects and their funding - it is not a physical corridor or a digital platform.

PPP models – BOT, HAM and TOT

A public-private partnership question is always really a question about who carries the risk. Build the road, then ask – who loses money if traffic is thin? In BOT (Toll) it is the private concessionaire, because he lives off the toll. In BOT (Annuity) it is the government, because it pays a fixed annuity whatever the traffic. HAM splits the difference. TOT is not construction at all – it is the sale of the earning right on a road already built. Understand the risk question and you never have to memorise the models.

The PPP models used in Indian highways

Model	How it works	Who bears traffic risk
BOT (Toll)	Private party builds, operates and collects toll, then transfers	The concessionaire
BOT (Annuity)	Private party builds and operates; the authority pays a fixed annuity	The authority (government)
Hybrid Annuity Model (HAM)	Government funds 40 per cent of project cost during construction; the rest comes back to the developer as annuities	Shared – the authority keeps toll risk
TOT – Toll Operate Transfer	An already operating highway is leased to a private operator for a lump sum; monetisation, not construction	The operator, for the lease period
EPC – Engineering, Procurement, Construction	Government pays the contractor to build; government owns and operates	Not a PPP model at all

BOT (Toll) versus Hybrid Annuity Model

BOT (Toll)	Hybrid Annuity Model
Developer raises the entire project cost	Government funds 40 per cent during construction
Developer recovers money from toll collection	Developer recovers the balance 60 per cent as annuities
Traffic risk fully with the developer	Traffic risk stays with the authority
Attractive only on busy corridors	Works on thin-traffic corridors too, which is why it revived road building

- Remember the number: HAM = 40 per cent government funding during construction.
- EPC is NOT a PPP model - the government pays and the government owns. This is the classic 'which is not' option.
- Viability Gap Funding is administered by the Department of Economic Affairs, Ministry of Finance.
- The Kelkar Committee of 2015 reviewed and recommended revamping the PPP model in India.

The external sector - balance of payments, FDI, FPI and reserves

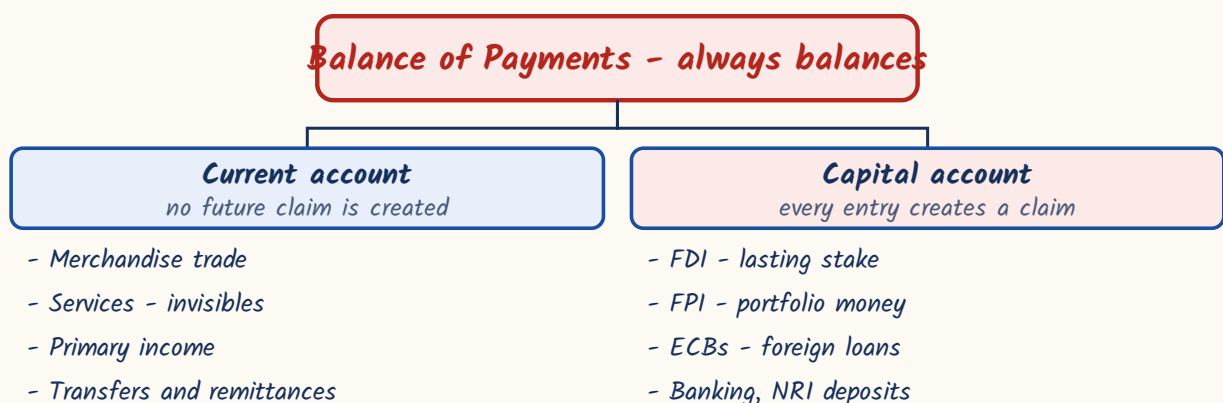
The balance of payments is simply a record of every transaction between residents of India and the rest of the world. It has two halves. The current account records things that are consumed now - goods, services, income and transfers. The capital account records claims and liabilities - who owns what. And here is the sentence RPSC keeps testing: the balance of payments always balances, by construction. A 'BoP deficit' means a current account deficit financed by drawing down reserves or by capital inflows.

Current account versus capital account

Current account	Capital account
Merchandise trade - exports and imports of goods	Foreign direct investment
Invisibles - services, primary income, transfers	Foreign portfolio investment
Remittances from Indians abroad	External commercial borrowings
No creation of a future claim or liability	Banking capital, NRI deposits, loans - each creates a claim
A deficit here means we consumed more than we produced	A surplus here finances the current account deficit

- External commercial borrowings are a capital account item, not a current account item. This exact option has been used as the odd one out.
- Invisibles = services + primary income + transfers. Software exports and remittances sit here.
- The BoP always balances; a deficit is financed by reserves or by capital inflows.
- India typically runs a merchandise trade deficit and a services and remittances surplus.

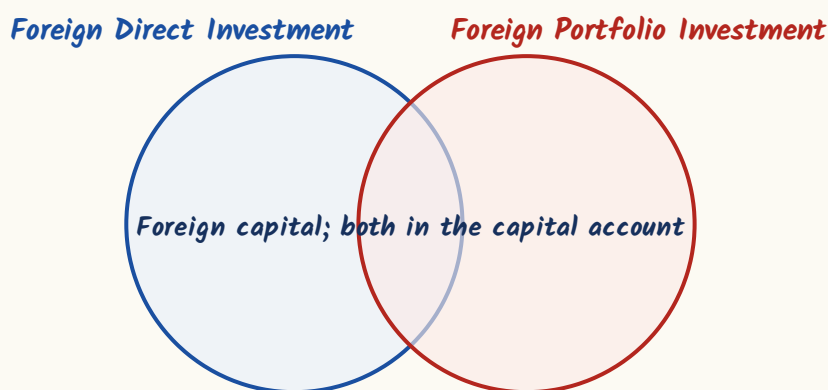
The two halves of the balance of payments



FDI versus FPI - learn this as a pair

Foreign Direct Investment	Foreign Portfolio Investment
Implies a lasting interest in the enterprise	A purely financial stake, no management interest
Conventionally 10 per cent or more of equity	Below 10 per cent of equity
Brings technology, management and market access	Brings only capital
Relatively stable and long-term	Volatile - the classic 'hot money'
Enters through automatic or approval routes under FEMA	Enters through registered foreign portfolio investors under SEBI rules

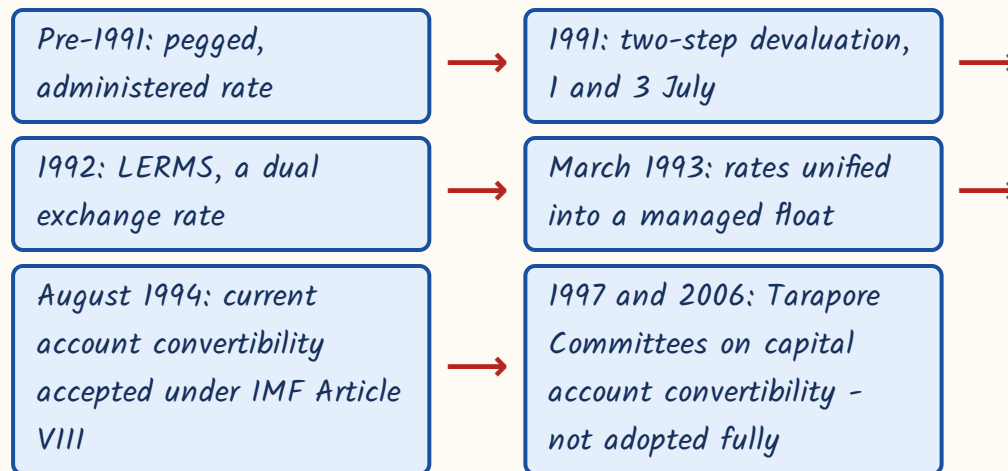
FDI and FPI



The line between them is 10 per cent of equity - at or above it FDI, below it FPI.

- Foreign exchange reserves have four components - foreign currency assets, gold, SDRs and the reserve tranche position with the IMF.
- Foreign currency assets are by far the largest component.
- India's reserves crossed US\$ 700 billion for the first time in September 2024.
- India is among the top four reserve holders in the world.
- The reserve tranche position with the IMF is part of reserves - a favourite statement to plant as 'false' when it is true.

India's exchange rate regime - the sequence



TRAP

India has current account convertibility, accepted under Article VIII in August 1994. India does NOT have full capital account convertibility - the two Tarapore Committees recommended a phased path and it was never completed. Any option claiming full convertibility of the rupee is wrong.

Trade policy, the WTO and India's trade agreements

Three separate things live here and you should keep them in separate boxes. One, India's own trade numbers and partners. Two, the multilateral body - the WTO. Three, the bilateral deals India signs. Each has its own set of one-liners.

- India's total exports in FY 2024-25 were a record US\$ 820.93 billion - merchandise US\$ 437.42 billion plus services US\$ 383.51 billion.
- Merchandise imports in FY 2024-25 were US\$ 720.24 billion.
- The United States has been India's largest trading partner in recent years; China is the largest source of India's imports.
- Crude petroleum is the single largest item in India's import basket.
- The WTO came into existence on 1 January 1995 under the Marrakesh Agreement of 1994, succeeding GATT 1947; headquarters at Geneva, decisions by consensus.
- The WTO had 166 members after Comoros and Timor-Leste joined at MC13 in Abu Dhabi in 2024.
- Foreign Trade Policy 2023 took effect on 1 April 2023 and is open-ended - it has no fixed end date - and is administered by the DGFT under the Ministry of Commerce and Industry.

India's recent trade agreements - name, partner, year

Agreement	Partner	Status
CEPA - Comprehensive Economic Partnership Agreement	United Arab Emirates	2022
ECTA - Economic Cooperation and Trade Agreement	Australia	2022
TEPA - Trade and Economic Partnership Agreement	EFTA bloc	Signed 2024, in force 2025; carries a US\$ 100 billion investment commitment
CETA - Comprehensive Economic and Trade Agreement	United Kingdom	Signed July 2025
RCEP	ASEAN plus five	India walked out of negotiations in November 2019

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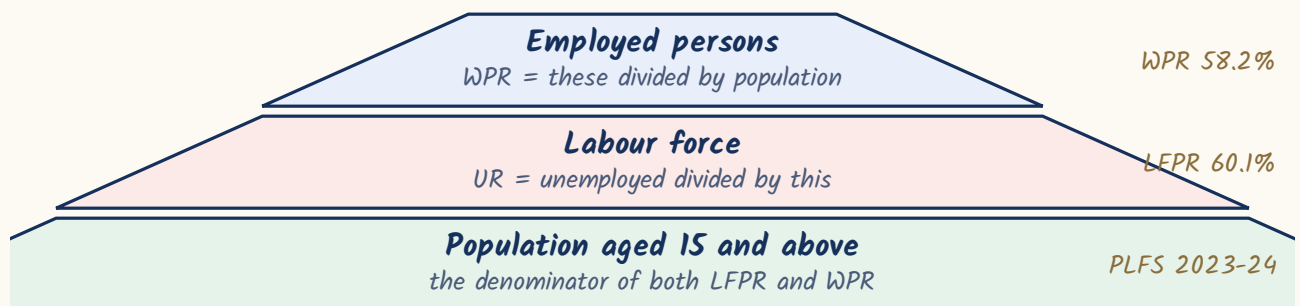
Current link, as of September 2026: India and the European Union announced the conclusion of their long-negotiated free trade agreement in late January 2026, widely reported as India's largest trade deal. Track its formal signature and ratification. On reserves, RBI weekly data put India's foreign exchange reserves at a record US\$ 725.727 billion for the week ended 13 February 2026 - foreign currency assets US\$ 573.603 billion, gold US\$ 128.466 billion, SDRs US\$ 18.924 billion. Reserve figures move every week, so carry the latest one you see and remember the four components rather than the number.

Employment and skills – definitions first, numbers second

Employment questions in RAS are definition questions dressed up as data questions. Before any number, be sure of three ratios. Labour Force Participation Rate is the labour force - workers plus those seeking work - as a share of population. Worker Population Ratio, also called the Work Participation Rate, is employed persons as a share of total population. Unemployment Rate is the unemployed as a share of the labour force, not of the population. Get those three denominators right and you cannot be tricked.

- **Work Participation Ratio** = employed persons divided by total population, expressed as a percentage.
- **LFPR** counts workers PLUS those seeking or available for work, as a share of population.
- **Unemployment Rate** = unemployed as a share of the **LABOUR FORCE**. Different denominator.
- About 90 per cent of India's workforce is in the unorganised or informal sector.
- The e-Shram portal, launched on 26 August 2021 by the Ministry of Labour and Employment, is the national database of unorganised workers, with over 30 crore registrations.
- e-Shram registers unorganised workers only. An option saying it covers organised-sector workers is wrong.

How LFPR, WPR and the unemployment rate nest



ASKED IN RAS

Asked in RAS Pre 2021 and again in RAS Pre 2024 - the Work Participation Ratio is defined as the ratio of employed persons to the total population. The wrong options offer the labour force to population ratio (that is LFPR) and unemployed to labour force (that is the unemployment rate). This is a pure definition mark, twice given away.

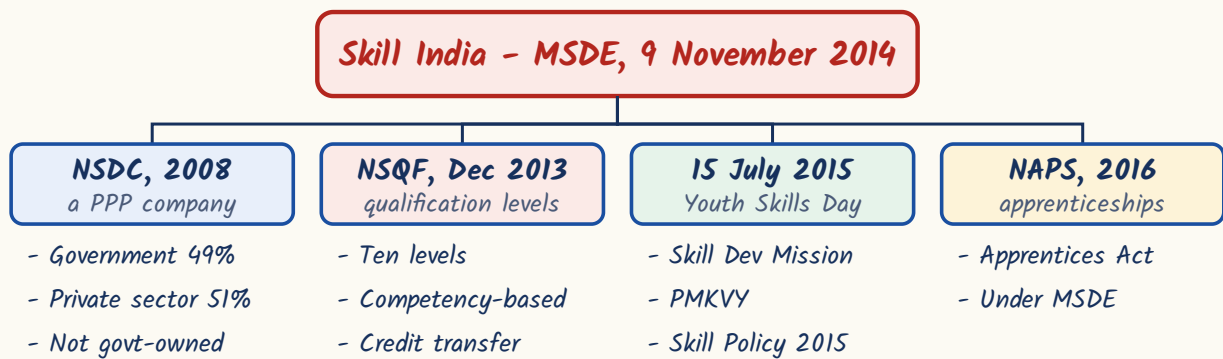
PLFS - where India's employment numbers come from

- The Periodic Labour Force Survey was launched by the NSO in April 2017, replacing the old quinquennial NSSO employment surveys.
- It gives annual estimates on usual status and shorter-period bulletins on current weekly status.
- PLFS 2023-24, usual status, persons aged 15 years and above: LFPR 60.1 per cent, Worker Population Ratio 58.2 per cent, unemployment rate 3.2 per cent.
- Female LFPR rose from 37.0 to 41.7 per cent in that round - the headline change.
- PLFS has since moved to calendar-year reporting.
- For calendar 2024 (PIB, usual status, 15 years and above): LFPR 59.6, WPR 57.7, unemployment 3.2 per cent; unemployment on current weekly status 4.9 per cent.
- If a question names a year, answer from that year's set. Do not mix the 2023-24 figures with the calendar-2024 figures.

India's skill development architecture - the match-the-following set

Body or scheme	Year	Key fact
Ministry of Skill Development and Entrepreneurship	9 November 2014	Carved out to coordinate skilling spread across more than twenty ministries
NSDC - National Skill Development Corporation	2008	A public-private partnership - Government 49 per cent, private sector 51 per cent
NSQF - National Skills Qualifications Framework	Notified December 2013	Ten levels, competency-based
National Skill Development Mission, PMKVY and the National Policy on Skill Development and Entrepreneurship	All on 15 July 2015	15 July is World Youth Skills Day - one date, three launches
NAPS - National Apprenticeship Promotion Scheme	2016	Promotes apprenticeship under the Apprentices Act, 1961

India's skill development architecture



ASKED IN RAS

Asked in RAS Pre 2018 - the Ministry of Skill Development and Entrepreneurship was created in 2014. Asked again in RAS Pre 2021 as statements on the skilling architecture, where the false statement was that NSDC is fully government-owned. It is not - the Government holds 49 per cent and the private sector 51 per cent. Learn 49:51 in that order.

YAAD RAKHO

Remember one date, three launches: 15 July 2015 - National Skill Development Mission, PMKVY and the National Policy on Skill Development and Entrepreneurship, all on World Youth Skills Day. And for the gig economy remember one law and one number: the Code on Social Security, 2020 first defined 'gig worker' and 'platform worker', and NITI Aayog's 2022 report projected the gig workforce rising from about 77 lakh in 2020-21 to 2.35 crore by 2029-30.

CURRENT LINK

Current link, as of September 2026: PLFS has shifted from the July-June survey year to calendar-year reporting, so two sets of headline ratios are now in circulation. PLFS 2023-24 (usual status, 15 years and above): LFPR 60.1, WPR 58.2, unemployment 3.2 per cent. Calendar 2024: LFPR 59.6, WPR 57.7, unemployment 3.2 per cent on usual status and 4.9 per cent on current weekly status. RPSC quotes whichever set is newest at the time of setting, so read the year in the question before you answer.

REVISION RECAP

1. Services give the largest share of gross value added, roughly 55 per cent; agriculture still employs the most people.
2. Total exports FY 2024-25 US\$ 820.93 bn (merchandise 437.42 + services 383.51), merchandise imports 720.24 bn; USA largest trading partner, China largest import source, crude petroleum the biggest single import.
3. Electricity Act 2003 unbundled the sector, UDAY November 2015 for DISCOM finances, RDSS 2021; Panchamrit at COP26 - 500 GW non-fossil by 2030 and net zero by 2070; PM Surya Ghar 13 February 2024, 300 free units.
4. Golden Quadrilateral 5,846 km; North-South Srinagar-Kanyakumari, East-West Silchar-Portbandar, crossing at Jhansi; Bharatmala Phase-I 2017, about 34,800 km, through NHAI.
5. Eastern DFC Ludhiana-Sonnagar, Western DFC JNPT-Dadri, agency DFCCIL incorporated 2006; Vande Bharat 15 February 2019, Delhi-Varanasi; Kavach is the anti-collision system.
6. Sagarmala 2015 under Ports, Shipping and Waterways; Major Port Authorities Act 2021 replaced the 1963 Act; UDAN 21 October 2016, first flight Shimla-Delhi April 2017, capped fares plus viability gap funding.
7. Telecommunications Act 2023 replaced the Telegraph Act 1885 and the Wireless Telegraphy Act 1933; TRAI Act 1997; 5G launched 1 October 2022; PM Gati Shakti 13 October 2021, GIS platform with BiSAG-N, 16 ministries, nodal DPIIT, seven engines excluding power transmission; National Logistics Policy 17 September 2022.
8. NIP - Atanu Chakraborty task force, about Rs 111 lakh crore for FY2020-25, shown on the India Investment Grid.
9. HAM = 40 per cent government funding during construction; BOT (Toll) puts traffic risk on the concessionaire, BOT (Annuity) on the authority; TOT monetises built roads;

EPC is not a PPP model; VGF is with the Department of Economic Affairs and the Kelkar Committee 2015 reviewed PPPs.

10. Current account = goods plus invisibles; capital account = FDI, FPI, ECBs, banking capital. ECBs are capital account. The BoP always balances.
11. FDI means a lasting interest, conventionally 10 per cent or more of equity; below that it is FPI, the volatile hot money.
12. Reserves = foreign currency assets + gold + SDRs + reserve tranche position; crossed US\$ 700 billion in September 2024; India is among the top four holders.
13. LERMS 1992, unified March 1993, current account convertibility under Article VIII in August 1994; Tarapore Committees 1997 and 2006 - full capital account convertibility not adopted.
14. WTO from 1 January 1995, Marrakesh Agreement 1994, Geneva, consensus decisions, 166 members after MC13 in 2024; FTP 2023 from 1 April 2023, open-ended, run by DGFT.
15. UAE CEPA 2022, Australia ECTA 2022, EFTA TEPA signed 2024 in force 2025, UK CETA signed July 2025; India exited RCEP talks in November 2019.
16. WPR = employed / population; LFPR = labour force / population; unemployment rate = unemployed / labour force.
17. PLFS from April 2017; 2023-24 usual status 15+: LFPR 60.1, WPR 58.2, unemployment 3.2; female LFPR up to 41.7 per cent.
18. About 90 per cent of workers are unorganised; e-Shram 26 August 2021, Ministry of Labour and Employment, over 30 crore registrations; the Code on Social Security 2020 first defined gig and platform workers.
19. MSDE created 9 November 2014; NSDC 2008 with 49:51 government-private equity; NSQF December 2013 with 10 levels; NSDM, PMKVY and the skill policy all on 15 July 2015; NAPS 2016.
20. NITI Aayog 2022 projected the gig workforce rising from about 77 lakh in 2020-21 to 2.35 crore by 2029-30.